

Electrical Equipment & Multi-Industry

Pullback creates some modest mid-cycle catch-up potential; Downgrade DD, ITW to N; Moving to ratings on TT at OW, CARR at N

Following a recent transfer of coverage, we update our views on 16 EE/MI stocks.

We downgrade DD (remove from Analyst Focus List) and ITW from OW to N, amidst concerns over decelerating Short Cycle Industrial demand into 2027. We move to ratings on CARR at N, and TT at OW. TT and RRX are our top picks. We adjust many price targets.

We favor names that offer high OSG in '27 (FPS, GEV, RRX, SPXC, TT), consistent 'compounders' (PH), later-cycle end-market plays (EMR, HON), and self-help stories where consensus factors in little improvement (MMM, RRX). Investor sentiment on AI names is fairly positive again, allowing more room for other factors to 'work.'

On the sector, our view is mildly positive. We see scope for a catch-up bounce, given the pullback (the median EE/MI stock has underperformed the S&P by >1000bps over the last 3 months), and likely positive estimate revision momentum at Q3 earnings.

However, we think we are in a 'mid-cycle' stage of the industrial cycle (no longer 'early'), as many B2B / industrial end-market up-cycles are quite mature, and the AI up-cycle is entering Year 4. This, coupled with valuations which are not cheap vs bond yields, caps the degree to which EE/MI multiples can re-rate on a rel. basis.

EE/MI orders and sales growth is high, but one is normally better off buying cyclical sectors when the top-line rate of change is at trough rather than at peak. We see steady mid-cycle growth ahead (not an acceleration) – we est. '27 median organic sales growth (OSG) of 6%, after 7% in Q226.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price (\$)	Rating		Price Target			
				Cur	Prev	Cur	End Date	Prev	End Date
3M	MMM US	85,454.19	163.58	OW	n/c	185.00	Dec-27	205.00	Dec-26
Albany International	AIN US	1,698.99	59.43	N	n/c	67.00	Dec-27	61.00	Dec-26
Allegion	ALLE US	12,959.14	149.99	N	n/c	170.00	Dec-27	n/c	n/c
Carrier	CARR US	46,593.67	55.83	N	NR	61.00	Dec-27	—	—
DuPont De Nemours, Inc	DD US	18,123.26	132.48	N	OW	145.00	Dec-27	172.00	Dec-26
Emerson Electric Co.	EMR US	89,248.56	159.06	OW	n/c	184.00	Dec-27	169.00	Dec-26
Forgent Power Solutions Inc	FPS US	12,129.29	39.80	OW	n/c	49.00	Dec-27	56.00	Dec-26
Fortive Corp.	FTV US	17,354.79	56.42	UW	n/c	56.00	Dec-27	64.00	Dec-26
GE Vernova	GEV US	269,824.50	999.35	OW	n/c	1,150.00	Dec-27	1,330.00	n/c
Honeywell Technologies	HON US	65,822.76	206.60	OW	n/c	240.00	Dec-27	255.00	Dec-26
Illinois Tool Works	ITW US	75,812.94	264.71	N	OW	277.00	Dec-27	350.00	Dec-26
Parker Hannifin	PH US	119,411.70	946.96	OW	n/c	1,131.00	Dec-27	1,140.00	Dec-26
Rockwell Automation	ROK US	48,450.02	434.14	N	n/c	426.00	Dec-27	n/c	Dec-26
Regal Rexnord	RRX US	10,640.66	160.01	OW	n/c	196.00	Dec-27	240.00	n/c
SPX Technologies	SPXC US	8,534.70	168.58	OW	n/c	225.00	Dec-27	282.00	Dec-26
Trane Technologies	TT US	104,408.10	469.94	OW	NR	550.00	Dec-27	—	—

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 08 Oct 26.

See page 86 for analyst certification and important disclosures.

Summary thoughts - mid-cycle phase of the aggregate demand cycle

Overall, the macro environment feels very ‘mid-cycle’ to us (or even mid-late), with characteristics such as high 50s US manufacturing PMIs, rising yields / interest rates, an M&A and IPO boom, and a tepid consumer.

AI is something which makes this cycle unique vs others (except for the TMT boom 25+ years ago), but so far at least the emergence of AI has not really pushed the EE/MI sector to meaningfully outperform or underperform the S&P vs its history, and we do not think this will change.

One medium-term consequence of us no longer being ‘early’ in the overall demand up-cycle, or the AI up-cycle specifically (hyperscaler capex has already risen by several hundred % over 2023-2026) is that it becomes harder to keep pushing up valuations, and multiple expansion has been a major driver of the sector’s price appreciation in recent years.

In the near-term, Q3 earnings season is almost upon us – over the course of it, we expect Street adj. EPS estimates to move up slightly (i.e. LSD% increase for 2027). During Q2 earnings season, 40-50% of the sector outperformed the S&P – we expect a slightly greater share, 50-60%, to outperform over Q3 earnings (given the over recent months, and likely ongoing positive estimate revisions for most names).

Looking into year-end, we note that over the last 25 years, the median US EE/MI stock has performed +6% vs the S&P +4% in Q4.

Positives: The pressure on most industrial companies’ adjusted EPS is higher, not lower, most industrial management teams sound upbeat, and Datacenter is likely to remain a high growth end-market for most industrial companies through at least year-end 2027. The EE/MI organic sales growth rate should remain well above its LT average in 2027 – we est. 6% EE/MI organic sales growth (OSG) for 2027, after a 6-year OSG CAGR of 5% (and vs a longer-term CAGR of 3%). On the margin front, US tariff headwinds have largely moved into the rear-view mirror. Our EPS estimates for 2027 are most above the Street for AIN, FPS, GEV, SPXC and TT.

Negatives: Some offsetting factors (aside from still-elevated investor expectations) include greater margin pressures from renewed cost inflation, supply chain constraints for certain components (which can limit volume output and / or margin leverage), rising interest rates (unhelpful for demand in most B2B / B2C markets, exc-AI, and also likely to yield a small P&L EE/MI headwind from rising net interest expense in 2027), and a still-sluggish consumer in many developed economies. Although B2C / Residential is a relatively small direct share of US EE/MI companies’ sales (~15%, on average), with the consumer comprising 70% / 50% of GDP in the US and Europe (respectively), it naturally has a broader effect on aggregate demand in those economies.

FX has been a tailwind for EE/MI earnings since late 2024, but may move to be a headwind quite soon, based on spot rates.

Our EPS estimates for 2027 are below the Street for HON and RRX; for HON we believe the Street is not calibrated for guidance of baseline 15% EPS growth in 2027, and for RRX we are below the Street on 2027 sales and slightly lower / in-line on adjusted operating profit margins.

Top Picks: Our top picks are TT and RRX.

We highlight TT because: (i) We expect it to see sustained very high OSG into 2027, vs the EE/MI average; (ii) We think orders growth will remain superior in the 2H (at 2X the EE/MI median growth rate), vs a deceleration likely at many other names; (iii) We think management will raise 2026 guidance at Q3 earnings and the 2027 Street estimates look conservative; (iv) Margins should expand despite cost inflation (given the management track record), while investor expectations on its margin expansion are already quite muted; (v) The balance sheet offers substantial optionality given its very low leverage vs EE/MI overall; (vi) The stock has underperformed other AI-centric EE/MI large caps such as JCI and ETN in recent months, but we think it should offer similar organic sales and earnings growth into 2027.

We highlight RRX because: (i) It should be set for accelerating OSG in '27, to one of the highest rates in EE/MI next year, based off the ePOD backlog; (ii) Investors do not view it (yet) as a Datacenter-related stock, though we estimate that ~15% of its '27 sales will accrue from this market; (iii) The new externally-appointed CEO has now been in place for several months, and should therefore start to enact self-help measures over the coming months (e.g. divestments / portfolio simplification, balance sheet leverage reduction); (iv) The valuation now appears to embed no more ePOD orders, minimal operating leverage on existing ePOD orders, and no self-help from the new CEO, with RRX trading at an >50% discount (2027 P/E) vs other AI related EE/MI stocks, and an >30% discount to the S&P; (v) We see a good entry point, as the stock has underperformed the S&P by ~35% over the last 3 months.

AI's impact on EE/MI? In terms of AI's impact on EE/MI companies, beyond direct Datacenter infrastructure equipment needs, we do not anticipate a major tailwind in terms of re-shaping business models. We recall that the emergence of the Internet in the late 1990s did not have much impact on Western industrial companies beyond those supplying the infrastructure equipment (and regarding the latter, many ceased to exist in the early 2000s).

For the near-term, beyond the direct impact of the Datacenter infrastructure equipment boom on suppliers, AI is having a material effect on the top- and bottom-lines of companies with very minor direct Datacenter exposure, in several ways:

- Even LSD% Datacenter revenue exposure can be 'material' now, if sales in this vertical are growing at a triple-digit rate, because the overall EE/MI historical OSG CAGR was only in the LSD% range;
- The inflation caused by the strong demand from Datacenters (e.g. for memory chips) is muting the demand via price elasticity in some other verticals (e.g. consumer electronics);
- The supply shortages and inflation caused by the demand from Datacenters is causing margin pressures / inefficiencies for many EE/MI companies.

From a revenue standpoint in the near-term (and perhaps the medium-term), we do not see much AI opportunity for most EE/MI companies outside of the infrastructure

equipment. The most immediate risk (and the most well understood by investors) is that AI could weigh on growth for some of the 'traditional' software businesses (FTV, EMR, ROK, HON have the largest such exposures, in descending order); investors already have a fairly dim view of the growth prospects of these software assets though (and the management teams' lack of software M&A seems to confirm this view).

Looking into the medium-term, we are watching a couple of other risks:

- AI may put a question mark against the value-add of some labor related service-intensive business models, as customers may be able to do much of the service diagnostic work in-house using AI tools (vs paying an external provider to send someone in a white van to examine the equipment). Many EE/MI companies have substantial revenues and enjoy above-average margins in their service businesses.
- AI may yield major changes for automation systems, whether in plants or buildings; AI can provide building developers and operators (whether of offices, factories, refineries, hotels, etc.) with a much cheaper and easier to use operating system than the traditional complex, highly-engineered systems that dominate the world today (whether they be BMS, DCS, etc.). This trend could allow some newer entrants to win share, but it is not clear how many of these new winners will come from the EE/MI sector.

The biggest structural near-term tailwind, in our view, will likely be on the margin front rather than the top-line, i.e. AI will help to further streamline manufacturers' cost bases (reduce headcount). This is clearly not an EE/MI specific advantage though (vs the rest of the S&P), and we do not see it as 'game changing' for EE/MI, as most EE/MI companies have generally had little problem pushing up their profit margins over the past decade, to all-time records.

Over recent years, there has been little evidence that AI is a tailwind for the sector's aggregate rel. performance to the S&P, and we do not expect this to change much over the NTM.

Investment community consensus is quite bullish: Somehow, it remains hard for every sector to outperform the S&P (maybe AI will help to correct this?), despite sell-side and management teams' bullishness. Investor positioning is relatively constructive towards the sector, though a little less so than earlier this year (vs Q126, for instance), with the median MI name up 7% YTD. On a relative basis, the MI sector has underperformed by 6% vs the S&P YTD. Sell-side ratings remain generally very positive on the larger caps.

Valuations are not cheap, against a backdrop of increased AI / US political uncertainty: It is somewhat sobering to think that 30-year US government debt yields 6%, vs the median US EEMI name trading at a 4% FCF. The potential uncertainty around the upcoming US mid-term elections (and what they might mean for US government policy in 2027+, on topics such as Datacenter build-outs, Defense spending, etc.) could also prevent sector valuations seeing a sharp re-rating higher in the near-term.

Relative to its 10-year average typical FY2 P/E (19.4x), the EE/MI sector looks reasonable, also trading at 19x at present, although it looks expensive vs the 25-year average (17x). Relative to the S&P, the sector has traded at a 5-10% premium to the market over the past decade; at present, it is trading at 3% premium. From a dividend

yield standpoint (this valuation approach may garner more attention if rates remain elevated), the sector is trading at a 1% yield, vs the 10 year average of 2%.

In terms of key topics / questions that investors face across the EE/MI sector today, our thoughts are as follows:

- **AI (= / +):** We have a neutral / positive bias to names with high exposure to this market. The AI-related industrial stocks have traded at a median P/E premium vs the EE/MI median of ~31% over the past 3 years. This premium dipped to the high teens % over the summer, down from a peak of 50% in May, and has rebounded now to ~40%, suggesting that AI's popularity with investors is in the middle to upper part of where it has typically been since the AI theme really took off.

The valuations of FPS, GEV, and SPXC have compressed in recent months, and we think look particularly low for FPS and SPXC – however, these multiples can expand as we think the bias to estimates will remain positive, and they should experience very rapid earnings growth over the NTM.

GEV's valuation is on the richer end, but Power remains the key bottleneck in the Datacenter build-out, and investors have lowered their expectations for 2027 organic orders growth substantially; hence, ongoing positive estimate revisions should yield some valuation multiple expansion.

TT also has quite high Datacenter exposure, and we think traditional cooling in Datacenters should still see strong growth over the NTM.

We recognize that there are more risks now facing the infrastructure stocks (power, cooling) with Datacenter exposure, given:

- We are soon to enter Year 4 of what has been a very strong capex up-cycle, and it is natural that valuation multiple downwards pressure will increase over time (as we see from the recent valuation moves at memory chip stocks, for instance);
 - Certain component / supply chain shortages have become more acute in recent months (these are typically viewed as 'short-term', but they become harder to ignore as we move further into the customer spending up-cycle);
 - There is more talk of a potential slowdown (or 'pace' or pause', etc.) in Datacenter build-outs / new AI product roll-outs, from various CEOs of large AI / AI-related companies, and from parts of the US political landscape (ahead of the elections in a few weeks' time);
 - Investor crowding in Datacenter names remains very high. There is no shortage of people willing to tout any 5% pullback in an AI name as a 'great buying opportunity', regardless of where the stock was a year earlier, or what its current valuation is; this is very reminiscent of what we heard in 2000-2001 in the sector, regarding telecom equipment infrastructure stocks. The share of 'Buy' ratings at some of the largest AI EE/MI names is 80%.
 - The fact that global Datacenter GW additions growth will likely remain quite steady in 2027 with 2026 (at very high rates) should support near-term multiples. On 2028, visibility is very low, for now.
- **Short Cycle Industrial recovery (= / -):** We have a neutral / cautious bias to names

with high exposure to this market. Of the five large cap names that are traditionally perceived as Short Cycle Industrial (DD, ITW, MMM, PH, ROK), we rate only two at OW (and downgrade two to N from OW in this report).

- The US Manufacturing PMI recovery began in earnest in late 2024, was put on temporary hold by the shock of tariffs, and resumed in late 2025. These PMIs' most recent reading was 54.5, vs the average reading so far this millennium of 52.5 (and off a trough of 46.3 in Jun' 23, and still down from a peak of 63.8 in Mar' 21). Average Short Cycle Industrial organic sales growth reached 5% in Q226, vs a 20-year average SCI OSG rate of 3%.
- When we look at organic sales, this also suggests that the SCI upcycle is quite well extended, which implies that the valuation multiples of many of the related stocks may struggle to see much uplift from here; historically, SCI OSG recoveries last 12 quarters, and we are now (Q426) in the 7th quarter of the current upturn.
- **Residential / B2C (=):** We have a neutral bias to names with high exposure to this market. We rate CARR at N. The broader Residential / building products stocks have been out of favor for a couple of years, and estimates have been under pressure too, including during the most recent earnings season. Estimate pressure may remain downwards, but valuations look close to being 'washed out'. In the absence of positive estimate revision (we think Resi / B2C estimates may hold steady at best, through year-end), most investors may prefer to 'wait and see' before looking to re-rate the valuation multiples for this group.
- **Industrial Automation (=):** We have a neutral bias to names with high exposure to this market, but favor process automation vs factory automation (and hence we prefer EMR vs ROK), as we think we are passing the 'high point' of organic sales growth for the latter in this part of the cycle. In contrast to the deceleration ahead that we expect for FA stocks, we think process automation markets are set for resilient growth through 2027. Process Automation demand trends are underpinned by a bottoming in Chemicals capex (after a prolonged soft patch), high growth in Power, and steady customer spending in O&G.
In Factory automation, we think that we will now see normalized growth after exceptional demand driven by restocking in 2025-2026 in products such as PLCs. The key market (for FA) of Automotive is likely to see subdued capex growth, as the Automakers continue to re-evaluate their balance of EV vs ICE vehicle investment amidst overall production rates that are flat.
- **Non-residential Construction (= / -):** We have a neutral / cautious bias to names with high exposure to this market (e.g. ALLE). This market looks fairly steady in many regions, although there are growing risks from rising interest rates and inflation, which are both pushing up the cost of projects (this was a headwind to US non-residential development for instance back in 2007). In the US, there is some modest growth in verticals such as Office, and steady growth in Institutional markets. Non-US demand is quite soft in many regions, including China.
- **Aerospace & Defense (+):** There is much less exposure in EE/MI now than before (due to major portfolio changes at the likes of GE, HON, UTX, etc.), but we have a favorable view of this end-market, which tends to perform better on a relative basis as we move through and beyond the middle stages of broader demand up-cycles (which we think is where we now are). PH is the name with the highest exposure to this end-market, by some distance.
- **US manufacturing onshoring:** We continue to see some evidence of such

onshoring in select markets such as consumer / healthcare / semiconductors, but do not see that a broader trend is underway.

The US trade deficit (net imports / exports) now though now seems to be back to 'normal', after the tariff related 'noise' for much of the past two years has eased (i.e. a pre-buy surge of imports in late 2024, followed by a collapse in mid-2025 once tariffs were enacted, then a rebound YTD off 'easy comps'). In the most recent reading, imports of capital goods grew significantly above exports – this does not seem to suggest a major re-setting of the US balance of trade (i.e. we are not seeing signs of imports growth falling far behind exports growth as the US domestic manufacturing base re-shores).

One positive is that US manufacturing payrolls in aggregate YTD are up, after an aggregate -1% change in manufacturing payrolls in 2025. Key potential beneficiaries if more shoring does start to take hold would be the likes of EMR, PH, ROK, RRX.

- **International exposure:** The US has been the main source of organic sales growth for EE/MI companies since Covid, as China continues to manage its property down-cycle / over-capacity in certain industries, and much of Europe remains mired in higher debt and subdued economic growth. This dynamic does not look likely to change imminently, with the macro picture for Europe in particular looking quite dim at present (the UK and France have been in the headlines regarding worsening fiscal positions / rising bond yields; high energy prices are also a headwind for most economies in the region given the lack of domestic resources), and the Euro has depreciated as a result in recent months against the US\$. As a reminder, the EE/MI companies with the highest exposure to Europe include CARR, ITW, AIN, HON and GEV.
- **Margins – ever higher, for most companies...** We estimate the median EE/MI EBITDA margin this year will reach 24%, which compares with 21% a decade ago. Pricing power has been acutely tested for most companies since Covid amidst persistent high inflation, and most companies have passed this test with flying colors for much of the time, which has created a powerful margin-expansion tool. Competitive dynamics remain disciplined, with many EE/MI markets representing somewhat oligopolistic niches. We estimate median EE/MI organic incrementals of ~36% / ~38% in 2026 / 2027. In FY27, we assume the largest operating margin expansion occurs at GEV, HON, FPS, MMM, with muted margin expansion at RRX, SPXC, and FTV.
- **...Though larger headwinds are emerging now from Component issues / cost inflation / supply chains:** While tariff-related headlines have diminished over the past 6 months, topics such as cost inflation and supply chain constraints have become more apposite. In HVAC we have recently heard a number of manufacturers / suppliers (such as LII, MOD, RRX, SPXC) cite tougher availability of components and / or higher costs, while some electrical equipment companies (e.g. VRT, though ETN sounds more sanguine on this topic now than 6 months ago) have also struggled with managing supply to match their customer delivery schedules. Memory chip costs have proved a headwind for ROK. Management teams invariably depict these headwinds as 'temporary' (as bad news often is; it is only good news that is permanent); investors can make up their own minds on how to approach them. Companies that we think could struggle more than most in their ability to pass on higher costs / manage supply chain issues include CARR, DD, RRX, SPXC.
- **Interest rates have been moving up...** In many developed economies, investors as

well as politicians are now paying more attention to ongoing increases in government debt levels. Simplistically, companies with the highest balance sheet leverage may be most exposed to rising rates; average US EE/MI net debt / EBITDA looks set to end 2026 at 1.5x, vs the LT (10-year) average of 1.5x. The names with the highest estimated year-end leverage include RRX, PH, CARR, and HON.

We estimate net interest expense for EE/MI companies on average rises by HSD% y-o-y in 2027 (after a decline in 2026). Indirectly, companies with high exposure to markets that are interest-rate sensitive such as Construction (B2B exc-Datacenter, B2C) may also suffer a headwind from higher rates; the companies with the highest exposure here include ALLE, CARR, TT, MMM, ITW, and HON.

- **...Along with the US\$:** Since mid-year, the interest rate environment has helped to drive some US\$ appreciation (the Bloomberg DXY index is close to its YTD highs, having moved 4% since Jan. 1); a stronger US\$ is a headwind for most US MI companies' earnings. The average US EE/MI company accrues 40-50% of sales (by destination) from outside the US, with EMR, MMM, HON, DD, GEV and ITW having the highest exposure. We est. an 0% average sales impact for US EE/MI companies in 2027, based on current FX spot rates (after a 1% tailwind in 2026).
- **Self-help candidates:** Portfolio change / investor activism has been common in the US EE/MI sector for a long time, and is likely to remain so, even though the number of 'conglomerates' has shrunk markedly over the past decade or two. In recent months for instance, HON completed the spin-out of HONA, while PH completed the acquisition of Filtration Group. ETN is due to separate Mobility in early 2027. We see RRX as being the most likely to announce strategic / portfolio changes over the NTM, as the Board appointed an external CEO, and the stock ranks very highly on our Activist Screen (see Fig 37 below). On the M&A front, we expect Datacenter-centric markets to remain very popular in terms of activity levels (across power, cooling, electrical equipment), as management teams look to chase where the 'puck' has moved.

In terms of the upcoming Q3 earnings season:

- **Expected FY27 guidance initiations:** EMR and ROK are due to initiate FY27 guidance. We expect EMR to guide for adj. EPS of \$7.20-7.40 (vs Street of \$7.29). We expect ROK to guide for adj. EPS of \$14-15 (vs Street of \$14.89).
- **Expected FY27 guidance changes:** We expect FPS to keep adj. EPS guidance at \$1.26-1.40 (vs Street at \$1.37). We expect PH to raise adj. EPS guidance to \$34.95-35.75 (vs Street at \$35.34); this expected guide includes an estimated \$0.30-\$0.40 adj. EPS accretion from the Filtration Group acquisition (which closed on 8/13/26).
- **Expected FY26 guidance changes:** We expect ALLE, DD, FTV, GEV, HON, ITW, MMM, and TT to raise the adj. EPS guidance mid-point. We expect CARR and RRX to retain the adj. EPS guidance mid-point.
- **Q3 beats:** Our estimates are most above the Street for AIN, FPS, and ROK.
- **Q4 outlook:** Our estimates are most above the Street for AIN, GEV, and ALLE. Our estimates are most below the Street for RRX.

In terms of near-term investor positioning, our impression from investors we have spoken to is that EMR is quite popular, while CARR, HON, MMM, and RRX are less preferred.

Sector charts

Company summary estimates

We show below our estimates vs the Street, and how we think companies will update / initiate guidance for 2026 / 2027 at the upcoming Q3 earnings season. In general, we think estimate revision momentum will remain positive for the group, and that most companies will raise their EPS guidance during earnings.

Figure 1: J.P. Morgan Annual EPS Estimates vs Consensus and Company Guidance

Annual Consensus vs J.P. Morgan Estimate											
Company	FY End	2026 Guidance	Expected 2026 Guidance	2026 Consensus	2026 JPM Estimate	2026 JPM vs Consensus	2027 Guidance	Expected 2027 Guidance	2027 Consensus	2027 JPM Estimate	2027 JPM vs Consensus
AIN	Dec	N/A		\$3.39	\$3.70	9%			\$3.17	\$3.24	2%
ALLE	Dec	\$8.85-9.00	\$8.95-9.05	\$8.95	\$9.00	1%			\$9.79	\$9.85	1%
CARR	Dec	~\$2.90	~\$2.90	\$2.88	\$2.87	-1%			\$3.30	\$3.33	1%
DD	Dec	\$7.17-7.32	~\$7.30	\$7.26	\$7.28	0%			\$7.96	\$7.94	0%
EMR*	Sep	~\$6.55		\$6.56	\$6.56	0%		~\$7.20-7.40	\$7.29	\$7.35	1%
FPS*	Jun				\$0.68						
FTV	Dec	\$2.95-3.05	\$3.01-3.05	\$3.01	\$3.03	1%	\$1.26-1.40	\$1.26-1.40	\$1.36	\$1.42	4%
GEV**	Dec	\$5460-6510m	\$6045-6510m	\$6,334	\$6,412	1%			\$3.26	\$3.27	0%
HON	Dec	\$8.05-8.35	\$8.25-8.35	\$8.31	\$8.31	0%			\$9,472	\$9,852	4%
ITW	Dec	\$11.35-11.55	\$11.45-11.55	\$11.45	\$11.56	1%			\$9.89	\$9.76	-1%
MMM	Dec	\$8.80-8.95	\$8.95-9.00	\$8.94	\$8.98	0%			\$12.36	\$12.34	0%
PH*	Jun				\$32.31		\$34.25-35.25	\$34.95-35.75	\$9.84	\$9.93	1%
ROK*	Sep	\$13.00-13.30		\$13.24	\$13.35	1%			\$35.37	\$35.81	1%
RRX	Dec	\$10.35-10.85	\$10.45-10.75	\$10.63	\$10.52	-1%			\$14.88	\$14.89	0%
SPXC	Dec	\$8.20-8.60		\$8.40	\$8.42	0%			\$12.97	\$12.33	-5%
TT	Dec	\$15.20-15.30	\$15.30-15.40	\$15.30	\$15.35	0%			\$9.72	\$9.88	2%
Avg						1%					1%
Median						0%					1%

Note: Blue = Guidance Initiated, Green = Guidance Raised, Orange = Guidance Lowered, No Shading = Guidance Retained; *FPS and PH 2027 = FYE June 2027, EMR and ROK 2027= FYE Sep 2027;

**GEV on Adj. EBITDA basis, expected guide implied from sales and margin guide

Source: J.P. Morgan estimates, Company Data, Bloomberg Finance L.P.

Figure 2: J.P. Morgan Quarterly EPS Estimates vs Consensus and Company Guidance

Quarterly Consensus vs J.P. Morgan Estimate								
Company	FY End	Q3 2026 Guidance (EPS in \$; EBITDA in \$m)	Q3 2026 Consensus	Q3 2026 JPM Estimate	Q3 2026 JPM vs Consensus	Q4 2026 Consensus	Q4 2026 JPM Estimate	Q4 2026 JPM vs Consensus
AIN	Dec	\$1.40-1.50	\$1.23	\$1.50	22%	\$0.70	\$0.75	7%
ALLE	Dec		\$2.49	\$2.49	0%	\$2.26	\$2.32	3%
CARR	Dec	~\$0.75	\$0.76	\$0.76	0%	\$0.69	\$0.67	-3%
DD	Dec	\$1.80-1.90	\$1.87	\$1.90	1%	\$1.87	\$1.87	0%
EMR	Sep	~\$1.85	\$1.85	\$1.86	0%	\$1.62	\$1.66	2%
FPS	Jun	\$90-100m	\$0.20	\$0.21	5%	\$0.28	\$0.28	-1%
FTV	Dec		\$0.70	\$0.72	2%	\$0.87	\$0.88	1%
GEV*	Dec		\$1,672	\$1,626	-3%	\$2,500	\$2,640	6%
HON	Dec	\$2.05-2.20	\$2.18	\$2.18	0%	\$2.40	\$2.39	0%
ITW	Dec		\$2.97	\$2.99	1%	\$2.98	\$2.93	-1%
MMM	Dec		\$2.39	\$2.39	0%	\$2.01	\$2.06	2%
PH	Jun	~\$8.07	\$8.12	\$8.15	0%	\$8.42	\$8.54	1%
ROK	Sep	~\$3.61	\$3.67	\$3.77	3%	\$3.09	\$3.14	2%
RRX	Dec		\$2.67	\$2.71	1%	\$2.82	\$2.66	-5%
SPXC	Dec		\$2.14	\$2.18	2%	\$2.50	\$2.53	1%
TT	Dec	~\$4.70	\$4.73	\$4.75	1%	\$3.61	\$3.67	2%
Avg					2%			1%
Median					1%			1%

Note: *Adj. EBITDA; ROK FQ426 Adj. EPS implied from FY guide

Source: J.P. Morgan estimates, Company Data, Bloomberg Finance L.P.

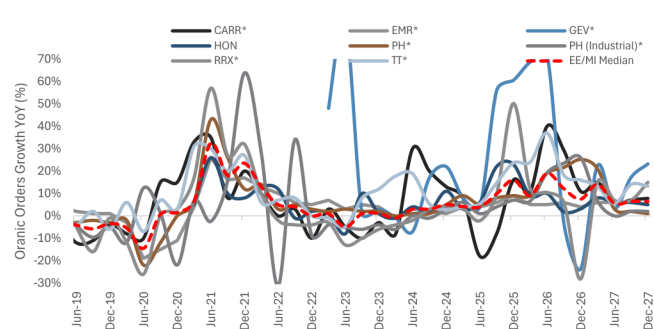
Organic top-line outlook

Overall, we think that we are in a mid-cycle phase of the EE/MI aggregate demand upturn. While organic orders and sales growth is high, we think it is peaking now, and

will decelerate for some companies into 2027.

EE/MI organic orders has accelerated in recent quarters, reaching the highest levels since the 2021 post-Covid rebound. This has been driven by the Datacenter infrastructure equipment boom, which has driven up pricing for many industrial components, as well as providing indirect tailwinds / a multiplier effect for higher volume demand in related markets. There has also been a Short Cycle Industrial recovery, which started in late 2024 (once the post-Covid de-stock had run its course), and was briefly interrupted by the tariff related uncertainty for much of 2025.

Figure 3: EE/MI organic orders grew +19% in Q226...



Note: *organic
Source: J.P. Morgan estimates, Company Data.

We think organic orders growth is at a peak, and will decelerate into 2027, as the Short Cycle Industrial upturn matures, and the Datacenter up-cycle levels out (in terms of growth rates, not absolute \$).

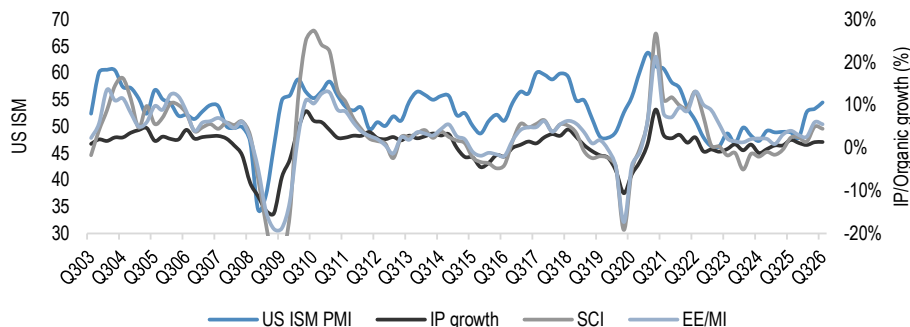
Figure 4: ...And we think median orders will grow +HT% in 2026, and +HSD% in 2027

Organic Orders by Company	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
CARR*	-7%	3%	24%	1%	-4%	14%	-1%	23%	9%
EMR*	2%	-12%	16%	9%	5%	1%	6%	5%	6%
GEV*					35%	8%	33%	18%	17%
HON			12%	7%	1%	4%	14%	6%	6%
PH*	-3%	-9%	22%	6%	2%	2%	8%	19%	7%
PH (Industrial)*	-3%	-5%	21%	6%	-5%	-1%	5%	19%	3%
RRX*		-9%	33%	0%	-8%	0%	15%	6%	11%
TT*	-3%	2%	27%	5%	4%	11%	12%	24%	11%
EE/MI Average	-3%	-5%	22%	6%	1%	5%	11%	14%	9%
EE/MI Median	-3%	-7%	22%	6%	1%	4%	9%	18%	8%

Note: *organic CY
Source: J.P. Morgan estimates, Company Data.

We estimate that MI organic sales growth is at something of a plateau, just as order rates are. The current period we think resembles the MSD% organic sales growth mid-cycle periods in the past such as 2005-2006 or 2017-2018, albeit the specific end-market drivers each time are somewhat different. The level of the US Manufacturing PMI is consistent with traditional mid-cycle periods of the industrial up-cycle as well (with periods around 50 or below being consistent with the early part of the cycle, while slowdown / late cycle periods are commensurate with PMIs moving down from the high 50s / 60s level).

Figure 5: US Manufacturing PMIs and sector organic sales growth rates look very 'mid-cycle' now



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 6: We anticipate median EE/MI organic sales grow at a MSD% pace in 2026 and 2027, with a very wide dispersion into next year...

Company	Ticker	Organic Sales Growth																			
		2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Albany	AIN					1.0%	2.6%	3.9%	3.9%	5.4%	5.8%	5.7%	6.0%	4.6%	4.8%	4.5%	10.7%	5.2%	2.4%	4.1%	5.1%
Allogion	ALLE					6.4%	-0.4%	-1.6%	2.7%	3.5%	-0.5%	4.2%	6.0%	0.6%	6.0%	15.0%	7.8%	3.5%	3.6%	-1.3%	7.6%
Carrier	CARR	4.2%	0.2%	-17.1%	3.0%																
Dupont	DD													4.2%	-1.8%	-4.5%	10.7%	8.3%	-8.0%	1.5%	1.9%
Emerson	EMR	6.9%	6.8%	-13.0%	-0.6%	10.5%	2.5%	2.0%	3.0%	-1.0%	-7.0%	1.0%	8.0%	3.0%	-8.0%	6.0%	12.6%	10.0%	6.0%	3.0%	4.2%
Forgent	FPS																		69.6%	88.8%	61.3%
Fortive	FTV																				
Idi Venevia	GEV							0.1%	4.0%	2.5%	1.0%	4.2%	4.1%	2.0%	-5.9%	9.5%	10.1%	5.4%	4.3%	1.7%	1.0%
Honeywell	HON	7.3%	2.0%	-14.0%	7.0%	8.0%	3.0%	1.2%	3.4%	0.2%	-1.8%	4.0%	6.0%	5.0%	-11.0%	4.0%	6.1%	3.8%	-3.0%	2.4%	4.5%
Illinois Tool Works	ITW	3.8%	-2.5%	-18.4%	10.8%	7.5%	1.7%	0.2%	2.8%	-0.4%	1.2%	2.9%	2.2%	5.9%	-9.8%	12.2%	12.0%	2.0%	-0.7%	0.0%	3.2%
MWM	MWM	4.9%	-2.4%	-7.7%	13.5%	4.7%	2.6%	3.4%	4.9%	1.3%	-0.1%	5.2%	3.2%	-1.7%	8.8%	1.3%	-3.0%	1.2%	2.1%	3.4%	3.2%
Parker Hannifin	PH	5.2%	4.8%	-15.5%	-4.3%	21.0%	6.7%	-3.3%	1.5%	0.5%	-7.8%	1.7%	8.5%	2.6%	-9.8%	0.1%	15.3%	11.7%	-2.2%	-0.1%	5.0%
Rockwell Automation	ROK	6.0%	6.0%	19.0%	10.0%	20.0%	6.0%	1.7%	5.1%	1.1%	-3.5%	6.1%	5.5%	2.8%	-7.5%	6.7%	11.3%	16.9%	-0.5%	1.3%	8.8%
Regal Rexnord	RRX	3.3%	2.2%	-21.0%	15.6%	2.3%	-7.3%	-2.3%	1.6%	-6.0%	-7.9%	4.3%	5.7%	-5.7%	-8.4%	17.4%	9.4%	-8.0%	-4.8%	0.7%	2.9%
SPX Tech	SPXC																				
Trane Tech	TT	6.0%	-1.7%	-14.3%	7.7%	5.4%	1.9%	3.0%	5.1%	4.7%	-1.5%	5.0%	9.0%	0.8%	-4.6%	2.6%	12.5%	12.2%	6.2%	14.1%	11.6%
Average		5.1%	1.7%	-11.3%	7.0%	8.7%	1.9%	0.8%	3.4%	1.1%	-1.5%	4.2%	6.5%	1.9%	-7.3%	7.9%	10.5%	4.7%	1.5%	6.5%	11.7%
Median		5.2%	2.0%	-14.3%	7.7%	7.0%	2.6%	1.2%	3.4%	1.1%	-0.5%	4.3%	6.0%	2.3%	-6.9%	7.8%	11.0%	5.3%	1.5%	2.0%	5.0%

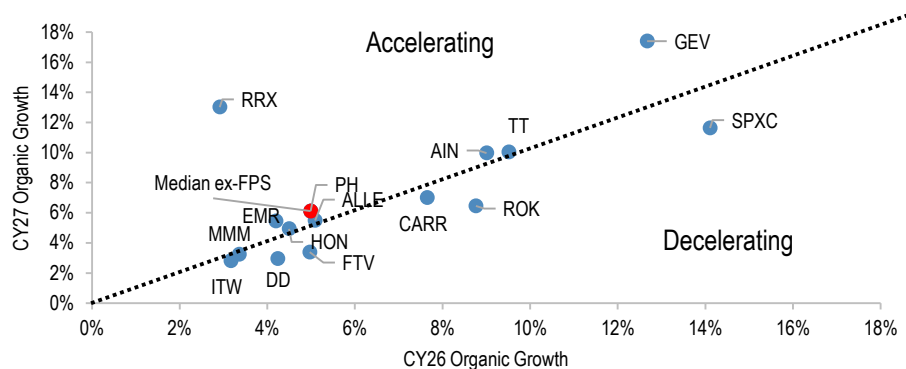
Note: CY Basis

Source: J.P. Morgan estimates, Company Data.

By company, we show below the relative change of organic sales growth in 2027 vs 2026. A couple of points:

- FPS is set to see by a distance the highest organic sales growth in both years (hence we do not show it in the chart);
- RRX and GEV are set to see an acceleration in OSG in 2027, which should be supportive of their valuations;
- We expect TT (and AIN) to hold organic growth steady into 2027, with among the highest growth rates in the sector, which should be supportive of their valuations;
- We expect DD, FTV, CARR, ROK and SPXC to decelerate in 2027, but SPXC has the best chance of seeing valuation support, given its high absolute OSG rate.

Figure 7: ...RRX and GEV should see an acceleration in OSG in '27, with a deceleration for DD, FTV, ROK

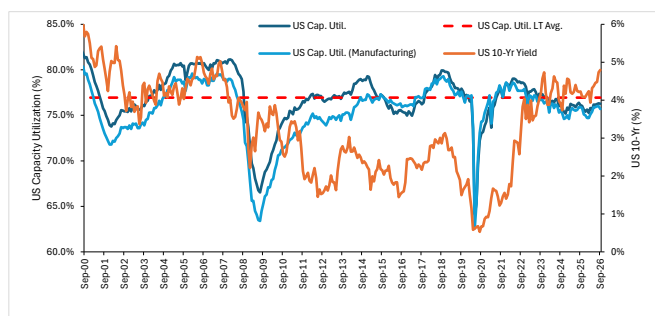


Note: We estimate that FPS growth is +89% in CY26 and +61% in CY27
Source: J.P. Morgan estimates, Company data.

One barrier to further acceleration of top-line metrics we think relates to interest rate moves, which are weighing on an already-pressured consumer; consumption is hard to ignore in any discussion of aggregate demand, given it comprises ~50-70% of GDP in many developed economies.

US capacity utilization is also not seeing the surges / absolute high levels that it often does when yields are climbing – the combination of higher rates and flat capacity utilization (which is slightly below the LT average) does not suggest the need for major, broad greenfield capacity investments in the US.

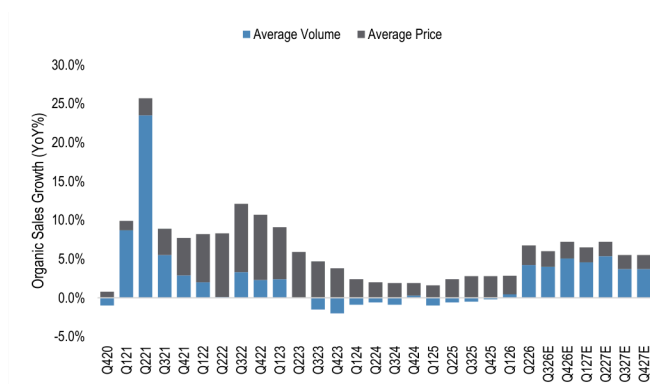
Figure 8: Moderate Capacity Utilization, and rising Yields / Rates, do not suggest the need for major Greenfield investment in the broader US economy



Source: Bloomberg Finance L.P.

In terms of the split between price and volume top-line drivers, volume growth has become a major driver in recent quarters, while price tailwinds have narrowed somewhat. We expect modest pricing tailwinds in 2027, alongside volume growth.

Figure 9: Volume growth is the main driver of sector wide OSG, for the first time since 2021



Source: J.P. Morgan estimates, Company Data.

We show below our expectations for the key end-markets that EE/MI companies sell into. Into 2027, we expect the highest OSG in markets such as Datacenter, HV Power Grid, and Electrical Equipment, with softness in Resi / Consumer, Wind, and Ag / Off-Highway.

Figure 10: EE/MI OSG by End-market – wide dispersions continue in 2027

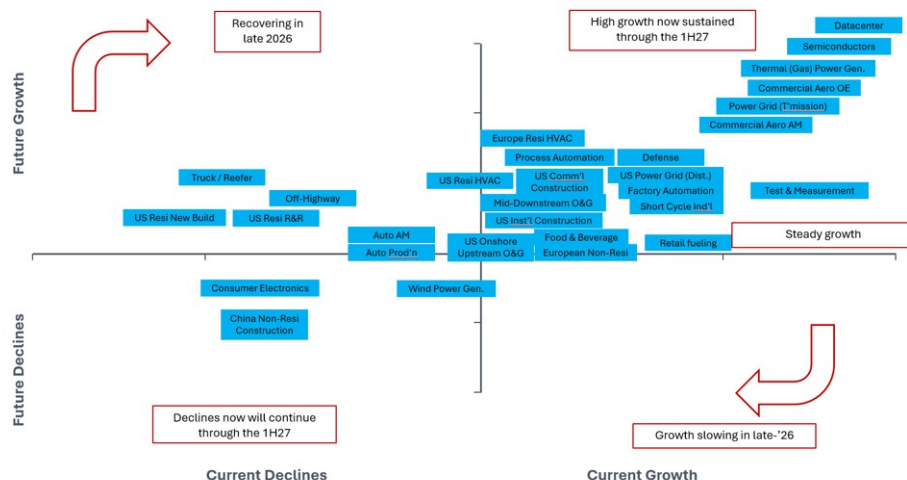
End Market Organic Sales Growth												
Sector	End Market / Products	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Buildings	Electrical Equipment	4%	2%	-5%	11%	12%	10%	6%	17%	22%	23%	17%
	Elevators / Escalators	5%	5%	-1%	6%	1%	6%	2%	2%	2%	2%	2%
	Fire & Security	4%	4%	-5%	7%	11%	8%	5%	5%	5%	5%	5%
	Non-Resi HVAC	5%	3%	-6%	9%	11%	12%	10%	9%	9%	9%	8%
	Non-Residential	3%	5%	-7%	4%	11%	7%	6%	8%	10%	10%	8%
	Resi HVAC	7%	1%	5%	17%	12%	-7%	10%	-8%	7%	4%	3%
Energy	Residential / Consumer	7%	4%	4%	21%	-1%	-6%	3%	-1%	-1%	0%	1%
	HV Power Grid	-4%	-12%	-11%	-13%	13%	26%	28%	25%	25%	21%	18%
	MV & LV Power Grid	3%	3%	1%	5%	18%	14%	3%	8%	10%	7%	6%
	Thermal Power	-23%	-2%	-2%	0%	6%	8%	7%	8%	19%	25%	19%
Industry	Wind Power	-10%	17%	18%	9%	8%	7%	11%	6%	-9%	-4%	2%
	Factory Automation	5%	-6%	-8%	25%	14%	4%	-5%	6%	9%	7%	6%
	Process Automation	4%	4%	-8%	5%	11%	13%	5%	3%	4%	6%	5%
	Short Cycle Industrial	7%	-2%	-7%	13%	10%	5%	-2%	1%	5%	4%	3%
Transport	Test & Measurement	7%	5%	-3%	15%	12%	1%	-2%	-1%	8%	5%	5%
	Automotive Components	3%	-6%	-16%	15%	9%	5%	-2%	-1%	-1%	0%	0%
	Commercial Aerospace AM	17%	3%	-38%	16%	32%	31%	13%	11%	9%	8%	7%
	Commercial Aerospace OE	12%	11%	-33%	-5%	19%	21%	17%	35%	10%	15%	11%
	Defense	6%	10%	2%	0%	-1%	5%	8%	6%	6%	6%	6%
	Off-Highway	2%	1%	-16%	29%	17%	15%	-15%	-8%	-8%	13%	8%
Other	Transport Refrigeration	13%	-1%	-16%	24%	9%	-2%	-5%	2%	1%	5%	4%
	Datacenter	3%	3%	0%	12%	15%	19%	32%	42%	52%	45%	25%
	Healthcare	5%	5%	7%	14%	6%	4%	3%	2%	3%	3%	3%
	Software	4%	8%	11%	12%	10%	9%	8%	8%	8%	8%	8%

Note: Growth rates are annual EE/MI OSG in each end-market

Source: J.P. Morgan estimates, Company Data.

We expect markets such as Short Cycle Industrial and Factory Automation to decelerate over the NTM, after a recent 2-year upswing, while Datacenter, Power and Aerospace continue to offer very high growth. Markets such as Consumer Electronics and China construction may remain subdued for some time. Transport refrigeration and off-highway (esp. Ag.) appear likely to recover over the next 12 months.

Figure 11: End-markets: Which phase of their cycles do they sit in?



Source: J.P. Morgan estimates, Company Data.

Datacenter

Datacenter is driving the majority of growth in the sector aside from Aerospace.

The Street is expecting a major deceleration in hyperscaler capex growth in 2027 vs 2026, slowing to MT% by 2028. However, we note that Street estimates have consistently been revised upwards. As of 10/6/25 the Street anticipated that hyperscaler capex growth would be 24% / 13% / 12% y-o-y in 2026E / 2027E / 2028E - these numbers have since been revised to 102% / 49% / 15%.

Figure 12: Hyperscaler capex growth estimates by the Street have been significantly revised upward for 2026 and 2027 vs a year ago

Street Capex Growth est. Y/Y% as of 10/6/26								
	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
AMZN (AWS)	-10%	114%	81%	90%	71%	24%	17%	15%
GOOGL	2%	63%	74%	120%	56%	15%	-3%	3%
MSFT	-13%	37%	87%	101%	54%	8%	-14%	23%
META	42%	58%	50%	91%	31%	12%	11%	9%
ORCL	-8%	85%	227%	113%	14%	9%	-10%	-25%
Total	3%	67%	81%	102%	49%	15%	3%	9%

Note: AMZN (AWS) estimates are from J.P. Morgan Internet Analyst Dough Anmuth, AMZN includes capex & leases
Source: Bloomberg Finance L.P.

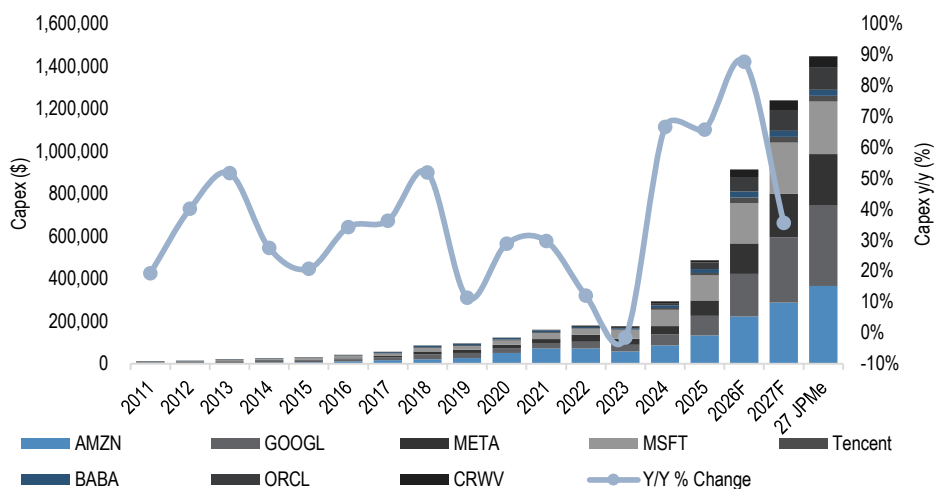
Figure 13: Last year, the Street was anticipating a major step-down in 2026 capex growth, in stark contrast with current estimates

Street Capex Growth est. Y/Y% as of 10/6/25								
	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
AMZN (AWS)	-10%	114%	62%	26%	17%	12%	12%	11%
GOOGL	2%	63%	62%	16%	4%	6%	12%	7%
MSFT	-13%	37%	85%	44%	7%	14%	18%	15%
META	42%	58%	44%	14%	14%	12%	7%	-1%
ORCL	-8%	85%	167%	28%	33%	18%	3%	-2%
Total	3%	67%	67%	24%	13%	12%	11%	7%

Note: AMZN (AWS) estimates are from J.P. Morgan Internet Analyst Dough Anmuth, AMZN includes capex & leases
Source: Bloomberg Finance L.P.

That said, JPM Internet analyst Doug Anmuth, covering 3/4 hyperscalers, has CY27 capex estimates ~24% above Street. Combined with Software analyst Samik Chatterjee's coverage of MSFT, ORCL, and CRWV, JPM's aggregate CY27 capex estimate runs ~18% above Street.

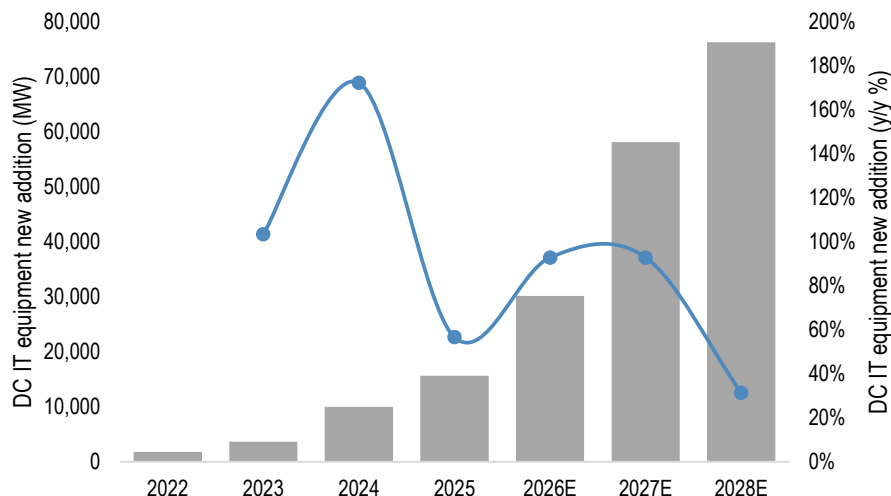
Figure 14: CY27 JPMe capex \$ and y/y growth estimates are materially above Street estimates



Note: 2027JPMe includes AMZN, GOOGL, META covered by Doug Anmuth, and MSFT, ORCL, CRWV covered by Samik Chatterjee
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Our bottom-up JPM Asian Tech team's Global DC power and cooling model (based on server and chip forecasts) shows pure IT equipment global DC annual additions has grown from ~1.8 GWs in '22 to ~15.5 GWs in 2025. Looking ahead, this figure is expected to grow to ~30 GWs in '26, or ~90% y/y change, and sustain this high growth rate in 2027 – this should be supportive of AI-related valuation multiples in EE/MI. In 2028 (where visibility is lower), the forecasts embed a deceleration, but these out year forecasts (like the hyperscaler capex estimates) have a history in recent years of being revised sharply higher.

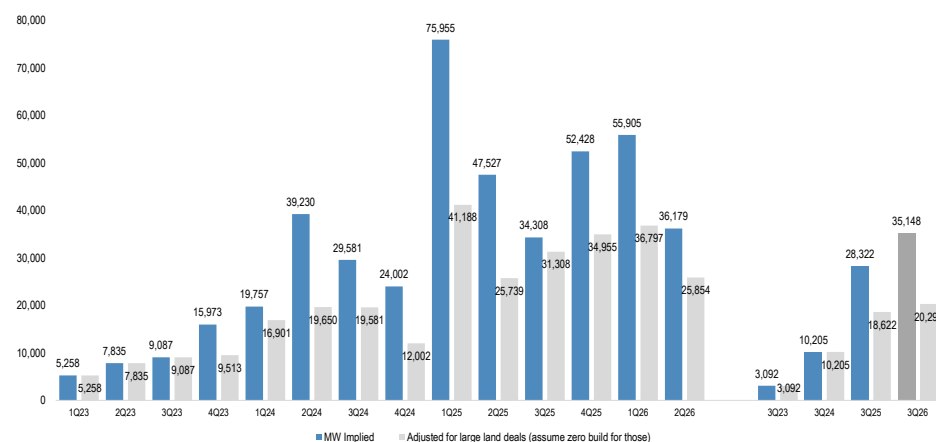
Figure 15: JPM New Global Data Center capacity installation forecast



Note: Data per JPM Asian Tech Team Power and Cooling model
 Source: J.P. Morgan estimates.

The above is also supported by our proprietary DC funnel, which is focused on the domestic US market. This funnel is currently tracking ~490 GWs as of Aug '26 end, having grown by ~130 GWs YTD, and 205 GWs over the LTM. To be clear, this is a funnel and not a pipeline, tracking ~840 projects within US (since Jan '23) and it captures the full spectrum of project stages, from initial announcement to land acquisition to power secured. While the current AI/DC cycle is now firmly in its execution phase, with shovels in the ground and projects coming online, the steady pace of new project announcements throughout suggests a higher-for-longer AI/DC cycle.

Figure 16: Net Adds to the US Datacenter Funnel Remains Strong



Note: Updated through Aug '26.
 Source: DCD, DC Knowledge, news outlets, J.P. Morgan estimates.

Recent DC delays and moratorium headlines have somewhat weighed on sentiment. However, since we began maintaining our funnel in January 2023, ~60 projects totaling ~32 GW have been canceled for various reasons. While this figure may seem aggressive in isolation, it represents just 7% of our overall DC funnel, and excluding Tract (~5 GWs), which has consistently been shaky in coming online, the cancellation rate drops

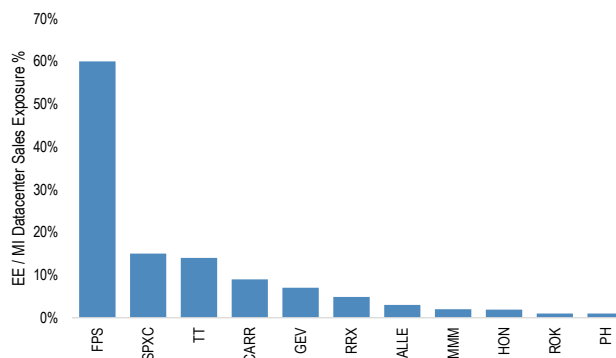
to ~5% of our DC funnel.

For context, current total NA installed DC capacity is tracking to 75 GWs in 2Q26 as tracked by our JPM Hardware and Network analyst Joseph Cardoso, see [here](#), up from 62 GW at the end of 1Q26, and ~42 GWs at end of 2Q25. On a q/q basis, new installed capacity additions set yet another record at 13 GW, compared with 8 GW in 1Q26, 5 GW in 4Q25, and 7 GW in 3Q25. The 1H26 run rate implies ~40-45 GWs in net additions in NA in '26, and r/f at flat run rate and even after accounting for the bottlenecks in terms of power, labor, permitting and applying a 20% discount implies ~180 GWs of net additions in NA alone in next 5 years vs VRT guide of global net installs of ~140 GWs.

As per the note, planned capacity reached 210 GW at the end of 2Q26, up from 195 GW at the end of 1Q26 and 116 GW at the end of 2Q25, and the team estimates 29 GWs of pipeline additions in 2Q26 (vs 51 GWs added in 1Q26) and attribute the step-down as part of the typical choppiness in timing, similar to the sequential decline observed in 2Q25. Our proprietary DC funnel also shows a similar outcome.

Within US EE/MI, FPS has the highest datacenter exposure at ~60%, followed by TT and SPXC.

Figure 17: FPS has the largest datacenter sales exposure in our coverage by a large margin



Note: FY26 basis
Source: J.P. Morgan estimates.

We show below the end-market and geographic sales splits of our coverage.

Figure 18: EE/MI End-market revenue split

End Market	AIN	ALLE	CARR	DD	EMR	FPS	FTV	GEV	HON	ITW	MMM	PH	ROK	RRX	SPXC	TT
Non-Residential Buildings (inc. Multi-Family)	77%	39%	12%	8%			17%									
Residential Buildings	20%	45%	12%	3%						9%	15%	1%		8%	8%	16%
Power Gen					9%	8%	1%	60%				4%	0%	2%	5%	
Power Grid					2%	15%	4%	23%	8%		5%					
Oil & Gas / Petrochemical (exc. Upstream)					11%		7%	4%	15%	3%	2%	1%	6%		6%	
Upstream O&G					11%				6%			2%	9%			
Truck Components		10%										4%				11%
Auto Components			13%							19%	7%	4%				
Auto AM / Repair									6%	5%						
Auto / Truck Production Equipment												1%	15%			
Off-Highway (inc Agriculture)												13%		3%		
Comm'l Aero (inc Heli)	29%			4%	3%						1%	21%		7%		
Business & General Aviation												2%				
Defense (inc Heli) & Space	14%			1%	3%							12%			10%	
Retail Fueling																
H'Care / Dental				25%	6%		31%		4%		2%	3%	5%	2%	8%	
Agriculture (Non-vehicle)																
Mining (Non-vehicle)					6%				4%				10%	10%		
Datacenter	3%	5%				42%		4%			2%	1%	1%	3%	9%	13%
Fast Moving Consumer / Packaging							7%		8%	7%	19%		30%	9%		
Short Cycle Gen Industrial				11%	21%	19%		4%	11%	18%	20%	23%	5%	36%	15%	
Electronics					5%		3%			5%	12%	5%				
Other	57%	0%	1%	22%	12%	16%	6%	5%	6%	27%	2%	5%	14%	10%	17%	1%
Total	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%

Source: J.P. Morgan estimates, Company data.

From a geographic standpoint, US exposure has been the highest-growth in most markets for a few years now. Europe is back in the center of investor concerns around demand, as evidenced by the recent weakness in the Euro.

Figure 19: US Multi-Industry Geographic Sales Exposure (by Destination)

US Multi-Industry	North AM	EMEA	Asia	LatAm / Other	Total	U.S.	Non-U.S. Americas	Total Americas	China	EM	MEA	Europe
Albany International	58%	23%	6%	13%	100%	53%	10%	63%	6%	11%	0%	23%
Allegion	71%	17%	4%	8%	100%	70%	9%	79%	0%	16%	3%	14%
Carrier	52%	28%	18%	2%	100%	48%	4%	52%	9%	21%	2%	26%
DuPont	51%	21%	24%	4%	100%	45%	10%	55%	10%	24%	4%	17%
Emerson	50%	28%	21%	1%	100%	42%	10%	52%	11%	31%	9%	19%
Forgent	99%	0%	0%	1%	100%	98%	2%	100%	0%	0%	0%	0%
Fortive	56%	17%	16%	11%	100%	55%	5%	60%	8%	29%	2%	15%
GE Vernova	47%	34%	12%	7%	100%	46%	8%	54%	2%	35%	14%	20%
Honeywell	50%	28%	18%	4%	100%	45%	9%	54%	5%	23%	8%	20%
Illinois Tool Works	53%	26%	19%	2%	100%	46%	9%	55%	9%	23%	2%	24%
MMM	44%	17%	28%	11%	100%	42%	11%	53%	12%	35%	2%	15%
Parker Hannifin	68%	19%	12%	1%	100%	65%	3%	68%	6%	17%	2%	17%
Rockwell Automation	63%	18%	12%	7%	100%	58%	5%	63%	6%	19%	2%	16%
Regal Rexnord	70%	17%	7%	6%	100%	63%	7%	70%	5%	13%	1%	16%
SPX Technologies	89%	4%	3%	4%	100%	80%	9%	89%	3%	7%	0%	4%
Trane Technologies	76%	13%	6%	5%	100%	75%	6%	81%	5%	12%	2%	11%

Source: J.P. Morgan estimates, Company data.

Onshoring

One evergreen (or tiresome, depending on the mood one is in) topic of conversation in the US industrial world is 'Onshoring', which could potentially provide a decent tailwind to US manufacturing / industrial companies. This subject has enjoyed various waves of investor enthusiasm for many decades, regardless of whether any such manufacturing repatriation was actually happening on the ground.

There is some evidence of such 'shoring' occurring in the US now, beyond just the usual anecdotes along the lines of 'factory X is expanding capacity, so this proves there is onshoring', as if the US did not have a manufacturing base prior to two years ago.

For instance, manufacturing payrolls have grown over the last 9 months, which is encouraging, although to some extent this may reflect the typical cyclical recovery, after a period when payrolls fell.

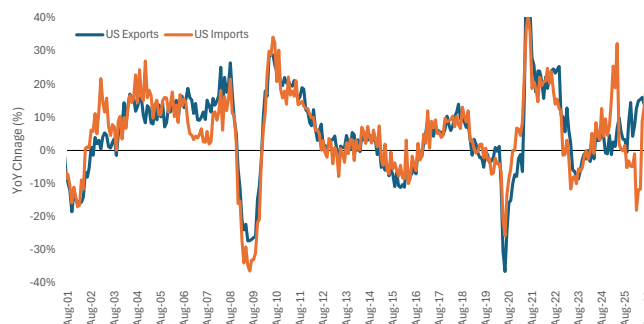
When looking at overall balance of trade data, there is not much evidence thus far of much ‘shoring’ - imports and exports seem to be moving in a very similar fashion, now that the tariff-related disruption is behind us.

Figure 20: US Manufacturing Payrolls are showing a decent pick-up



Source: Bloomberg Finance L.P.

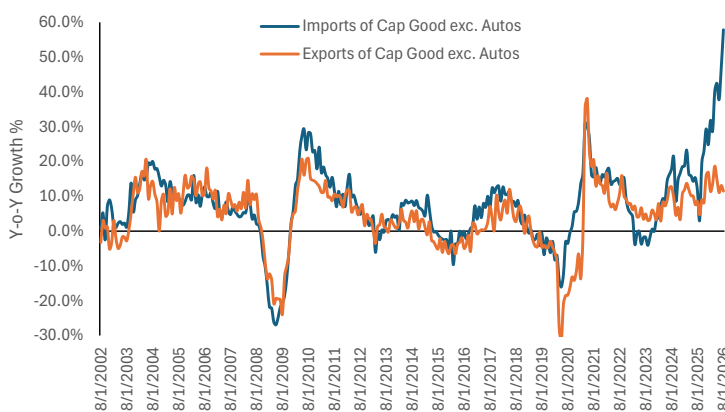
Figure 21: US Imports vs Exports do not show much evidence of Shoring



Source: Bloomberg Finance L.P.

We note that the specific Goods imports and exports data suggests the very opposite of Onshoring - there has been a huge boom in Imports, with Exports growth being quite steady.

Figure 22: Capital Goods Imports (exc. Autos) have grown relatively in-line with exports growth historically, but have far outstripped exports in the last year

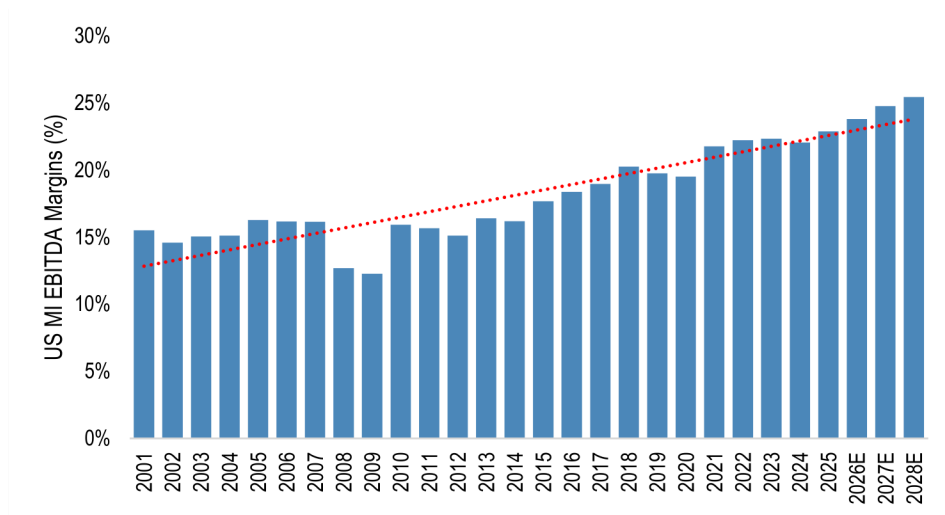


Source: Bloomberg Finance L.P.

Margin outlook

After being stuck in the mid-teens for 15 years, EE/MI EBITDA margins have moved up fairly consistently over the past decade, and are now set to move into the high 20%s.

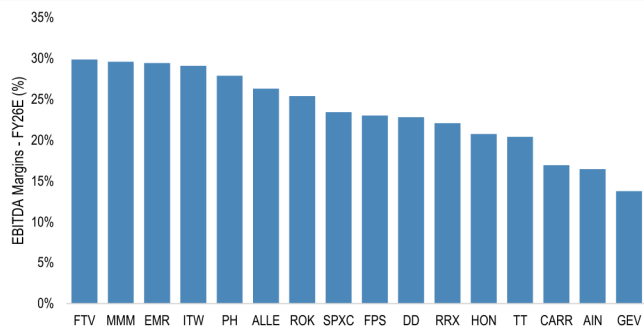
Figure 23: Adj. EBITDA margins have marched steadily higher over time, with occasional headwinds from volume recessions, and price / cost



Source: J.P. Morgan estimates, Company Data.

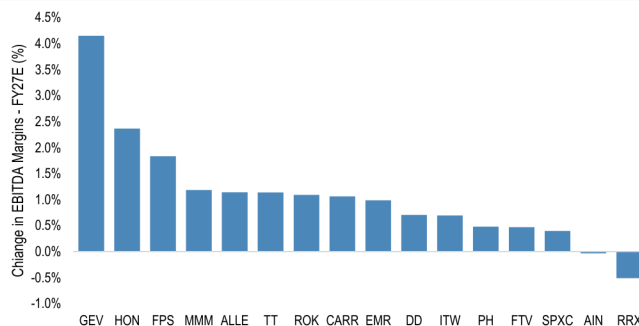
We show below absolute current EBITDA margins, and who we think will have the largest or smallest margin increases in 2027.

Figure 24: FTV, MMM, EMR have among the highest EBITDA margins in our sector...



Note: FPS and PH are on CY basis, ROK and EMR are on FY basis.
Source: J.P. Morgan estimates.

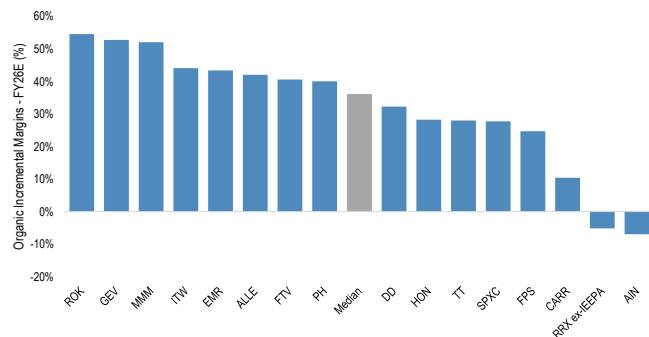
Figure 25: ...Though GEV, HON, and FPS should witness outsized EBITDA margin expansion in '27



Note: FPS and PH are on CY basis, ROK and EMR are on FY basis. Change in EBITDA margins from FY26 to FY27
Source: J.P. Morgan estimates.

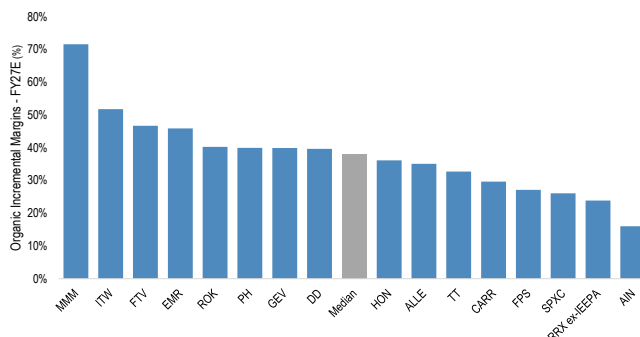
The current environment of high inflation and supply chain constraints in select industries is muting operating leverage for some companies. We estimate median organic incremental margins of ~35% this year, and ~35% in 2027. Some of the laggards are those with lower gross margins / HVAC exposure / very large capacity ramp-ups underway.

Figure 26: There is a very wide dispersion of incremental margins in 2026...



Note: FPS and PH are on CY basis, ROK and EMR are on FY basis.
Source: J.P. Morgan estimates.

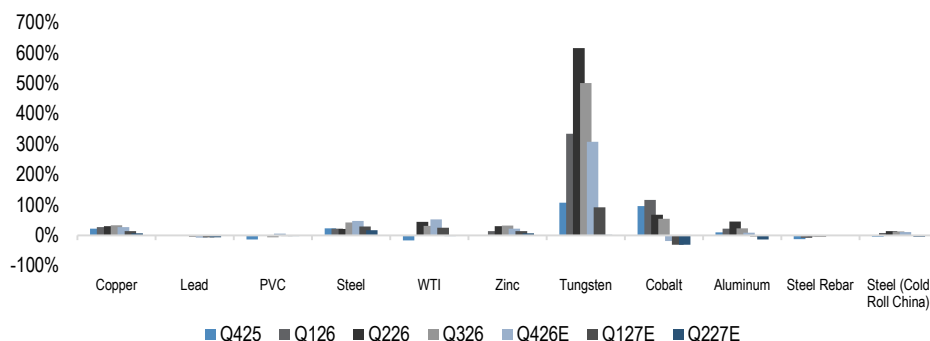
Figure 27: ...And we expect this to persist in 2027



Note: FPS and PH are on CY basis, ROK and EMR are on FY basis.
Source: J.P. Morgan estimates.

Many raw materials are seeing substantial price inflation, which is inflating the COGS of manufacturers. If spot prices hold, this pressure may ease somewhat during 2027 (though the fact that most EE/MI companies use FIFO accounting, and also adopt a fairly common practice of hedging commodities prices, means that their P&L gross margin pressures may ease some time after the commodity spot prices do).

Figure 28: Many input costs are on the rise, which will pressure gross margins into 2027

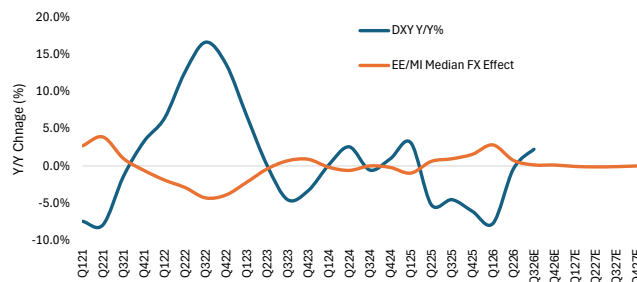


Source: Bloomberg Finance L.P.

FX / BTL (interest, tax)

In terms of other external factors, FX has been a tailwind for EE/MI sales and earnings over the past 12-18 months, but will likely move to a neutral factor over the NTM, if the US\$ holds steady with current spot rates. Over the last few months, the US\$ has been moving higher.

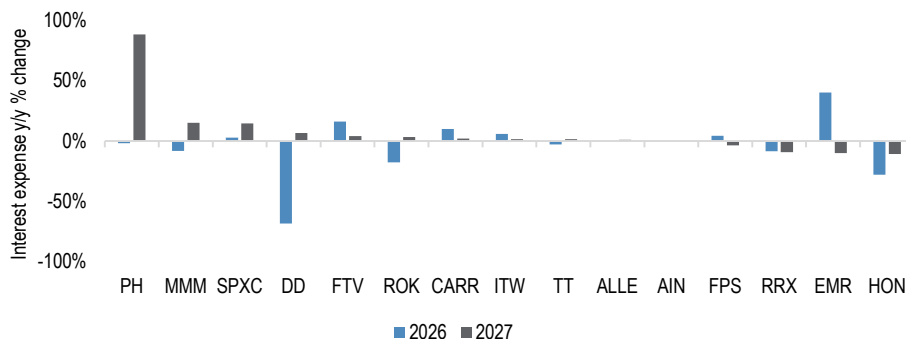
Figure 29: FX will likely move to a neutral factor for US EE/MI companies, having been a tailwind



Source: J.P. Morgan estimates, Company Data, Bloomberg Finance L.P.

One driver of the rising US\$ has been changing expectations around US interest rates / bond yields - partly due to this, and acquisitions in some cases (PH, SPXC), we expect many (but not all) EE/MI companies to see an increase in interest expense in 2027.

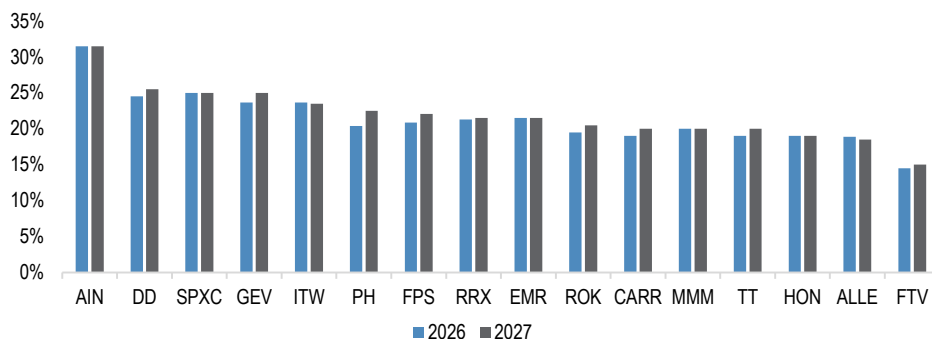
Figure 30: Interest expense likely increases for many EE/MI companies in 2027



Source: J.P. Morgan estimates, Company data. Fiscal year, GEV excluded, due to its net cash position.

We expect adjusted tax rates for most companies to remain fairly steady into 2027.

Figure 31: Effective Tax Rates are likely to be fairly steady into 2027



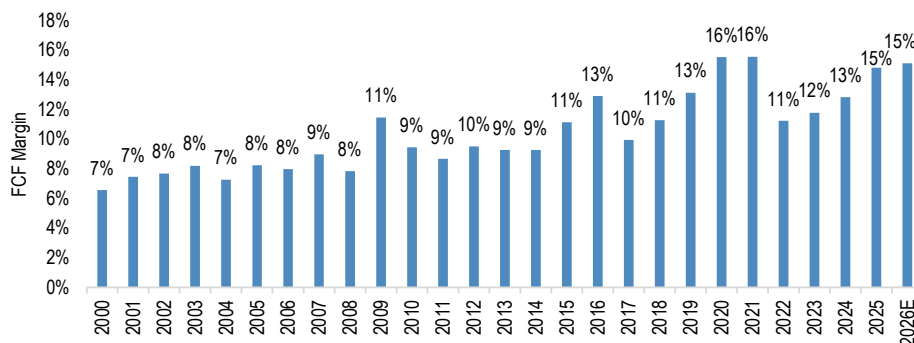
Source: J.P. Morgan estimates, Company data. Fiscal year.

FCF, balance sheet leverage

FCF margins have shown much less improvement than EBITDA margins. One explanation is that EBITDA margins tend to be quite ‘adjusted’, and few management teams can resist this temptation it seems; FCF margins thankfully are quite immune from this problem, which is one reason why it remains one of our preferred KPIs.

Also, the growth / operating leverage that drives up EBITDA margins can often carry headwinds from higher working capital needs, and few EE/MI companies (with the exception of GEV) enjoy large customer downpayments when orders and sales are rising sharply, so the working capital flows for many EE/MI companies act as an automatic ‘stabilizer’ for the cash flow vs P&L operating margin fluctuations.

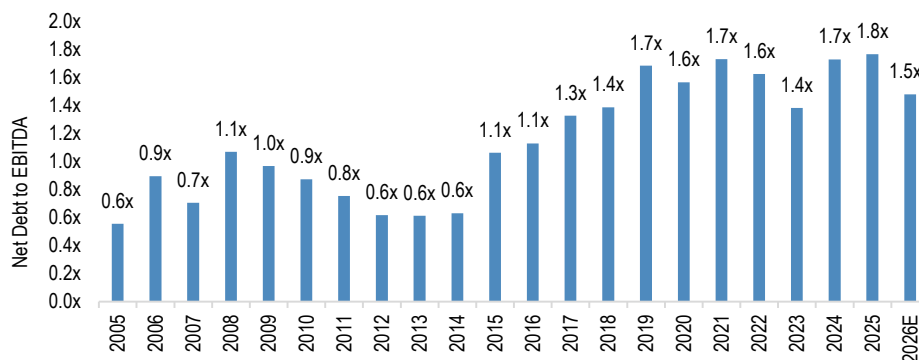
Figure 32: EE/MI Median FCF Margin Over Time



Source: Bloomberg Finance L.P. DD excluded in 2017, SPXC excluded in 2022.

EE/MI balance sheet leverage has been fairly constant since the start of this decade, after leverage levels increased in the latter part of the last decade.

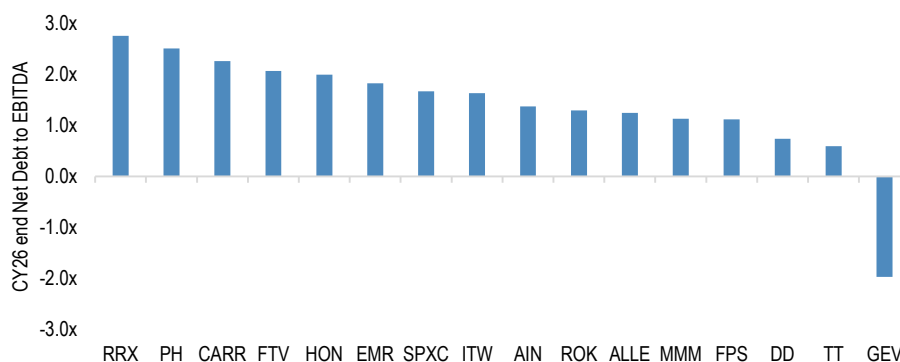
Figure 33: Balance sheet leverage levels are holding quite steady



Source: Bloomberg Finance L.P.

EE/MI balance sheet leverage is relatively high for PH due to M&A, and for CARR and FTV due to large share buybacks.

Figure 34: The more levered companies at present include RRX, PH, CARR, and FTV, with GEV at the other end of the spectrum

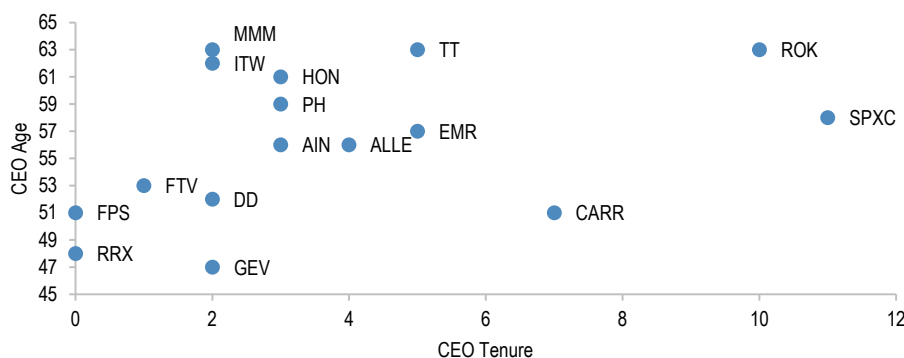


Source: Bloomberg Finance L.P. CY26 end

Self-help

One of the major drivers of self-help within EE/MI can be internally driven, by changes in C-level management. RRX has had the most recent change in CEO, just a matter of months ago – we would expect Mr Paul to simplify the portfolio and reduce balance sheet leverage.

Figure 35: CEO Age vs Tenure



Source: Company reports and J.P. Morgan estimates.

Externally-driven change via shareholder activism is fairly common over time in EE/MI. We show below our ‘activist screen’.

Figure 36: AIN, RRX, CARR screen as most at risk from activist potential in our sector

Factors							
Companies	Room for Operational Improvement	Stock Price Performance vs S&P (LTM)	Balance Sheet Leverage	Capital Deployment Perception	Scope for Portfolio Pruning	Degree of Cyclicity	Total
AIN	3	1	2	4	3	2	15
ALLE	1	2	2	1	0	2	8
CARR	2	2	1	4	2	2	13
DO	2	0	3	2	3	2	12
EMR	1	0	2	2	1	2	8
FPS	1	N/A	3	2	0	1	7
FTV	2	1	1	3	3	2	12
GEV	1	0	2	1	1	1	6
HON	2	2	1	3	3	2	13
ITW	1	2	2	2	3	2	12
MMM	2	2	2	2	2	2	12
PH	1	0	1	1	2	2	7
RRX	3	1	1	4	3	2	14
ROK	2	0	2	2	1	1	8
SPXC	1	2	2	1	0	2	8
TT	1	1	3	1	0	2	8

Criteria							
Large Degree: 3 Points	<-15% vs S&P: 3 Points	<1X 2026 ND/EBITDA: 3 Points	Very Poorly Perceived: 5 Points	Large Scope: 3 Points	Small Degree: 3 Points		
Medium Degree: 2 Points	15 to +5% vs S&P: 2 Points	1-2X 2026 ND/EBITDA: 2 Points	Poorly Perceived: 4 Points	Medium Scope: 2 Points	Medium Degree: 2 Points		
Small Degree: 1 Point	+5-20% vs S&P: 1 Point	2-3X 2026 ND/EBITDA: 1 Point	Neutral Perceived: 2 Points	Small Scope: 1 Point	Large Degree: 1 Point		
Minimal Degree: 0 Points	>20% vs S&P: 0 Points	>3X 2026 ND/EBITDA: 0 Points	Perceived Well: 2 Points	Minimal Scope: 0 Points			
			Perceived Very Well: 1 Point				

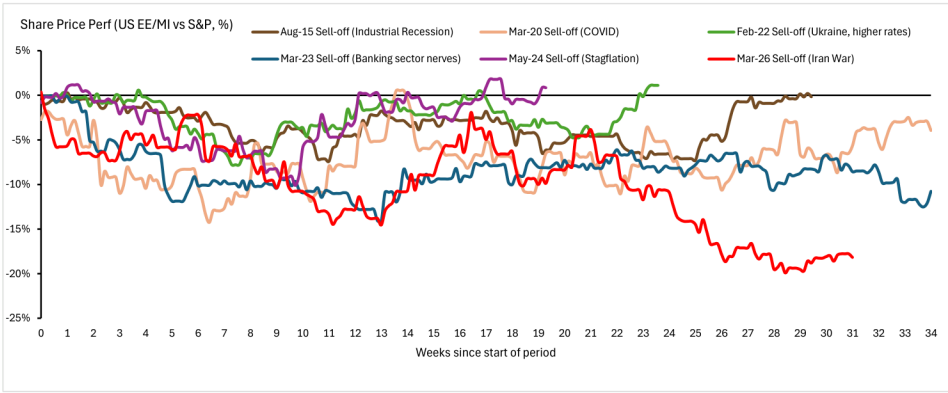
Note: FY Basis; FPS and PH use FY27E for net debt leverage. HON had / has an activist shareholder already.
Source: J.P. Morgan estimates, Company Data, Bloomberg Finance L.P.

Valuation & Performance

So far this year, the EE/MI sector has performed fairly in-line vs the S&P, with a fairly sharp pullback in recent months. EE/MI valuations have also compressed, after extending to a substantial premium vs the S&P earlier in the year. Hence, we see the conditions for a catch-up trade in the coming months.

We can see below that this current pullback is one of the most severe seen in recent years.

Figure 37: EE/MI continues to underperform the S&P following the start of the Iran Conflict



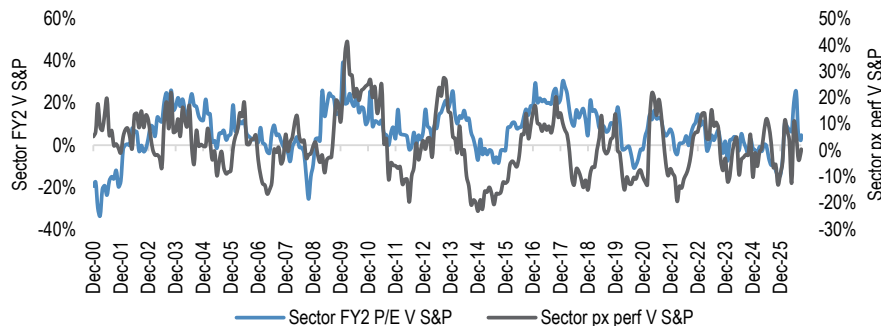
Source: J.P. Morgan., Bloomberg Finance L.P.

Figure 38: EE/MI performance in 2026 overall so far has been reasonably balanced vs the S&P

2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
AIN	ROK	ROK	ROK	ROK	ROK	SPXC	ROK	TT	PH	ROK	TT	TT	ALLE	ALLE	SPXC
RRX	MMM	AIN	RRX	ROK	SPXC	PH	MMM	DO	ROK	HON	RRX	AIN	MMM	DO	PH
SPXC	TT	TT	PH	SPXC	HON	HON	ITW	AIN	HON	SPXC	ITW	PH	ITW	HON	TT
ITW	PH	SPXC	DO	EMR	EMR	EMR	EMR	ROK	EMR	AIN	HON	MMM	SPXC	SPXC	ITW
TT	AIN	HON	ITW	SPXC	SPXC	ITW	PH	ITW	SPXC	PH	ROK	SPXC	AIN	AIN	HON
MMM	ROK	MMM	SPXC	AIN	ITW	ROK	HON	RRX	ITW	EMR	ROK	TT	ROK	MMM	SPXC
ROK	EMR	ITW	EMR	TT	ROK	AIN	ROK	SPXC	DO	SPXC	MMM	ITW	DO	MMM	ROK
DO	DO	PH	HON	ITW	MMM	MMM	SPXC	PH	SPXC	DO	SPXC	DO	RRX	TT	EMR
SPXC	SPXC	EMR	AIN	MMM	TT	SPXC	DO	SPXC	RRX	EMR	DO	EMR	PH	ROK	HON
EMR	HON	SPXC	MMM	DO	DO	DO	TT	HON	AIN	RRX	PH	SPXC	ROK	EMR	PH
HON	SPXC	ROK	SPXC	PH	AIN	ROK	AIN	EMR	MMM	TT	AIN	ROK	SPXC	SPXC	ALLE

Note: Ranked price performance by year (top = best performer)
Source: Bloomberg Finance L.P.

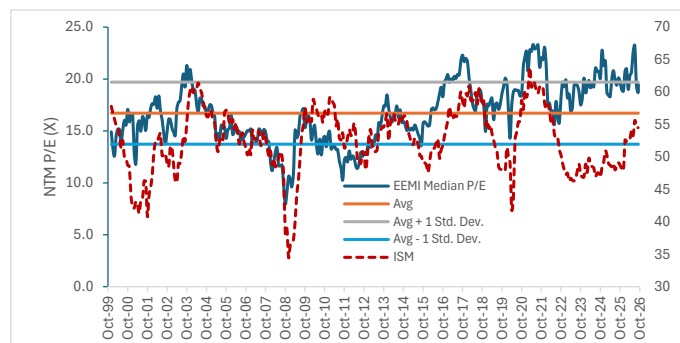
Figure 39: The EE/MI sector has pulled back against the S&P in recent months, with the valuation now looking quite in-line with the index, similar to the LT average



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

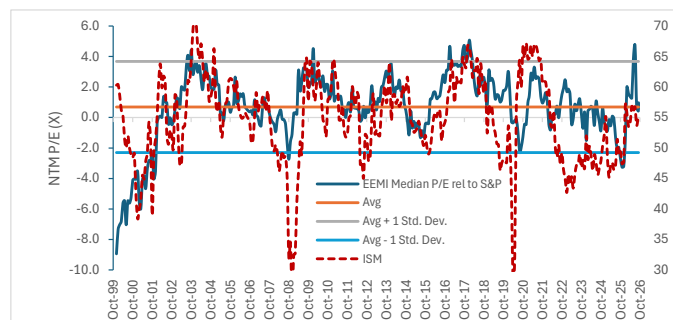
Sector relative valuations look in-line with history, while absolute valuations look high still on a 25-year view (more in-line on a 10-year view).

Figure 40: EE/MI Absolute Valuations look elevated still vs the 25-year history...



Source: Bloomberg Finance L.P.

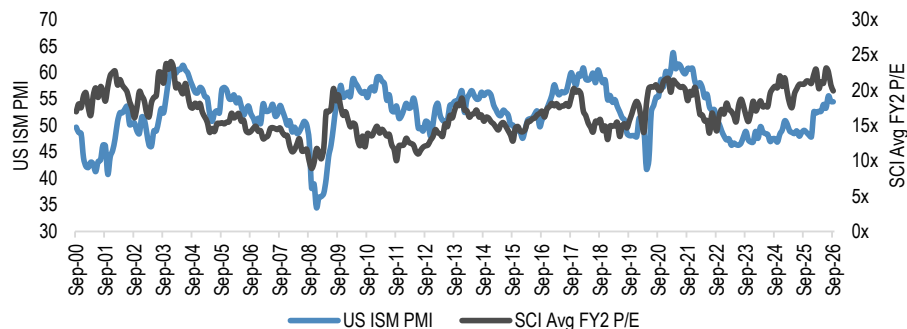
Figure 41: ...But the sector's relative valuation (to the S&P) is now in-line with the long-term average



Source: Bloomberg Finance L.P.

Relative to the US Manufacturing PMI, the sector looks less overvalued / cheaper now, than over the past ~3 years.

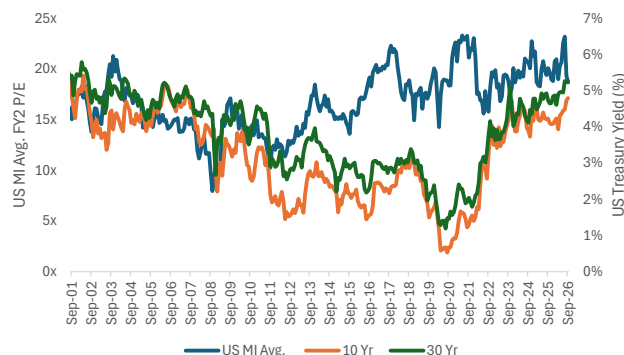
Figure 42: Sector valuations look more in sync with PMIs now



Source: Bloomberg Finance L.P. estimates.

EE/MI valuations moved higher over the last decade as bond yields compressed / amidst 'easy money'. Now that bond yields are on the rise, sector valuations have compressed somewhat, and it may be hard for them to re-rate sharply higher without bond yields rolling over.

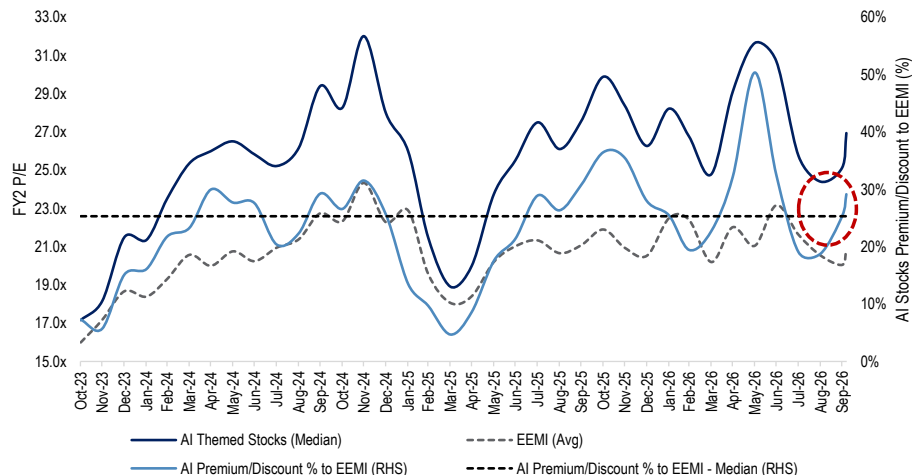
Figure 43: EE/MI valuations may struggle to rebound sharply, without a rollover of bond yields



Source: Bloomberg Finance L.P.

In AI specifically, we are soon to enter Year 4 of what has been a very strong capex up-cycle, and it is natural that valuation multiple downwards pressure will increase over time. Investor crowding in Datacenter names remains very high and there is no shortage of people willing to tout any 5% pullback in an AI name as a 'great buying opportunity', regardless of where the stock was a year earlier, or what its current valuation is. The fact that global Datacenter GW additions growth will likely remain quite steady in 2027 with 2026 (at very high rates) should support near-term multiples. On 2028, visibility is very low, for now.

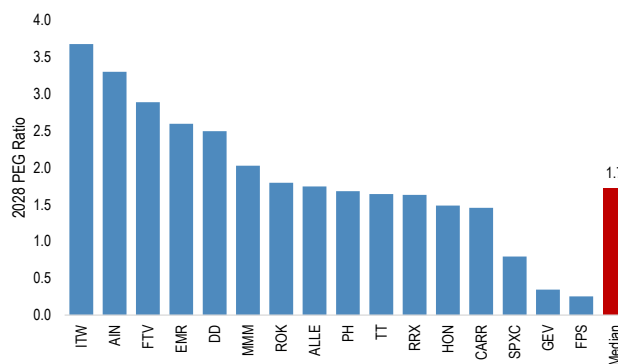
AI related industrials are trading at a slightly larger-than-normal premium vs the rest of EE/MI (as compared with the last 3 years)



Note: AI Themed Stocks includes JCI, TT, SPXC, MOD, MAIR, GEV, VRT, ETN, FPS, NVT
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Looking at PEG ratios, the names with somewhat high Datacenter exposure look quite attractive, as do a couple of self-help stories. ITW, AIN, and FTV look least appealing on this basis.

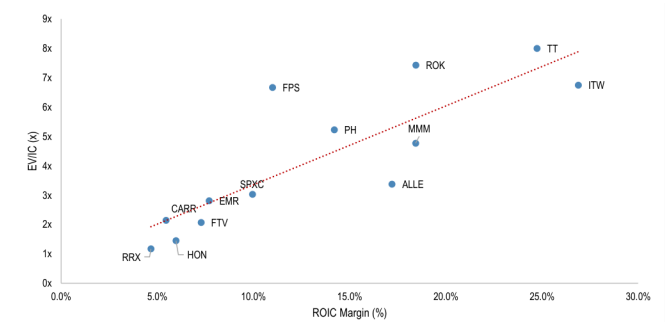
Figure 44: On a PEG basis, FPS, GEV and SPXC look most attractive, with ITW, AIN and FTV at the other end of the spectrum



Note: FY Basis; PEG is calculated using 2028 P/E and 2026-2028 Op. Profit CAGR
Source: J.P. Morgan estimates, Company Data, Bloomberg Finance L.P.

When we look at ROIC, ALLE looks undervalued, with FPS and ROK overvalued.

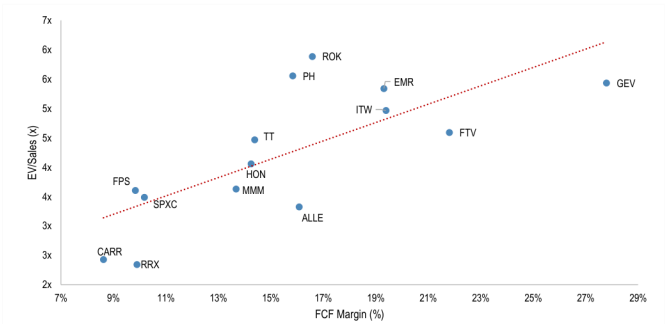
Figure 45: EE/MI Valuation Broadly Tracks Returns



Note: ROIC on LTM basis. GEV (18.7x, +31.8%), OTIS (9.7x, +51.7%); EV/IC refers to Enterprise Value divided by Invested Capital
Source: J.P. Morgan estimates, Company Data, Bloomberg Finance L.P.

When we look at FCF margins, ALLE, FTV, GEV and RRX look undervalued, with ROK and PH overvalued.

Figure 46: EE/MI Cash Conversion is Rewarded But Less Tightly Than ROIC



Source: J.P. Morgan estimates, Company Data, Bloomberg Finance L.P.

Expected Guidance

We show below our 2027 expected guidance tables (for companies with a June or September FY-end).

Figure 47: EMR

EMR	J.P. Morgan 2027 Guidance Est.
Sales Midpoint	\$19.9bn
Organic Sales Growth	~4-6%
GAAP Sales Growth	~5%
Adjusted Segment EBITA Margin	~29%
Adj. ETR	~21.5%
Adj. EPS	~\$7.20-7.40
FCF	\$4bn
Share Repurchase	\$1bn

Source: J.P. Morgan estimates, Company Data.

Figure 48: FPS

FPS	J.P. Morgan 2027 Guidance Est.
Sales	\$2.4-2.6bn
Adj. EBITDA	\$575-625m
% Margin	24.0%
Adj. EPS	\$1.26-1.40

Source: J.P. Morgan estimates, Company Data.

Figure 49: PH

PH	J. P. Morgan 2027 Guidance Est.
Reported Sales Growth	14.5-17.5%
Organic Sales Growth	6-9%
FX	~0.5%
M&A	~9%
Corporate G&A	~\$200m
Adj. Operating Margin	27.5-27.9%
Interest Expense	~\$750m
Other (Income) Expense	~\$100m
Tax Rate	~22.5%
Adj. EPS	\$34.95-35.75
Diluted Shares Outstanding	~127.8m
Fre Cash Flow	\$3.6-4.0bn

Source: J.P. Morgan estimates, Company Data.

Figure 50: ROK

ROK	J.P. Morgan 2027 Guidance Est.
Sales Midpoint	~ \$9.5bn
Organic Sales Growth	6-8%
Divestiture	-1%
Currency Translation	flat
Enterprise Operating Margin	~ 22.5%
Adj. ETR	~ 20%
Adj. EPS	\$14.00-15.00
FCF Conversion	~ 100%

Source: J.P. Morgan estimates, Company Data.

EPS Bridges

We show below our 2027 EPS 'bridges' across the coverage.

Figure 51: AIN 2027 EPS Bridge

AIN EPS Bridge	2027E	Comments
Start EPS (2026)	\$3.70	
Organic	\$0.94	~10% organic growth assumed
FX	\$0.00	
M&A	\$0.00	
Corp / Other	-\$0.14	
Reversal of reach forward loss reserve in '26	-\$1.29	
Interest	\$0.00	
Tax	\$0.02	~32% tax rate assumed
NCI	\$0.00	
Share Count	\$0.00	~\$0.0bn of buyback assumed
End EPS (2027)	\$3.24	

Source: J.P. Morgan estimates, Company Data.

Figure 52: ALLE 2027 EPS Bridge

ALLE EPS Bridge	2027E	Comments
Start EPS (2026)	\$9.00	
Organic	\$0.76	~5% organic growth rate assumed
FX	\$0.00	
M&A	\$0.00	
Corp / Other	-\$0.11	
Interest	-\$0.01	
Other Expense	\$0.03	
Tax	\$0.05	~19% tax rate assumed
NCI	\$0.00	
Share Count	\$0.13	~\$0.2bn of buyback assumed
End EPS (2027)	\$9.85	

Source: J.P. Morgan estimates, Company Data.

Figure 53: CARR 2027 EPS Bridge

CARR EPS Bridge	2027E	Comments
Start EPS (2026)	\$2.87	
Organic	\$0.46	~7% organic growth rate assumed
FX	(\$0.01)	
M&A	(\$0.01)	
Corp	(\$0.00)	
Interest	(\$0.01)	
Other	\$0.00	
Minority Interest	\$0.00	
Tax	(\$0.04)	~20% tax rate assumed
Share Count	\$0.08	~\$1.0bn of buyback assumed
End EPS (2027)	\$3.33	

Source: J.P. Morgan estimates, Company Data.

Figure 54: DD 2027 EPS Bridge

DD EPS Bridge	2027E	Comments
Start EPS (2026)	\$7.28	
Organic	\$0.47	~3% organic growth rate assumed
FX	\$0.00	
M&A	\$0.00	
Corp / Other	\$0.11	
Interest	-\$0.03	
Tax	-\$0.10	~26% tax rate assumed
NCI	\$0.00	
Share Count	\$0.21	~\$0.5bn of buyback assumed
End EPS (2027)	\$7.94	

Source: J.P. Morgan estimates, Company Data.

Figure 55: EMR 2027 EPS Bridge

EMR EPS Bridge	2027E	Comments
Start EPS (2026)	\$6.56	
Organic	\$0.66	~5% organic growth rate assumed
FX	\$0.01	
M&A	\$0.00	
Corp/Other	(\$0.01)	
Interest	\$0.05	
Other	\$0.00	
Tax	\$0.00	~22% tax rate assumed
Share Count	\$0.09	~\$1.0bn of buyback assumed
End EPS (2027)	\$7.35	

Source: J.P. Morgan estimates, Company Data.

Figure 56: FPS 2027 EPS Bridge

FPS EPS Bridge	2027E	Comments
Start EPS (2026)	\$0.68	
Organic	\$0.72	~84% organic growth rate assumed
FX	\$0.00	
M&A	\$0.00	
Interest	\$0.04	
Tax	-\$0.02	~22% tax rate assumed
Share Count	\$0.00	~0m of buyback assumed
End EPS (2027)	\$1.42	\$1.26-1.40 guided

Source: J.P. Morgan estimates, Company Data.

Figure 57: FTV 2027 EPS Bridge

FTV EPS Bridge	2027E	Comments
Start EPS (2026)	\$3.03	
Organic	\$0.17	~3% organic growth rate assumed
FX	(\$0.00)	
M&A	\$0.00	
Corp	(\$0.01)	
Interest	(\$0.02)	
Other	\$0.02	
Tax	(\$0.02)	~15% tax rate assumed
Share Count	\$0.09	~\$0.3bn of buyback assumed
End EPS (2027)	\$3.27	

Source: J.P. Morgan estimates, Company Data.

Figure 58: GEV 2027 EPS Bridge

GEV EPS Bridge	2027E	Comments
Start EPS (2026)	\$16.87	
Organic	\$9.32	~18% organic growth rate assumed
FX	\$0.01	
M&A	\$0.14	Prolec acquisition
Corp / Other	\$0.18	
Interest expense / income	\$0.54	
Tax	-\$0.48	~25% tax rate assumed
NCI	\$0.03	
Share Count	\$0.20	~\$1.4bn of buyback assumed
End EPS (2027)	\$26.81	

Note: GEV does not explicitly disclose adj. EPS
Source: J.P. Morgan estimates, Company Data.

Figure 59: HON 2027 EPS Bridge

HON EPS Bridge	2027E	Comments
Start EPS (2026)	\$8.31	
Organic	\$0.91	~5% organic growth rate assumed
FX	\$0.00	
M&A	-\$0.08	PSS/WWS div in IA, JMAT Catalyst acq in PAT
Corp / Other	\$0.45	
Interest	\$0.13	
Other BTL	-\$0.01	
Tax	\$0.00	~19% tax rate assumed
NCI	\$0.00	
Share Count	\$0.05	~\$1.0bn of buyback assumed
End EPS (2027)	\$9.76	

Source: J.P. Morgan estimates, Company Data.

Figure 60: ITW 2027 EPS Bridge

ITW EPS Bridge	2027E	Comments
Start EPS (2026)	\$11.56	
Organic	\$0.54	~3% organic growth rate assumed
FX	\$0.00	
M&A	\$0.00	
Corp / Other	-\$0.01	
Interest	-\$0.01	
Other Income	\$0.01	
Tax	\$0.02	~24% tax rate assumed
Share Count	\$0.23	~\$2.0bn of buyback assumed
End EPS (2027)	\$12.34	

Source: J.P. Morgan estimates, Company Data.

Figure 61: MMM 2027 EPS Bridge

MMM EPS Bridge	2027E	Comments
Start EPS (2026)	\$8.98	
Organic	\$0.90	~3% organic growth rate assumed
FX	\$0.00	
M&A	\$0.10	Scott Safety/Madison Fire & Rescue JV, Precision Finishing & Grinding div
Corp / Other	-\$0.08	
Interest	-\$0.09	
Other Income	-\$0.07	
Tax	\$0.00	~20% tax rate assumed
NCI	-\$0.02	
Share Count	\$0.21	~\$1.6bn of buyback assumed
End EPS (2027)	\$9.93	

Source: J.P. Morgan estimates, Company Data.

Figure 62: PH 2027 EPS Bridge

PH EPS Bridge	2027E	Comments
Start EPS (2026)	\$32.31	
Organic	\$4.26	~8% organic growth rate assumed
FX	-\$0.01	
M&A	\$2.49	Filtration Group and Curtis Instruments acquisitions
Corp / Other	\$0.03	
Interest	-\$2.21	Higher debt for M&A deals
Other Expense / Income	-\$0.19	
Tax	-\$0.97	~23% tax rate assumed
NCI	\$0.01	
Share Count	\$0.09	~\$0.5bn of buyback assumed
End EPS (2027)	\$35.81	\$34.25-35.25 guided

Source: J.P. Morgan estimates, Company Data.

Figure 63: ROK 2027 EPS Bridge

ROK EPS Bridge	2027E	Comments
Start EPS (2026)	\$13.35	
Organic	\$1.67	~\$6% organic growth rate assumed
FX	\$0.00	
M&A	-\$0.06	Sensia divestment
Corp / Other	\$0.00	
Interest	-\$0.03	
Tax	-\$0.19	~21% tax rate assumed
NCI	\$0.00	
Share Count	\$0.14	~\$0.7bn of buyback assumed
End EPS (2027)	\$14.89	

Source: J.P. Morgan estimates, Company Data.

Figure 64: RRX 2027 EPS Bridge

RRX EPS Bridge	2027E	Comments
Start EPS (2026)	\$10.52	
Organic ex-ePOD	\$0.32	~4% organic growth rate assumed
ePOD	\$1.31	\$0.6bn sales at a high teens incremental margin
FX	-\$0.01	
M&A	\$0.00	
Other	-\$0.13	
Interest	\$0.35	Debt paydown
Tax	-\$0.03	~22% tax rate assumed
NCI	-\$0.01	
Share Count	\$0.00	~\$0.0bn of buyback assumed
End EPS (2027)	\$12.33	

Source: J.P. Morgan estimates, Company Data.

Figure 65: SPXC 2027 EPS Bridge

SPXC EPS Bridge	2027E	Comments
Start EPS (2026)	\$8.42	
Organic	\$1.25	~12% organic growth rate assumed
FX	\$0.00	
M&A	\$0.60	
Corp / Other	(\$0.17)	
Interest	(\$0.10)	Higher Debt from Neptronic & FIS Water Acquisition
Other income	\$0.00	
Tax	\$0.00	~25% tax rate assumed
Share Count	(\$0.12)	~1% share creep assumed
End EPS (2027)	\$9.88	

Source: J.P. Morgan estimates, Company Data.

Figure 66: TT 2027 EPS Bridge

TT EPS Bridge	2027E	Comments
Start EPS (2026)	\$15.35	
Organic	\$2.82	~10% organic growth rate assumed
FX	(\$0.01)	
M&A	\$0.00	
Corp / Other	(\$0.16)	
Interest	(\$0.01)	
Other income	\$0.00	
Tax	(\$0.22)	~20% tax rate assumed
Share Count	\$0.18	~\$1.5bn of buyback assumed
End EPS (2027)	\$17.95	

Source: J.P. Morgan estimates, Company Data.

Albany International

AIN (N): High level, we see a balanced risk/reward.

The stock has outperformed the sector average YTD, and underperformed over the last 3 months. Investor sentiment appears neutral.

Strategic review complete. In early September, AIN announced it has completed its strategic review of the Structures Assembly business. AIN will retain the Amelia Earhart Drive facility following renegotiation of the CH-53K contract with Sikorsky, a contract extension for composite fuselage frames on the Boeing 787, and new defense contract wins with a strategic customer.

CH-53K amendment/de-risking. The amended CH-53K contract reduces risk by shortening the production-horizon commitment to ~5 years (from ~6–7 years remaining), increasing price per shipset by reducing the shipset, and limiting exposure to material-cost inflation.

Cash flow improving. Management expects these changes to drive positive cash flow for the CH-53K program beginning in 2027, with improving cash flow in 2026. 80–90% cash conversion for the total company is viewed as reasonable going forward, with AEC FCF expected to be positive.

The company expects AEC EBITDA margins in the 10–13% range, with meaningful improvement in 2H27 as the amended CH-53K contract takes effect and mid-to-upper teens margins beyond 2027, and AEC segment as a whole to see double-digit growth over the next several years.

We view the conclusion of the strategic review as a positive development and look for sustained evidence of improved profitability/cash flow as AIN executes on the amended CH-53K contract. The company plans to announce an Investor Day on the next earnings call.

We think the Q3 results will not be a major catalyst, in either direction. The company reaffirmed 3Q26 revenue/EBITDA guidance and introduced 4Q26 guidance in line with our estimates.

Our PT framework already assumed AIN keeps the Structures Assembly business; we roll forward our SOTP-derived price target to \$67 based on our 2028 EBITDA estimate and reiterate our N rating.

Allegion

ALLE (N): High-level, we see a balanced risk / reward.

The stock has lagged the sector median YTD, and outperformed over the last 3 months. We see some modest upside potential to Street EPS estimates for 2026 / 2027.

The valuation looks fair. The '28 P/E is slightly below the 3-year average, and it is trading relatively in-line with its average 3-year discount to the S&P.

Investor sentiment appears neutral (having been very negative earlier in the year).

The end-market exposure does not look particularly attractive to us (low Datacenter presence, high commercial construction presence, etc.); the interest rate backdrop / outlook is not helpful for a name with relatively high US 'greenfield' construction exposure. Organic sales growth is running well above-average at present, and we expect it to decelerate over the NTM vs Q2 rates.

Margin-wise, with Americas operating margins now back to the ~30% level where they have tended to peak at, we see little scope for further major margin upside.

ALLE has been coping much better with inflation now, than it did ~5 years ago, but rising cost pressures for many building products related companies may limit operating leverage. The stock has come under some pressure earlier this week amidst news that Apple is moving into the home security market; on our estimates though, the Americas Resi business is worth a low teens % share of global profits (and the stock shrugged off the concerns 7-8 years ago relating to Tech companies such as Alphabet entering the home security market).

We think the Q3 results will not be a major catalyst, in either direction. We expect a slight EPS guidance raise, which we think is consistent with what most investors expect.

On self-help, ALLE has had a stable management team for several years, and we do not anticipate major M&A or divestments. A restructuring effort has been launched in Europe, which should support margins in the coming months.

Carrier

CARR (N): High-level, we see a balanced risk / reward.

The stock has underperformed the sector median YTD, and underperformed over the last 3 months. We think Street EPS estimates for 2026 / 2027 look broadly appropriate.

The valuation looks somewhat cheap, but there is considerable uncertainty over the earnings outlook, given the Mix headwinds playing out in various businesses at present, and input cost headwinds. The '27 P/E looks ~15% lower vs its 3-year average, and CARR is trading at a discount to the S&P, vs often trading at a ~10% premium over the last 3 years.

Investor sentiment appears fairly negative (which is quite consistent with where it has been for most of 2026).

The end-market exposure looks very mixed to us – there is some attractive Datacenter exposure, but this is swamped by the very high share of sales from Resi markets, where a recovery is underway off easy comps – this ‘comps-based’ sales rebound is already factored into Street estimates though, and the recovery path beyond this near-term rebound is highly unclear, in light of the soft overall backdrop for Resi markets / B2C. The interest rate backdrop / outlook is not particularly helpful. CARR also has high non-US exposure, where the buildings / construction market outlook is quite tepid (esp. in China and W Europe). We est. a slight deceleration in organic sales growth in 2027, after HSD% growth in 2026.

On the bottom-line, there are increased risks on the supply side from price/cost and from component shortages, where a number of HVAC companies have cited headwinds in recent months. Mix has affected all of CARR’s segment margins in a negative way in the last few quarters, and it is not clear what the timing is on these headwinds easing / reversing. The margin outlook in CSA and Europe segments remains quite unclear, after disappointments in both recently, but it seems safe to assume that the margins are bottoming – mix and price / cost will have a big impact on determining the slope of the CSA margin recovery from here, while Europe may need more cost-reduction.

We est. organic incremental margins of ~30% in the CSA segment next year, after margins may decline this year, despite sales growth – Mix impacts remain very difficult to model. In Europe, we forecast a ~70bps increase in margins next year, after declines over 2025-2026.

We think the Q3 results will not be a major catalyst, in either direction. We expect a reiteration of the EPS guidance, which we think is consistent with what most investors expect, with some potential sales upside offset by softer margins (due to cost pressures). On organic orders, we est. DD% growth for the next few quarters, similar to the last few quarters, before a slowdown from mid-2027 as Resi orders normalize.

On self-help, the main focus we think will be on the turn-around potential in Europe, following the recent leadership change in the region. Regarding the balance sheet, leverage is relatively high, so we do not expect major surprises on capital

deployment, after substantial share buyback spend in recent periods.

DuPont De Nemours, Inc

DD (N): High level, we see a balanced risk/reward.

Downgrade to Neutral

DD has outperformed the sector by 20% since the spin in Nov '25, and we applaud management for execution in the the first year post spin. More recently, the stock has performed in line with the sector over the past three months, and we think our thesis on outperformance supported by a short cycle recovery has largely played out. Additionally, while the portfolio has come a long way, we think that a re-rate to the EE/MI average will take time. As the SCI recovery decelerates, and we watch for more portfolio moves, we lower our rating to Neutral.

- **Our thesis on DD “primed for a short cycle recovery with consistent execution” has largely played out.** We are now approaching mid innings in the industrial recovery in our view, with PMI above 50 for 9 consecutive quarters. While we see improving trends for some pockets of DD’s portfolio (i.e. resi), overall we see organic growth deceleration for DD into 2027, following above company average organic growth in 2026.
- **We think the ‘re-rate to Multis’ thesis will take time and we think discount is warranted.** The company has demonstrated solid execution and sector average EPS growth coming out of the spin, helped by the short cycle industrial recovery. Looking ahead, we think re-rate to multis thesis will take time, as the company continues to demonstrate above average cyclical, below average 2026-2028 core EPS CAGR (~8% vs sector average of LDD), below average ROIC (MSD vs sector mid to high teens), below average pricing power, in line FCF conversion (~95% vs sector ~95%), offset by above average balance sheet optionality.
- **Balance sheet optionality above average; portfolio has come a long way but additional moves expected in the near to medium-term.** DD has above average balance sheet optionality, with ~\$1B of cash that could be allocated to M&A, without touching the balance sheet, to reposition the portfolio to higher growth, lower cyclical. 2026 (first year post spin) was an execution year and looking ahead, we believe DD will look to deploy capital to M&A coupled with portfolio pruning in the more cyclical lower growth product lines in the couple hundred million \$ range per company commentary. While we think that portfolio transformation is a positive LT, and continue to believe that capital allocation will be balanced, with M&A prudent with respect to returns as they have demonstrated in past deals, we move to the sidelines near-term.
- **PT of \$145 implies 9% upside vs sector average of 12%.** We had been giving credit for a short cycle bounce, but lower target multiple to reflect where we are in the current cycle. We assume a P/E multiple of 17x, in line with the historical average, which we think is reasonable given sector average PEG of ~2x and DD EPS growth profile of 8-9%. We establish our 2027 year end PT of \$145 based on FY28 EPS, and with limited upside vs the sector, downgrade to N.
- **We think the Q3 results will not be a major catalyst, in either direction.** DD indicated intra-quarter that overall there are no changes to expectations/messaging since 2Q end. DD has above average exposure (4% of sales) to the ME within our coverage, where we expect the book/ship business to continue to be soft, limiting

upside in our view. Investor sentiment appears neutral.

- **End-market trends are as expected**, with strength in aero, while auto continued to be challenged, but with above market growth on the EV side. DD continues to monitor the resi space within building technologies, but believes recent interest rate hike was expected and priced into market dynamics.
- **In the Middle East, projects are on track for the fourth quarter.** In terms of the book/ship component, they have built into 2H expectations that softness continues through the second half.
- **They assumed oil at \$100/Bbl for full year.** They are monitoring European natural gas (relatively small exposure), which ticked up above expectations, but overall are in good shape on price cost. We expect limited ability to hold price once cost inflation normalizes (compared to i.e. 3M).
- **North Carolina PFAS settlement a positive.** We view the news on North Carolina PFAS settlement early September as a consistent and positive development as DuPont continues to make progress on resolution.

Emerson Electric Co.

EMR (OW): High-level, we see quite an attractive risk / reward.

The stock has outperformed the sector average YTD, and outperformed over the last 3 months. We see some upside potential to Street EPS estimates for 2027.

The valuation looks quite cheap, to us. The '28 P/E is at a slight premium vs the 3-year average, and EMR is at a premium to the S&P, having traded at a premium over the last 3 years. Relative to Automation peer ROK, we note that EMR is trading at a 25-30% discount, which we think may compress as the OSG rates converge over the NTM.

Investor sentiment appears fairly positive (having been negative earlier in the year; sentiment has improved around a still-high oil price, and amidst receding concerns around the Software contract renewals).

We think the end-market exposure is quite attractive, given the 'later-cycle' attributes of large parts of the portfolio (process automation in particular). A sudden drop in oil prices (after recent strength) in the event of the Iran or Ukraine conflicts ending is one risk (given the relatively high exposure of EMR to the O&G industry), but EMR's share price has decoupled from oil prices over the last year or two. We estimate solid ~MSD% OSG in FY27, representing an acceleration vs FY26 – many EE/MI companies are likely to see a deceleration in OSG.

A question mark exists over the LT growth of the pure software assets (such as AZPN) due to AI's emergence, but investors have already re-calibrated expectations sharply lower on SAAS businesses YTD, so there is not much of a 'shoe to drop' left on this front, in our view.

On the margin front, there was heavy de-leveraging in the 1H26 (due to software headwinds, and the Middle East conflict), which sets the company up well to deliver high incremental margins in FY27. The company has coped well with price / cost thus far – we expect EMR to remain one of the EE/MI names least affected by margin headwinds from cost inflation / component supply issues.

We see the FY27 guidance and the Sept Qtr orders disclosure as potentially positive catalysts. We think the company will initiate FY27 adj. EPS guidance which brackets the Street and is 'beatable', and note that the early part of the new fiscal year faces 'easy comps' due to the software renewal headwinds of early 2026. We expect MSD% OSG guidance, ~29% adj. segment EBITDA margin guidance, and a \$7.20-7.40 EPS guide range.

We think organic orders grew at a MSD% pace in the September quarter, yielding LTM organic orders growth of ~7% - this should be supportive of our MSD% organic sales growth expectations for FY27.

On self-help, EMR has had a stable senior management team for several years. We could see some step-up in M&A in 2027, after a period of consolidation on the portfolio (prior to which, there were two major acquisitions – NATI and AZPN - and some large divestments). The future of the Safety & Productivity segment within the portfolio remains a question longer-term, but we do not think that there is any rush to divest.

Forgent Power Solutions Inc

FPS (OW): High-level, we see quite an attractive risk / reward.

The stock has underperformed the sector over the last 3 months, after a strong run immediately after its IPO. We see some decent upside potential to Street EPS estimates for FY27 (the ending FY26 backlog is worth ~120% of the Street's FY27 sales estimate), but acknowledge that, in common with many AI-related names, many investors and the sell-side appear to already expect the numbers to be raised consistently over the NTM.

The valuation looks quite cheap, to us, and expectations appear lower on this one than for most electrical AI plays. The forward P/E has averaged 30.4 since the IPO, and currently sits at 19.3. Since its IPO, FPS has traded at an average ~9% discount (NTM P/E) vs AI electrical peers (ETN, NVT, VRT) – this discount currently sits at ~38%.

Investor sentiment appears neutral / negative (having been very positive earlier in the year).

We see the Q127 results / strong start to the year (on orders and sales growth in particular) as being a potentially positive catalyst, which could cause a rebound in the share price, after the pullback that it has seen. FPS appears to be one of the few names with high AI exposure which is not already very 'crowded' in terms of investor positioning, which we find appealing.

One fundamental risk is the fact that a somewhat low share of FPS' e-house content (vs larger electrical peers) is sourced in-house, so it is possible that the component shortages affecting parts of the AI / electrical supply chain could 'trip up' the company, especially given the high growth it is targeting (76% organic sales growth guidance for FY27). So far though, the company has shown a strong ability to cope with rapid sales growth, and what that entails for capacity additions, supply chain resilience, cost management, etc.

Another risk, away from fundamentals, is that the largest shareholder continues to sell down their stake (the most recent reported holding size was ~37%), which could create some share price pressure. However, we note that this main shareholder has sold shares on several occasions since the IPO, and these did not seem to precede (or follow) major downwards FPS share price moves.

On self-help, FPS is a 'new' public company with a pure play business model – the key priority likely remains ramping up capacity / output, and managing the costs associated with that.

Fortive

FTV (UW): High-level, we see a somewhat negative risk / reward.

The stock has performed in-line with the sector median YTD, and over the last 3 months. We see limited upside potential to Street EPS estimates for 2027.

The valuation looks unappealing to us in light of the earnings growth outlook. The '27 P/E is relatively similar to the 3-year average as well as to the 1-year average since the RAL spin. FTV is trading at a ~5% P/E discount to the S&P, vs trading at an -9% / -6% discount over the last 3 years / 1 year.

Investor sentiment appears neutral / negative (having been neutral / negative earlier in the year).

We think the Q3 results will prove potentially a negative catalyst, given the sluggish organic sales growth momentum exiting 2026 / entering 2027, and the margin headwinds in the AHS segment. We expect a slight 2026 EPS guidance raise, which we think is consistent with what most investors expect. We think the IOS organic sales growth rate is peaking, and AHS will continue to suffer from share loss (vs its main peer) and hence only grow organic sales at a LSD% rate, barring a large re-investment wave. With a limited OSG rate outlook, and already-high margins, we think FTV's EBITDA growth rate will be quite muted over the NTM.

On self-help, FTV is a relatively 'new' public company exc-RAL, with stable senior management since the RAL spin – we expect ongoing reinvestment on their part in an effort to re-accelerate organic growth. Share buybacks have been a major part of the approach over the LTM since the RAL spin – buyback spend has naturally stepped down this year vs 2025 (as the spin proceeds were spent soon after RAL was spun out), and we expect a narrower tailwind to EPS from buybacks into 2027.

We expect management to shift gradually towards M&A (from buybacks), similar to the bolt-ons done in 2Q, and we expect divestments to be limited, after the exit of a number of assets (Automation, VNT, RAL) already in the decade since FTV spun out of DHR.

GE Vernova

GEV (OW): High-level, we see quite an attractive risk / reward.

The stock has outperformed considerably vs the sector average YTD, but underperformed over the last 3 months.

We see some decent upside potential to Street EPS estimates for FY27, but acknowledge that, in common with many AI-related names, most investors and the sell-side already expect the numbers to be raised consistently over the NTM.

The valuation has come in and looks reasonable to us, after this compression in recent months. Due to the size of the RPO (i.e. it is 3.3x FY27 sales, vs most EE/MI companies have much less than 12 months of sales in their backlog), we tend to focus on a 1-year further out valuation than for the rest of EE/MI (hence we focus on 2029 metrics here). The forward 2-year P/E has averaged ~41.7x since the IPO, and currently sits at ~40.4x.

Investor sentiment appears neutral (having been very positive earlier in the year).

From an overall end-market standpoint, GEV remains inextricably linked to the AI trade. We continue to think that Power is the key bottleneck holding back Datacenter build-outs, which allows for super-normal pricing power for GEV, esp. as large GTs remain a consolidated industry (and we do not see evidence in the third party data that smaller GT manufacturers are taking much share in the global GT market). These attributes may differentiate it somewhat from other AI-linked industrial names, who are further along in their up-cycles and / or have a looser supply / demand balance – for instance, manufacturing large gas turbines requires more capital and technology than is needed for manufacturing most low voltage / MV electrical equipment.

Looking at the top-line, we think that orders growth will decelerate sharply in 2027 given the ‘comp’ in 2026, but investors have been re-calibrating their expectations lower for ’27 orders over the past 6 months, so we are not sure there is much further share price downside risk from this source. We forecast that Power orders grow at a LDD-LT% rate in 2027, with overall GEV organic orders growth of ~14%. Overall organic sales growth we think will remain far above the EE/MI average, at a high teens rate in 2027 (after ~13% in ’26).

Margin-wise, there are pressures from costs and supply constraints (in common with the rest of the AI supply chain), but GEV has shown an ability to deal with these in recent years, helped by the tight supply / demand dynamics in most of its products exc-wind turbines, and its large backlog / long equipment lead times allow it to pass on higher costs to customers.

We see the Q3 results as being a potentially positive catalyst, which could cause a rebound in the share price, after the pullback that it has seen; we expect the FY26 guidance to be tweaked to the high end of the range. We expect Q3 (Power) organic orders growth to slow sharply from 1H levels (to the ~10% range), but a deceleration has already been well-communicated by the company for some months (for instance that the Power SRA + order MW backlog y-o-y growth is guided to slow sharply by year-end 2026, vs mid-2026), and should not surprise investors.

Over the medium-term, we see the potential for the Electrification segment to become an increasingly important driver of the share price, beyond just the Power segment, as GEV grows its market share inorganically and organically, in what is a very large, somewhat fragmented (depending on the product), and high-growth TAM.

On self-help, we expect potential further M&A in the Electrification segment, and for management to be focused near-term on ensuring a smooth ramp of the new GT capacity in Power. Post Prolec, management flags further Electrification bolt-ons.

Honeywell Technologies

HON (OW): High-level, we see quite an attractive risk / reward.

The stock has underperformed the sector median YTD, and performed in-line with the median over the last 3 months.

The valuation looks reasonable, to us. The valuation historical context is limited, given the recent nature of the HONA spin. HON is trading at an ~12% '27 P/E premium to the S&P, vs trading at an -1% discount over the last 3 years.

We see the Q3 results as unlikely to move the share price much one way or the other. We expect a slight 2026 EPS guidance raise, which we think is consistent with what most investors expect. On the orders front, we expect +LSD% organic YoY trends in the 2H, due to tough comps.

We see some slight downside risk to Street estimates for 2027, estimating +17% EPS growth vs the Street modelling +19%. However, the company already highlighted a 15% EPS growth rate placeholder for 2027 at an investor conference some weeks ago, so a reduction to Street sell-side numbers appear already embedded in the buy-side expectations, based on our client conversations. We do not expect formal 2027 guidance until Q4 results, though we will likely receive more commentary on the outlook for next year, at the Q3 results.

We expect HSD/DD% operating profit growth at HON over the next couple of years, which is higher than what we expect at ITW (but HON trades at a discount to ITW).

The end-market exposure looks quite attractive to us, given HON's later cycle attributes (in buildings, process automation, etc.). The catalyst business is poised for a recovery within P&AT, and the broader Process Automation industry looks set for continued solid growth into 2027 (per our positive stance on EMR).

Investor sentiment appears neutral / negative (having been neutral / negative for much of the year).

On self-help, senior management is consistent with pre-Aero spin HON. We expect M&A to pick up in 2027 (it is most likely to occur in the IA segment, which arguably 'needs' some growth investments, after substantial divestments recently, per company commentary). We expect aggressive reduction of Aero-related 'stranded costs', such that these are minimal by late 2027 (corporate costs should be a decent earnings tailwind into next year).

Illinois Tool Works

ITW: (N): High-level, we see a balanced risk / reward.

We are downgrading our rating from OW to N, following the recent transfer of analyst coverage.

We do not view the overall Short Cycle Industrial complex particularly favorably, as we think Manufacturing PMIs may not show much further improvement from current levels. Hence, we do not see substantial scope for positive estimate revision momentum at ITW, and we think the current valuation looks fair. Management continue to do a sterling job on driving productivity tailwinds from Enterprise Initiatives, and remain disciplined allocators of capital.

The stock has underperformed the sector average YTD, and outperformed over the last 3 months. We see some modest upside potential to Street EPS estimates for 2027.

The valuation looks fair, to us. The '27 P/E looks comparable to the 3-year average, and is at an 15% premium to the S&P, vs trading at a 15% premium over the last 3 years. ITW's valuation tends to compress as we move through its organic revenue up-cycle / the Short Cycle Industrial upturn, and we think it is at its peak organic sales growth rate now for this up-cycle. We estimate +3% OSG for ITW in 2027, after +4.5% in Q226.

Investor sentiment appears neutral (having been more negative earlier in the year).

We think the end-market exposure is quite mixed (as always to some degree here, as there are seven operating segments), with markets such as Automotive OEM (which is one of the most important segment drivers of investor sentiment towards ITW) likely to remain soft over the next 12 months, while Welding (another important segment driver) will likely slow down vs very high recent OSG rates (DD%, vs a L-MSD% LT CAGR) as Manufacturing PMIs plateau. T&ME perhaps represents the segment with the most exciting growth prospects at present, but the Electronics portion may weigh amidst higher input (and hence higher end-product) prices dampening end-demand. The Construction Products segment appears to be below-trend (we expect flattish OSG in 2026), but we note that this only represents 11% of company sales.

We do not view the Q3 earnings as a major catalyst either way. We expect a slight increase to the EPS guide mid-point, consistent with what most investors are expecting.

On self-help, we look forward to being convinced that the company is really seeing market share gains (something which management has highlighted as an ambition since the CMD in mid-2023), although the management is making more effort via CBI to drive up organic sales growth. In terms of productivity efforts, ITW remains an outstanding example within EE/MI, as its Enterprise Initiatives continue to yield 100bps + of consistent gross EBIT margin tailwinds. We expect inorganic investments / M&A to remain very limited, as management are likely to remain wary of diluting the company's high ROIC.

3M

MMM: (OW): High-level, we see an attractive risk / reward.

The stock has underperformed the sector median YTD, and outperformed over the last 3 months. We see some modest upside potential to Street EPS estimates for 2027 – our positive call is more around the re-rating potential, as management’s turnaround efforts continue to bear fruit, amidst a very undemanding valuation.

The valuation looks fairly attractive, to us. Relative to other high quality Industrial peers such as ITW, MMM is trading at an -22% discount on FY27. The company seems to be matching ITW in terms of recent organic sales growth acceleration, and we think that MMM can sustain a tailwind from organic sales growth amidst a rejuvenated New Product Introduction effort.

Investor sentiment appears negative (consistent with earlier in the year) due to ongoing investor concerns as to the organic sales growth outlook, and price / cost pressures.

MMM’s end-market exposures are very mixed – there are some high growth portions such as Electrical, and pressured end-markets such as Consumer and Electronics. Overall, we expect MMM to continue to see OSG slightly below the EE/MI average over the NTM, but we think this is more than captured in the current (low) valuation.

We do not view the Q3 earnings as a major catalyst either way. The organic sales growth rate is likely to dip in the 2H vs the Q2 rate (partly due to Electronics, and also the Consumer segment; Auto demand is also soft), but this is captured in buy-side opinion, based on our client conversations, and the company has been flagging these risks to investors for some months. We think there could be some relief bounce in the stock if management reiterates (as we expect) the 25%+ operating margin goal for 2027, and does not highlight a major top-line slowdown into year-end (we expect a modest deceleration over the next Q or two, not a collapse in growth).

On self-help, we expect MMM management (which has been stable for a couple of years) to continue to strive to accelerate organic sales growth, and drive up margins to the 25%+ goal for 2027.

One major risk (in either direction) relates to PFAS – we are expecting a settlement on the US MDL to be reached eventually (rather than myriad cases being tried), but understand that trying to predict the timing of this is very difficult – our base case is that the settlement does not occur this year, but perhaps by the end of 2027 (which would mark two years since the Judge presiding over the MDL stopped the bellwether trials from going ahead).

We assume a \$10bn net post-tax, post-insurance claims liability relating to a future MDL settlement (which we factor into our price target methodology – PFAS is worth a \$23.9 per share headwind in our PT). There is much less discussion with investors now as pertains to the PFAS litigation and what the sums involved could be, but our impression is that this figure is fairly similar to what many investors assume (this estimated figure has been fairly static for a few years).

Parker Hannifin

PH (OW): High-level, we see an attractive risk / reward.

The stock has performed in-line with the sector median YTD, and outperformed over the last 3 months. We see some upside potential to Street EPS estimates for 2027 / 2028, on an organic basis, as well as from the Filtration / Circor acquisitions.

The valuation is reasonable, and we think offers some upside amidst estimates that continue to move higher. The company's low direct Datacenter exposure, and its 'compounder' status (with earnings growth driven by productivity and M&A, rather than outside organic top-line trends), should limit its share price volatility vs higher organic sales growth EE/MI names. Relative to other high quality Industrial peers such as ROK, PH is trading at an ~16% discount on FY2 P/E, vs the 3-year average of a -13% discount.

Investor sentiment appears neutral (having been more negative earlier in the year, prior to the issuance of new FY guidance, as often happens with this stock).

PH's end-market exposures look quite attractive – the company looks well set to see MSD-HSD organic sales growth in FY27 helped by an acceleration in the two DI segments. Across the major end-markets, we think A&D should again lead growth this year (Datacenter remains a LSD% share of PH sales), with MSD% growth for the other end-markets (after LSD% growth for most of the non-Aero markets exc-HVAC in FY26).

We think the Q127 earnings could prove a positive catalyst, as we expect an upgrade to the FY27 guidance based on underlying trends as well as the accretion from the Filtration Group acquisition. In terms of Sept Q organic orders growth (as a reminder, PH has switched to a TTM basis for DI segment orders), we think PH saw a similar rate as in the June Q, at LDD% growth y-o-y.

On self-help, we expect PH management (which has been stable for several years) to continue to drive up margins via the 'Win' strategy, and conduct M&A that upgrades the growth profile of the company (as a reminder, the Circor acquisition has yet to close).

Regal Rexnord

RRX (OW): High-level, we see an attractive risk / reward.

The stock has outperformed the sector median YTD, but underperformed considerably over the last 3 months.

We see some downside potential to Street EPS estimates for 2027, but think that investors are already braced for this, per the stock's moves in recent months, and its low valuation.

The valuation looks very cheap, to us. The '27 P/E is at a 33% discount to the S&P.

Investor sentiment appears neutral (having been positive earlier in the year). The valuation and performance suggests that investors have given up on the prospects for imminent further ePOD orders, and on assuming a cyclical improvement in the PES RHVAC business, as well as on any meaningful near-term structural improvements being wrought by the new CEO (who joined RRX several months ago). Any change in any of these items would likely cause a material re-rating higher of the shares, in our view.

We think the end-market exposure is quite mixed, with some attractive exposures (Datacenter sales should grow rapidly in 2027 from the ePod ramp) and more mixed ones (the IPS business may now be steady state, without much cyclical inflection ahead, per its PMI linkage; the PES segment should see better trends in '27 as RHVAC OEMs re-stock).

We expect RRX's organic sales growth rate in 2027 to be above the EE/MI average (due to the ePOD ramp), which is very unusual vs history (RRX typically under-grows the EE/MI average).

We view the Q3 earnings as a potential positive catalyst as we think we may hear a message that business trends have stabilized after a guidance cut at the Q2 figures. We think the mid-point of the EPS guide will be reiterated, we think many investors are expecting a cut. A reiteration (as we expect) of an expected ePOD ~20% margin during its 2027 sales ramp-up should be well-received by investors, given the concerns on that ramp.

We think that organic orders grew +9% in the Sept Q; we, and investors we have spoken with, do not think that further ePOD orders were booked in Q3 (though by early '27 we think we may see more such orders come through).

The stock has substantial potential catalysts from self-help, following the recent CEO change and the backdrop of an underperforming share price. Mr Paul is keen to reduce the company's debt, and divestments are the most likely means to this end (given the track record of prior divestments at RRX, such as its motors business, and its still-broad portfolio of assets).

Material self-help moves that could upgrade the company's growth profile and / or reduce balance sheet leverage (which is the highest in the EE/MI sector, on our estimates), should reflect in a positive share price reaction.

Rockwell Automation

ROK (N): High-level, we see a balanced risk / reward.

The stock has performed in-line with the sector median in the last three months, while outperforming YTD. We see some upside potential to Street EPS estimates for 2027.

The valuation looks fair, to us. The '27 P/E is at a ~57% premium to the S&P, vs trading at a ~33% premium over the last 3 years. Historically, ROK's valuation premium tends to compress as we move further through its revenue up-cycle and organic sales growth decelerates. ROK is now in the 6th quarter of its current OSG up-cycle, with the absolute OSG rate having peaked (on our estimates) in Q425. Relative to EMR, ROK is trading a ~34% premium (2027 P/E).

Investor sentiment appears neutral (having been neutral earlier in the year).

We think the end-market exposure is quite mixed, with some attractive exposures (e-commerce / Datacenter, semiconductor, process automation) balanced out by some markets that have been very strong. On the margin front, we think price / cost headwinds may persist, which could cap incremental margins in 2027, esp. as the outgrowth by the (high-margin) S&C segment narrows vs the rest of the company (we est. that the S&C segment grows in-line with the rest of the Co in FY27, after ~290bps out-growth over the last couple of years).

Between the two Industrial automation names in our coverage, we favor EMR, as it offers more late-cycle exposure than ROK, and we think EMR has less scope for an organic sales deceleration into 2027.

We think the initiation of the FY27 guidance could be a somewhat negative catalyst as it may confirm that ROK is past the 'sweet spot' for this cycle of high organic sales growth. We think the company will initiate FY27 adj. EPS guidance which brackets the Street.

On self-help, ROK has had stable management for some years. We expect management to remain more focused on pricing and margin leverage than had been the case in prior years, though the major 'shock factor' on productivity / pricing from the arrival of the CFO is now behind us (as he joined the company over 2 years ago).

SPX Technologies

SPXC (OW): High-level, we see quite an attractive risk / reward.

The stock has underperformed the sector YTD, and over the last 3 months. We see some decent upside potential to Street EPS estimates for FY27/FY28 and are 1.7%/2.9% above the Street, with risk to upside based on Datacenter demand, balance sheet optionality and a disciplined M&A approach over the last 5 years, with most acquisitions being accretive to EPS from year 1.

The valuation looks quite cheap to us, and it trades at an undemanding 15% discount to the broader group on our FY28 estimates. We acknowledge the stock is somewhat sitting in the 'penalty box' with persistent HVAC margin pressure headwinds from factory ramp-up costs and tariffs in 1H26, and now supply chain pressures, but SPX's HVAC peers face the latter headwind too. SPX is currently trading at a ~25-30% discount to TT/JCI/CARR on FY28 vs a ~5% premium in last 3 years, with similar or better growth characteristics and EPS growth. With a ~0.5x PEG (FY25-28), the stock screens as one of the most favorable within the broader group.

Investor sentiment appears neutral / negative (having been very positive earlier in the year).

We think the sales mix with a growing % of DC sales is quite attractive. We expect Datacenter to comprise, at year-end, a ~MTs% share of sales, which is at the high end among HVAC peers. Overall DC production capacity is expected to reach \$1.1B by 2H28 on a run-rate basis (vs \$750mm announced earlier in the year, vs \$200mm revenue in FY25), or a mid-20s% share of sales – based on our estimates, a compelling mix vs HVAC peers. SPX also recently shipped its new Olympus Max product from its Madison facility, which has seen strong customer traction, and we believe it has a stronger growth trajectory ahead given the next gen movement toward cooling DCs at higher warm water; this should position it relatively well vs traditional chillers. We forecast what we view as a conservative 50%/30% growth rate for DCs in FY27/28 (vs ~115% guide for FY26) and we see the risk lying to the upside, based on the facility ramp. Separately, the D&M run rate business is performing per expectations, and we think it will deliver on its guided range.

On the bottom line, there are increased risks on the supply side from price/cost, where a number of HVAC companies have cited headwinds in recent months. This has been an overhang on the stock for much of the year, and we don't see this resolving by year-end, though incremental pricing and a higher margin D&M business provides some offset, along with operating leverage from higher throughput at existing facilities.

We think the Q3 results will not be a major catalyst, in either direction. We expect a reiteration of the EPS guidance, which we think is consistent with what most investors expect. There is potential sales upside from the FIS Water acquisition, which adds ~4-5c to FY26 EPS (see our first take [here](#)) offset by softer margins (due to cost pressures). For 3Q specifically, we expect \$2.18 in EPS (vs prior \$2.24/Street \$2.16), taking into account called-out margin pressure headwinds, and the FIS Water acquisition; we forecast ~12% organic sales growth (unch).

On self-help, SPX has an upcoming investor site visit to its Olathe, Kansas facility on Nov 3, where we believe revised M-T target 'building blocks' in some form will be provided, as the company is tracking towards the high end of its '24 Investor Day on most fronts. The company has also completed 4 acquisitions YTD, with net leverage likely ending the year ~1.7x, below the m/p of its 1.5-2.5x M-T target range, leaving room for further M&A and EPS upside, consistent with the capital deployment flywheel.

Establishing Dec 27 PT of \$225, and reit OW. We forecast 14%/12%/10% organic sales growth for FY26/27/28 (unch for FY26/27) and raise our EPS est to \$8.42/\$9.88/\$11.20 (vs prior \$8.40/\$9.80 prior for FY26/27). Given the stock's recent and N-T headwinds, we apply a modest 5-10% premium to sector group P/E of 18.5x and our FY28 EPS to arrive at our Dec 27 PT of \$225; we expect this premium to narrow as the stock re-rates over the coming months.

Trane Technologies

TT (OW): High level, we see an attractive risk / reward.

The stock has outperformed the sector median YTD, and outperformed over the last 3 months. We see upside potential to Street EPS estimates for 2026 / 2027.

The valuation is not cheap, but the company looks well placed to continue to deliver consistent DD% earnings growth for the medium-term. The '27 P/E is at a 44% premium to the S&P, vs trading at an 37% premium over the last 3 years. The stock has underperformed some of its Datacenter-linked peer companies (such as JCI and ETN) in recent months; this , coupled with a likely ongoing beat and raise story, should mean the valuation can re-rate / the share price performance will improve.

Investor sentiment appears fairly neutral (having been more positive earlier in the year).

The end-market exposure looks generally quite attractive to us, with the relatively large Datacenter exposure driving sustained growth, and some scope for cyclical recovery in the Resi and TK markets. If the latter proves tepid though, the stock can still work, as we have seen over the LTM (when Resi and TK markets were weak). The Datacenter growth does not seem to be coming at the expense of margins / creating a major Mix headwind to the Americas (as we have seen with some other HVAC companies), which is encouraging.

On the bottom line, there are increased risks on the supply side from price/cost and from component shortages, where a number of HVAC companies have cited headwinds in recent months. However, TT has shown an ability to cope with these challenges in recent years, and the placeholder of '25%+' operating leverage does not create a particularly high bar for the company to hurdle.

We think the Q3 results could be a positive catalyst. We expect an increase to the EPS guidance, which we think is consistent with what most investors expect. On orders, we expect DD% growth at Q3 and Q4, well above the EE/MI median (albeit at a slower rate than in the 1H26 – this is due to tougher comps), and should be supportive of outsized OSG again in 2027.

On self-help, the company has had a stable senior management for several years. We could see M&A pick up as TT looks to expand its Datacenter liquid cooling offering, similar to the Stellar Energy acquisition closed earlier in the year.

Investment Thesis, Valuation and Risks

3M (*Overweight; Price Target: \$185.00*)

Investment Thesis

3M offers attractive risk/reward: despite negative sentiment and mixed end-markets, the turnaround is driving improving organic sales/margins and the stock's undemanding valuation (discount vs high-quality peers) leaves room for a re-rating, with modest near-term expectations and limited Q3 catalyst risk.

Valuation

Our Dec 2027 price target of \$185 is based on the average of P/E, EV/EBITDA and P/FCF methodologies. We set our target P/E multiple at 18.5x, EV/EBITDA multiple at 13.5x, and FCF yield at 5.4%, based on three-year average historical multiples, then give credit for the SOLV stake and embed a liability discount.

Risks to Rating and Price Target

Downside risks to our rating and price target include (1) larger PFAS liabilities; (2) price/cost downside; and (3) slower-than-expected organic growth.

Investment Thesis, Valuation and Risks

Albany International *(Neutral; Price Target: \$67.00)*

Investment Thesis

AIN offers balanced upside as the completed strategic review and amended CH-53K contract de-risk the program, support improving cash flow into 2026–27, and drive AEC margin expansion toward mid-to-upper teens beyond 2027. With guidance reaffirmed and Q3 unlikely to be a catalyst, we prefer to see sustained evidence of profitability/cash conversion improvement before turning more constructive.

Valuation

Our Dec 2027 price target of \$67 is derived from SOTP based on our 2028 EBITDA estimate, while embedding a CH-53K loss reserve liability, which we believe is appropriate based on AIN's business mix.

Figure 67: AIN SOTP

EV/EBITDA Based	2028 EBITDA	Base Case	Suggested value
AEC	105	10.0	1,050
Machine clothing	196	8.0	1,568
Corp	(48)	8.7	(417)
Total	253	8.7	2,201
2027 end net debt			242
CH-53K loss reserve			74
Equity value			\$1,885
2027 shares			28
Suggested value per share			\$67
<i>Upside (downside)</i>			13%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Risks to Rating and Price Target

Upside risks to our rating and price target include (1) material new program wins for the aero composites segment; (2) sustainably improved market conditions for the machine clothing business; and (3) better-than-expected execution on the CH-53K program. Downside risks include (1) continued cash flow/profitability drag by the CH-53K program; (2) weaker-than-expected aerospace end-markets; (3) deteriorating market conditions for machine clothing due to continued challenging secular trends; and (4) poor capital allocation decisions.

Investment Thesis, Valuation and Risks

Allegion *(Neutral; Price Target: \$170.00)*

Investment Thesis

We rate ALLE Neutral based on continued electronics expansion and stable demand across institutional and commercial projects driving revenue and margin stability from pricing power, automation, and platform reuse offsetting investments in software and customer enablement, and capital returns translating into a mid-single-digit to double-digit EPS growth algorithm.

Valuation

Our Dec 2027 price target of \$170 is based on the average of P/E, EV/EBITDA and P/FCF methodologies. We set our target P/E multiple at 16x, EV/EBITDA multiple at 11.5x, and FCF yield at 6%, based on three-year average historical multiples, which we think is reasonable given the yield environment.

Risks to Rating and Price Target

Downside risks include a slower-than-expected platform adoption ramp for Zentra with integration delays, intensifying competition from large players (Assa Abloy, Honeywell) and SaaS entrants pressuring share and pricing, softer non-residential construction volumes particularly in education funding, and poor execution on international simplification and the electronics mix shift. Upside risks are stronger pricing power in the current raw material cost environment and faster-than-expected adoption of higher-margin electronics driving both revenue upside and greater margin expansion.

Investment Thesis, Valuation and Risks

Carrier (*Neutral; Price Target: \$61.00*)

Investment Thesis

Our Neutral rating rests on a sluggish residential HVAC outlook, Viessmann growth is seeing some uptick, but remains a "show me" story, and while commercial HVAC is strong on rising datacenter exposure, it is too small a share of the portfolio to drive meaningful upside. CARR trades at a discount to HVAC peers and the sector, but in line with its own history

Valuation

Establish Dec-2027 PT of \$61. We base our Dec 2027 price target of \$61 on 16.5x '28E EPS, at a ~10% discount to the current sector average of ~18.5x mainly on the back of weak resi fundamentals including the VCS business.

Risks to Rating and Price Target

Downside risks include weaker-than-expected residential HVAC demand with lighter commercial volumes, softer Viessmann growth, and poor execution on operations and productivity initiatives. Upside risks are better-than-expected residential HVAC demand and pricing, stronger commercial HVAC performance, and faster VCS growth.

Investment Thesis, Valuation and Risks

DuPont De Nemours, Inc *(Neutral; Price Target: \$145.00)*

Investment Thesis

DD has outperformed the sector by 20% since the spin in Nov '25, and we think our thesis on outperformance supported by a short cycle recovery and consistent execution has largely played out. Additionally, while the portfolio has come a long way, we think that a re-rate to the EE/ MI average will take time. As the SCI recovery decelerates, and we watch for more portfolio moves, we lower our rating to Neutral.

Valuation

We had been giving credit for a short cycle bounce, but lower target multiple to reflect where we are in the current cycle. We assume a P/E multiple of 17x, in line with the historical average, which we think is reasonable given sector average PEG of ~2x and DD EPS growth profile of 8-9%.

Risks to Rating and Price Target

Downside risks include 1) weaker-than-expected earnings growth and 2) PFAS liability grows both from a headline risk perspective and from an actual environmental liabilities perspective.

Upside risks include 1) stronger-than-expected resi recovery/industrial cycle and 2) better-than-expected M&A execution.

Investment Thesis, Valuation and Risks

Emerson Electric Co. (*Overweight; Price Target: \$184.00*)

Investment Thesis

We expect EMR's earnings to be supported by the phasing of large, long-cycle projects already in the backlog (up 9% y/y) and continued positive momentum in the growth verticals (power, LNG, semi, A&D, etc.), coupled with upside from ME rehabilitation work. Rig count/refiner capex forecasts are being incrementally revised up, and on net we think the process cycle is turning, which will help EMR turn the dial on earnings revisions, with tailwinds heading into 2027.

Valuation

Our Dec 2027 price target of \$184 is based on the average of P/E, EV/EBITDA and P/FCF methodologies. We set our target P/E multiple at 23.1x, EV/EBITDA multiple at 16.3x, and FCF yield at 4%, based on three-year average historical multiples, which we think is reasonable given the yield environment.

Risks to Rating and Price Target

Risks include (1) another leg down in global oil/gas and/or industrial capex; (2) pricing pressure, commodities headwinds, and lower margins; and (3) a relative de-rating if orders decelerate materially.

Investment Thesis, Valuation and Risks

Forgent Power Solutions Inc (*Overweight; Price Target: \$49.00*)

Investment Thesis

We rate FPS at Overweight with a Dec-2027 price target of \$49, as we see growth/margin expansion potential as attractive vs peers. Importantly, despite a relative valuation that has now moved to better reflect this outlook, we still expect FPS shares to outperform on the back of end-market strength that supports continued positive earnings momentum.

Valuation

Our Dec 2027 price target of \$49 is based on the average of P/E, EV/EBITDA and P/FCF methodologies on CY28 estimates. We set our target P/E multiple at 19.4x, EV/EBITDA multiple at 21.6x, and FCF yield at 2.8%, based on historical multiples, given the yield environment.

Risks to Rating and Price Target

Downside risks include 1) lower than expected data center market growth, 2) weaker equipment pricing and price/cost, 3) slower than expected manufacturing capacity ramp, and 4) additional share sales by sponsor.

Investment Thesis, Valuation and Risks

Fortive Corp. (*Underweight; Price Target: \$56.00*)

Investment Thesis

FTV is cheap on FCF yield (~15-20% sector discount), but capital allocation remains a "show me" after past execution misses, and is needed to lift EPS growth above the subpar 8-9%. The portfolio lacks growth exposure even versus cheap value peers, and the "stitched together" software business (30% of sales) limits its ability to build an integrated, high-ROI AI product. Limited disclosures and EPS-only guidance make it a "black box that works" - unconvincing for either defensive growth or cyclical torque.

Valuation

Establish Dec-2027 PT of \$56. We base our Dec 2027 price target of \$56 on 16.7x '28E EPS, at a ~10% discount to the sector average of 18.5x, reflecting FTV's growth characteristics and visibility.

Risks to Rating and Price Target

Upside risks are a better-than-expected recovery in cyclically exposed end-markets, favorable capital deployment, and stronger-than-expected software growth.

Investment Thesis, Valuation and Risks

GE Vernova *(Overweight; Price Target: \$1,150.00)*

Investment Thesis

GE Vernova offers differentiated AI-linked upside because datacenter power remains the bottleneck, supporting super-normal pricing power and multi-year visibility from an unusually large RPO/backlog (especially in large gas turbines and electrification). After recent valuation compression, a potential Q3/guidance catalyst and continued Electrification growth/M&A can drive EPS upside, with the main watch-outs being 2027 order deceleration and supply/cost pressures.

Valuation

Our Dec 2027 price target of \$1,150 is based on the average of P/E, EV/EBITDA and P/FCF methodologies. We set our target P/E multiple at 24x, EV/EBITDA multiple at 15.5x, and FCF yield at 3.8%, based on historical multiples, given the yield environment.

Risks to Rating and Price Target

Downside risks: competition, unforeseen warranty costs or product quality issues, supply chain constraints, repeal or revision to existing government policy, slower than anticipated margin turnaround, and lower than expected order activity.

Investment Thesis, Valuation and Risks

Honeywell Technologies *(Overweight; Price Target: \$240.00)*

Investment Thesis

iHoneywell offers attractive risk/reward at a reasonable valuation following the HONA spin, with later-cycle end-market exposure (buildings/process automation) and a recovering catalyst business supporting high-single to double-digit operating profit growth while Aero stranded-cost removal provides a tangible earnings tailwind into 2026–27. Near-term, Q3 is unlikely to be a major share-price catalyst and consensus may need modest 2027 EPS growth de-risking, but neutral/negative sentiment plus potential 2027 M&A optionality—particularly in IA—creates asymmetry if execution and orders hold up through tough comps.

Valuation

Our Dec 2027 price target of \$240 is based on the average of P/E, EV/EBITDA and P/FCF methodologies. We set our target P/E multiple at 20x, EV/EBITDA multiple at 15.4x, and FCF yield at 4.5%, based on three year average historical multiples, given the yield environment, then give credit for the Quantinuum stake.

Risks to Rating and Price Target

Downside risks to our rating and price target include (1) a moderation in the degree of pricing power/margin improvement, (2) declines in global commodity prices hurting related businesses at HPS and UOP, (3) a slowdown in key short cycle industrial end-markets, and (4) execution risk around future potential acquisitions that could weaken management's track record on capital allocation.

Investment Thesis, Valuation and Risks

Illinois Tool Works *(Neutral; Price Target: \$277.00)*

Investment Thesis

Illinois Tool Works offers balanced risk/reward with fair valuation and limited near-term upside, as short-cycle industrial momentum appears to be peaking and Manufacturing PMIs may plateau, constraining positive estimate revisions despite only modest upside to longer-dated (2027) EPS. Best-in-class self-help—Enterprise Initiatives drive sustained margin tailwinds and disciplined capital allocation—offset by mixed end-market exposure (notably softer Automotive OEM and moderating Welding) and an expectedly non-catalytic Q3.

Valuation

Our Dec 2027 price target of \$277 is based on the average of P/E, EV/EBITDA and P/FCF methodologies. We set our target P/E multiple at 21.3x, EV/EBITDA multiple at 15.5x, and FCF yield at 4.5%, based on three-year average historical multiples, given the yield environment.

Risks to Rating and Price Target

Downside risks. Softer than expected short cycle industrial economy and consumer.

Upside risks. Better than expected self-help, stronger than expected consumer/auto end-market recovery.

Investment Thesis, Valuation and Risks

Parker Hannifin (*Overweight; Price Target: \$1,131.00*)

Investment Thesis

PH offers upside from potential 2027/2028 EPS beats driven by self-help productivity and incremental M&A (Filtration/Circor), with attractive end-market mix led by A&D and improving DI momentum. Valuation looks reasonable versus high-quality industrial peers (still discounted vs history), and limited direct Datacenter exposure plus “compounder” characteristics should limit its share price volatility with Q1 FY27 and possible guidance upgrade as key catalysts.

Valuation

Our Dec 2027 price target of \$1,131 is based on the average of P/E, EV/EBITDA and P/FCF methodologies on CY2028 estimates. We set our target P/E multiple at 25.9x, EV/EBITDA multiple at 18.9x, and FCF yield at 3.5%, based on three-year average historical multiples, which we think is reasonable given the yield environment.

Risks to Rating and Price Target

1) Exposure to lower growth cyclical markets; 2) risk around aero margins tied to higher R&D spend to position on next-gen narrowbody; 3) price-cost spread tightens from current levels; 4) Parker has underinvested in the business, sacrificing some growth for margins, as per SKU reduction, and a tight leash on labor and R&D; 5) gross margin to operating margin spread has tightened, with limited margin expansion potential; 6) M&A heavy business model; 7) FCF quality deteriorates driven by acquisition noise.

Investment Thesis, Valuation and Risks

Rockwell Automation *(Neutral; Price Target: \$426.00)*

Investment Thesis

We view ROK as a solid franchise, with a defensible installed base and a strong distribution network. In general, we believe its best relative performance comes early in the cycle as the high-margin MRO products ramp up with factory utilization globally off of trough earnings as capex picks up.

Valuation

Our Dec 2027 price target of \$426 is based on the average of P/E, EV/EBITDA, and P/FCF methodologies on CY2028 estimates. We set our target P/E multiple at 25.9x, EV/EBITDA multiple at 18.9x, and FCF yield at 3.5%, based on three-year average historical multiples, which we think is reasonable given the yield environment.

Risks to Rating and Price Target

Upside risks include (1) stronger-than-expected industrial production growth; (2) more robust margin expansion in the S&C segment; and (3) stronger than-expected growth in the e-commerce / Datacenter / Semiconductor / Process Automation parts of the business. Downside risks include (1) macro slowdown; (2) harsher-than-expected price / cost headwinds, and (3) AI-engineered products from emerging competitors.

Investment Thesis, Valuation and Risks

Regal Rexnord *(Overweight; Price Target: \$196.00)*

Investment Thesis

We think that RRX can show strong growth in 2027, above the EE/MI average, as Datacenter sales should grow rapidly from the ePod ramp. RRX also has significant potential catalysts from self-help, following the recent CEO change. Imminent further ePOD orders, a cyclical improvement in the PES RHVAC business, or any meaningful near-term structural improvements could also likely cause a material re-rating for the stock.

Valuation

Our Dec 2027 price target of \$196 is based on the average of P/E, EV/EBITDA, and P/FCF methodologies on CY2028 estimates. We set our target P/E multiple at 15x, EV/EBITDA multiple at 10.8x, and FCF yield at 6.6%, based on three-year average historical multiples, which we think is reasonable given the yield environment.

Risks to Rating and Price Target

Downside risks to our OW rating and price target include lower-than-expected ePOD orders, a delayed RHVAC recovery, and execution risk in near-term structural improvements.

Investment Thesis, Valuation and Risks

SPX Technologies (*Overweight; Price Target: \$225.00*)

Investment Thesis

SPX is well positioned in NA-centric HVAC and Detection & Measurement niches, with building execution credibility, including its acquisition flywheel - supporting above-average medium-term growth. A higher datacenter sales mix than HVAC peers provides visibility to elevated growth over the next few years.

Valuation

Establish Dec-2027 PT of \$225. We base our Dec 2027 price target of \$225 on 20x '28E EPS, at a ~5-10% premium to the current sector average of 18.5x, reflecting SPXC's organic growth characteristics and M&A track record.

Risks to Rating and Price Target

Downside risks include weaker-than-expected residential HVAC demand with lighter commercial volumes, softer Viessmann growth, and poor execution on operations and productivity initiatives. Upside risks are better-than-expected residential HVAC demand and pricing, stronger commercial HVAC performance, and faster VCS growth.

Investment Thesis, Valuation and Risks

Trane Technologies *(Overweight; Price Target: \$550.00)*

Investment Thesis

Trane is a best-in-class HVAC name, and we expect it to continue to thrive relative to the group and other HVAC pure-play names, in both its shorter cycle rHVAC and transport refrigeration businesses, which appear to be turning a corner, and in a solid CHVAC business where it wins its fair share.

Valuation

Establish Dec-2027 PT of \$550. Our Dec 2027 price target of \$550 is based on the average of P/E, EV/EBITDA and P/FCF methodologies. We set our target P/E multiple at 26.5x, EV/EBITDA multiple at 20x, and FCF yield at 3.6%, based on three-year average historical multiples, which we think is reasonable given its organic and cash flow characteristics.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) end-markets weakening on consumer sentiment and slower than expected datacenter growth, (2) increased competition from established OEMs, and (3) risk to margin performance as supply chain pressure persist for longer.

3M: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	23,630	24,279	25,391	26,380	27,089	Revenue	6,003A	6,500A	6,572	6,316	
COGS	(13,421)	(13,422)	(13,839)	(14,013)	(14,235)	COGS	(3,478)A	(3,817)A	(3,513)	(3,458)	
Gross profit	10,209	10,857	11,551	12,366	12,854	Gross profit	2,656A	2,978A	3,059	2,859	
SG&A	(4,221)	(3,997)	(4,180)	(4,343)	(4,460)	SG&A	(945)A	(1,061)A	(1,084)	(1,090)	
Adj. EBITDA	6,430	7,057	7,513	8,117	8,454	Adj. EBITDA	1,752A	1,950A	1,994	1,817	
D&A	(1,363)	(1,364)	(1,364)	(1,364)	(1,364)	D&A	(326)A	(335)A	(335)	(368)	
Adj. EBIT	5,067	5,693	6,149	6,753	7,090	Adj. EBIT	1,426A	1,615A	1,659	1,449	
Net Interest	(20)	(194)	(238)	(297)	(287)	Net Interest	(40)A	(57)A	(68)	(73)	
Adj. PBT	5,027	5,395	5,917	6,416	6,763	Adj. PBT	1,388A	1,561A	1,594	1,374	
Tax	(985)	(1,073)	(1,183)	(1,283)	(1,353)	Tax	(244)A	(302)A	(343)	(295)	
Minority Interest	(6)	40	(27)	(40)	(40)	Minority Interest	(4)A	(4)A	(10)	(9)	
Adj. Net Income	4,036	4,362	4,707	5,093	5,371	Adj. Net Income	1,140A	1,255A	1,241	1,070	
Reported EPS	7.55	6.00	7.29	9.93	10.61	Reported EPS	1.08A	1.79A	2.39	2.06	
Adj. EPS	7.31	8.06	8.98	9.93	10.61	Adj. EPS	2.14A	2.40A	2.39	2.06	
DPS	3.59	2.92	3.21	3.53	3.30	DPS	-	-	-	-	
Payout ratio	47.5%	48.6%	44.0%	35.6%	31.1%	Payout ratio	-	-	-	-	
Shares outstanding	552	541	524	513	506	Shares outstanding	533A	522A	520	520	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	5,600	5,235	4,174	3,450	4,249	Gross margin	43.2%	44.7%	45.5%	46.9%	47.5%
Accounts receivable	3,194	3,533	2,715	2,821	3,160	EBITDA margin	27.2%	29.1%	29.6%	30.8%	31.2%
Inventories	3,698	3,661	3,740	3,787	3,847	EBIT margin	21.4%	23.4%	24.2%	25.6%	26.2%
Other current assets	8,156	10,454	11,737	14,523	16,462	Net profit margin	17.1%	18.0%	18.5%	19.3%	19.8%
Current assets	15,884	16,387	16,610	18,671	21,408	ROE	(309.0%)	101.0%	101.3%	92.1%	69.6%
PP&E	7,388	7,101	7,021	6,982	6,974	ROA	10.5%	11.2%	12.5%	13.2%	13.2%
LT investments	9,105	6,723	6,723	6,723	6,723	ROCE	30.8%	26.6%	28.5%	29.8%	27.9%
Other non current assets	9,105	6,723	6,723	6,723	6,723	SG&A/Sales	17.9%	16.5%	16.5%	16.5%	16.5%
Total assets	39,868	37,733	37,671	39,489	42,014	Net debt/equity	1.9	1.6	1.9	1.4	0.9
Short term borrowings	1,919	1,670	1,670	1,670	1,670	P/E (x)	22.4	20.3	18.2	16.5	15.4
Payables	2,660	2,702	2,787	2,530	2,570	P/BV (x)	23.2	18.7	18.8	12.9	9.3
Other short term liabilities	6,677	5,223	5,267	5,296	5,318	EV/EBITDA (x)	14.4	13.1	12.5	11.6	11.1
Current liabilities	11,256	9,595	9,724	9,497	9,558	Dividend Yield	2.2%	1.8%	2.0%	2.2%	2.0%
Long-term debt	11,125	10,932	10,932	10,932	10,932	Sales/Assets (x)	0.6	0.6	0.7	0.7	0.7
Other long term liabilities	13,593	12,459	12,468	12,542	12,616	Interest cover (x)	321.5	36.4	31.6	27.3	29.5
Total liabilities	35,974	32,986	33,124	32,971	33,106	Operating leverage	83.6%	449.8%	174.9%	252.4%	185.6%
Shareholders' equity	3,894	4,747	4,547	6,518	8,908	Revenue y/y Growth	(24.7%)	2.7%	4.6%	3.9%	2.7%
Minority interests	0	0	0	0	0	EBITDA y/y Growth	(23.2%)	9.8%	6.5%	8.0%	4.2%
Total liabilities & equity	39,868	37,733	37,671	39,489	42,014	Tax rate	19.6%	19.9%	20.0%	20.0%	20.0%
BVPS	7.05	8.77	8.68	12.71	17.59	Adj. Net Income y/y Growth	(21.2%)	8.1%	7.9%	8.2%	5.5%
y/y Growth	(160.0%)	24.4%	(1.0%)	46.5%	38.4%	EPS y/y Growth	(20.9%)	10.3%	11.5%	10.6%	6.8%
Net debt/(cash)	7,444	7,367	8,428	9,152	8,353	DPS y/y Growth	(39.9%)	(18.6%)	10.0%	10.0%	(6.6%)
Cash flow from operating activities	1,819	2,306	4,330	3,808	5,221						
o/w Depreciation & amortization	1,363	1,364	1,364	1,364	1,364						
o/w Changes in working capital	(5,223)	(4,744)	(1,154)	(3,013)	(1,878)						
Cash flow from investing activities	(3,206)	1,350	(1,079)	(1,121)	(1,151)						
o/w Capital expenditure	(1,181)	(910)	(1,079)	(1,121)	(1,151)						
as % of sales	5.0%	3.7%	4.3%	4.3%	4.3%						
Cash flow from financing activities	1,098	(4,016)	(4,312)	(3,412)	(3,271)						
o/w Dividends paid	(1,982)	(1,581)	(1,683)	(1,812)	(1,671)						
o/w Net debt issued/(repaid)	5,506	(716)	0	0	0						
Net change in cash	(333)	(319)	(1,061)	(724)	798						
Adj. Free cash flow to firm	638	1,396	3,251	2,687	4,069						
y/y Growth	(87.4%)	118.8%	132.9%	(17.3%)	51.4%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Albany International: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	1,231	1,183	1,297	1,426	1,507	Revenue	311A	329A	327	329	
COGS	(829)	(939)	(892)	(1,003)	(1,060)	COGS	(212)A	(222)A	(227)	(232)	
Gross profit	402	244	405	424	447	Gross profit	100A	108A	100	97	
SG&A	(211)	(218)	(217)	(212)	(212)	SG&A	(58)A	(56)A	(54)	(49)	
Adj. EBITDA	232	221	213	234	253	Adj. EBITDA	48A	58A	53	54	
D&A	(89)	(88)	(75)	(81)	(81)	D&A	(17)A	(17)A	(21)	(20)	
Adj. EBIT	131	(36)	123	154	173	Adj. EBIT	25A	32A	26	40	
Net Interest	(13)	(21)	(21)	(21)	(21)	Net Interest	(5)A	(6)A	(6)	(3)	
Adj. PBT	117	(62)	106	133	153	Adj. PBT	23A	26A	20	37	
Tax	(29)	5	(34)	(42)	(48)	Tax	(8)A	(8)A	(6)	(12)	
Minority Interest	(0)	(0)	(0)	(0)	(0)	Minority Interest	(0)A	(0)A	(0)	0	
Adj. Net Income	99	79	104	91	104	Adj. Net Income	17A	24A	42	21	
Reported EPS	2.80	(1.94)	2.56	3.24	3.72	Reported EPS	0.54A	0.61A	0.48	0.92	
Adj. EPS	3.18	2.65	3.70	3.24	3.72	Adj. EPS	0.60A	0.82A	1.50	0.75	
DPS	1.04	1.10	1.16	1.16	1.16	DPS	0.28A	0.28A	0.28	0.31	
Payout ratio	37.1%	NM	45.3%	35.8%	31.2%	Payout ratio	51.9%A	45.6%A	59.6%	33.8%	
Shares outstanding	31	30	28	28	28	Shares outstanding	29A	29A	28	28	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	115	112	165	214	276	Gross margin	32.6%	20.6%	31.2%	29.7%	29.6%
Accounts receivable	247	235	235	250	271	EBITDA margin	18.8%	18.7%	16.4%	16.4%	16.8%
Inventories	167	87	83	93	98	EBIT margin	10.7%	(3.1%)	9.5%	10.8%	11.5%
Other current assets	615	816	822	860	897	Net profit margin	8.1%	6.6%	8.0%	6.4%	6.9%
Current assets	731	929	987	1,074	1,174	ROE	10.4%	9.4%	13.8%	11.2%	11.8%
PP&E	563	483	483	477	472	ROA	5.7%	4.7%	5.9%	5.0%	5.5%
LT investments	-	-	-	-	-	ROCE	7.4%	(3.2%)	7.0%	8.3%	8.8%
Other non current assets	140	123	123	123	123	SG&A/Sales	17.1%	18.5%	16.7%	14.9%	14.1%
Total assets	1,649	1,719	1,772	1,847	1,936	Net debt/equity	0.2	0.5	0.4	0.3	0.2
Short term borrowings	0	0	0	0	0	P/E (x)	18.7	22.4	16.1	18.3	16.0
Payables	66	64	65	69	73	P/BV (x)	2.0	2.4	2.1	2.0	1.8
Other short term liabilities	160	378	381	384	387	EV/EBITDA (x)	8.2	9.3	9.4	8.3	7.4
Current liabilities	226	442	446	452	459	Dividend Yield	1.7%	1.8%	2.0%	2.0%	2.0%
Long-term debt	319	456	456	456	456	Sales/Assets (x)	0.7	0.7	0.7	0.8	0.8
Other long term liabilities	473	544	544	544	544	Interest cover (x)	18.5	10.7	10.3	11.3	12.3
Total liabilities	700	987	990	997	1,004	Operating leverage	(302.0%)	3281.9%(4578.9%)	244.7%	225.6%	
Shareholders' equity	944	726	776	844	927	Revenue y/y Growth	7.2%	(3.9%)	9.7%	10.0%	5.6%
Minority interests	5	6	6	6	6	EBITDA y/y Growth	(12.5%)	(4.7%)	(3.6%)	9.7%	8.3%
Total liabilities & equity	1,649	1,719	1,772	1,847	1,936	Tax rate	24.8%	(7.8%)	32.0%	31.5%	31.5%
BVPS	30.20	24.54	27.72	30.17	33.10	Adj. Net Income y/y Growth	(21.2%)	(20.9%)	31.8%	(12.4%)	14.7%
y/y Growth	(2.2%)	(18.7%)	12.9%	8.9%	9.7%	EPS y/y Growth	(21.5%)	(16.5%)	39.3%	(12.4%)	14.7%
Net debt/(cash)	203	343	291	242	179	DPS y/y Growth	3.9%	5.6%	5.7%	0.0%	0.0%
Cash flow from operating activities	218	152	155	151	165						
o/w Depreciation & amortization	89	88	75	81	81						
o/w Changes in working capital	49	7	(2)	(31)	(30)						
Cash flow from investing activities	(80)	(68)	(70)	(70)	(70)						
o/w Capital expenditure	(80)	(70)	(70)	(70)	(70)						
as % of sales	6.5%	5.9%	5.4%	4.9%	4.6%						
Cash flow from financing activities	(184)	(96)	(32)	(32)	(32)						
o/w Dividends paid	(32)	(32)	(32)	(32)	(32)						
o/w Net debt issued/(repaid)	(134)	125	0	0	0						
Net change in cash	(58)	(3)	53	49	63						
Adj. Free cash flow to firm	149	108	99	95	109						
y/y Growth	101.0%	(27.3%)	(8.3%)	(4.0%)	14.9%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Allegion: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	3,772	4,068	4,435	4,678	4,895	Revenue	1,034A	1,152A	1,147	1,102	
COGS	(2,104)	(2,229)	(2,446)	(2,564)	(2,683)	COGS	(579)A	(634)A	(622)	(611)	
Gross profit	1,669	1,838	1,989	2,115	2,213	Gross profit	455A	518A	526	492	
SG&A	(888)	(979)	(1,019)	(1,053)	(1,080)	SG&A	(259)A	(263)A	(255)	(242)	
Adj. EBITDA	900	993	1,118	1,218	1,296	Adj. EBITDA	231A	290A	309	287	
D&A	(119)	(133)	(148)	(156)	(163)	D&A	(36)A	(36)A	(39)	(37)	
Adj. EBIT	781	860	970	1,062	1,133	Adj. EBIT	195A	255A	270	250	
Net Interest	102	99	99	100	97	Net Interest	24A	25A	25	25	
Adj. PBT	699	768	867	962	1,036	Adj. PBT	172A	228A	244	224	
Tax	(101)	(125)	(161)	(173)	(186)	Tax	(33)A	(43)A	(44)	(40)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	660	705	775	837	897	Adj. Net Income	156A	206A	214	199	
Reported EPS	6.82	7.44	8.21	9.28	10.16	Reported EPS	1.59A	2.15A	2.33	2.14	
Adj. EPS	7.53	8.14	9.00	9.85	10.73	Adj. EPS	1.80A	2.40A	2.49	2.32	
DPS	1.92	2.04	2.19	2.25	2.30	DPS	0.54A	0.55A	0.55	0.55	
Payout ratio	28.1%	27.4%	26.7%	24.2%	22.6%	Payout ratio	33.9%A	25.6%A	23.6%	25.7%	
Shares outstanding	88	87	86	85	84	Shares outstanding	87A	86A	86	86	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	504	356	663	1,107	1,572	Gross margin	44.2%	45.2%	44.8%	45.2%	45.2%
Accounts receivable	419	438	467	491	514	EBITDA margin	23.9%	24.4%	25.2%	26.0%	26.5%
Inventories	423	519	552	577	604	EBIT margin	20.7%	21.1%	21.9%	22.7%	23.1%
Other current assets	919	1,036	1,097	1,146	1,196	Net profit margin	17.5%	17.3%	17.5%	17.9%	18.3%
Current assets	1,422	1,392	1,760	2,253	2,768	ROE	46.8%	39.5%	34.8%	32.2%	29.6%
PP&E	385	445	479	498	510	ROA	15.0%	14.5%	14.3%	14.4%	14.3%
LT investments	-	-	-	-	-	ROCE	19.5%	19.1%	18.7%	18.8%	18.3%
Other non current assets	622	649	667	667	667	SG&A/Sales	23.5%	24.1%	23.0%	22.5%	22.1%
Total assets	4,488	5,224	5,604	6,042	6,493	Net debt/equity	1.0	0.8	0.6	0.3	0.1
Short term borrowings	22	0	0	0	0	P/E (x)	19.9	18.4	16.7	15.2	14.0
Payables	258	245	257	265	277	P/BV (x)	8.8	6.3	5.4	4.5	3.9
Other short term liabilities	417	510	498	498	498	EV/EBITDA (x)	16.1	14.7	12.8	11.4	10.4
Current liabilities	697	755	756	764	776	Dividend Yield	1.3%	1.4%	1.5%	1.5%	1.5%
Long-term debt	1,978	1,980	2,031	2,031	2,031	Sales/Assets (x)	0.9	0.8	0.8	0.8	0.8
Other long term liabilities	313	421	434	434	434	Interest cover (x)	NM	NM	NM	NM	NM
Total liabilities	2,987	3,156	3,221	3,228	3,241	Operating leverage	306.9%	128.9%	142.2%	172.8%	144.6%
Shareholders' equity	1,501	2,068	2,384	2,814	3,253	Revenue y/y Growth	3.3%	7.8%	9.0%	5.5%	4.6%
Minority interests	0	0	0	0	0	EBITDA y/y Growth	9.7%	10.3%	12.6%	8.9%	6.4%
Total liabilities & equity	4,488	5,224	5,604	6,042	6,494	Tax rate	14.5%	16.2%	18.6%	18.0%	18.0%
BVPS	17.13	23.89	27.70	33.13	38.91	Adj. Net Income y/y Growth	7.3%	6.9%	9.9%	8.0%	7.2%
y/y Growth	14.7%	39.4%	16.0%	19.6%	17.5%	EPS y/y Growth	8.1%	8.1%	10.5%	9.4%	8.9%
Net debt/(cash)	1,496	1,624	1,368	924	459	DPS y/y Growth	4.9%	6.3%	7.4%	2.7%	2.2%
Cash flow from operating activities	675	784	836	935	1,007						
o/w Depreciation & amortization	119	133	148	156	163						
o/w Changes in working capital	14	(19)	(34)	(41)	(37)						
Cash flow from investing activities	(228)	(686)	(173)	(100)	(100)						
o/w Capital expenditure	(92)	(98)	(99)	(100)	(100)						
as % of sales	2.4%	2.4%	2.2%	2.1%	2.0%						
Cash flow from financing activities	(395)	(267)	(352)	(391)	(442)						
o/w Dividends paid	(167)	(175)	(188)	(191)	(192)						
o/w Net debt issued/(repaid)	(13)	562	50	0	0						
Net change in cash	36	(148)	307	444	465						
Adj. Free cash flow to firm	496	603	657	753	828						
y/y Growth	14.0%	21.5%	9.0%	14.7%	9.9%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Carrier: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	22,486	21,747	23,250	24,495	25,959	Revenue	5,341A	6,351A	6,080	5,478	
COGS	(17,399)	(16,123)	(17,077)	(17,654)	(18,059)	COGS	(4,097)A	(4,623)A	(4,442)	(3,916)	
Gross profit	5,087	5,624	6,172	6,841	7,900	Gross profit	1,244A	1,728A	1,638	1,562	
SG&A	(3,355)	(3,092)	(3,255)	(3,368)	(3,569)	SG&A	(861)A	(810)A	(790)	(794)	
Adj. EBITDA	4,774	4,561	4,785	5,255	5,753	Adj. EBITDA	917A	1,429A	1,299	1,139	
D&A	(1,232)	(1,274)	(1,293)	(1,311)	(1,364)	D&A	(323)A	(334)A	(321)	(315)	
Adj. EBIT	3,542	3,287	3,492	3,944	4,388	Adj. EBIT	594A	1,095A	978	825	
Net Interest	(448)	(364)	(400)	(408)	(400)	Net Interest	(90)A	(105)A	(105)	(100)	
Adj. PBT	3,092	2,924	3,094	3,536	3,988	Adj. PBT	505A	990A	873	725	
Tax	(650)	(595)	(588)	(707)	(838)	Tax	4A	(230)A	(210)	(152)	
Minority Interest	(104)	(103)	(120)	(120)	(115)	Minority Interest	(27)A	(40)A	(34)	(20)	
Adj. Net Income	2,338	2,226	2,386	2,709	3,036	Adj. Net Income	482A	721A	630	553	
Reported EPS	2.56	2.58	2.87	3.33	3.80	Reported EPS	0.57A	0.86A	0.76	0.67	
Adj. EPS	2.56	2.58	2.87	3.33	3.80	Adj. EPS	0.57A	0.86A	0.76	0.67	
DPS	0.09	0.12	0.14	0.15	0.16	DPS	-	-	-	-	
Payout ratio	3.6%	4.5%	5.0%	4.6%	4.1%	Payout ratio	-	-	-	-	
Shares outstanding	912	862	832	812	799	Shares outstanding	843A	835A	828	823	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,969	1,555	1,542	2,106	3,025	Gross margin	22.6%	25.9%	26.5%	27.9%	30.4%
Accounts receivable	2,651	2,639	2,835	2,953	3,200	EBITDA margin	21.2%	21.0%	20.6%	21.5%	22.2%
Inventories	2,299	2,483	3,105	2,942	3,010	EBIT margin	15.8%	15.1%	15.0%	16.1%	16.9%
Other current assets	5,922	6,978	8,569	8,580	8,953	Net profit margin	10.4%	10.2%	10.3%	11.1%	11.7%
Current assets	9,891	8,533	10,111	10,686	11,977	ROE	20.5%	16.0%	17.9%	20.9%	22.6%
PP&E	1,131	1,074	1,126	1,126	1,126	ROA	6.7%	6.0%	6.4%	7.2%	8.0%
LT investments	-	-	-	-	-	ROCE	11.5%	10.2%	11.2%	12.6%	13.6%
Other non current assets	5,348	5,756	5,798	5,589	5,379	SG&A/Sales	14.9%	14.2%	14.0%	13.8%	13.8%
Total assets	37,403	37,190	37,868	37,841	38,512	Net debt/equity	0.5	0.7	0.8	0.8	0.7
Short term borrowings	699	468	1,638	1,638	1,640	P/E (x)	21.8	21.6	19.5	16.7	14.7
Payables	2,458	2,702	3,637	3,283	3,228	P/BV (x)	3.6	3.5	3.6	3.5	3.2
Other short term liabilities	4,735	3,944	4,747	4,915	5,085	EV/EBITDA (x)	11.1	12.1	11.6	10.4	9.3
Current liabilities	7,892	7,114	10,022	9,836	9,953	Dividend Yield	0.2%	0.2%	0.3%	0.3%	0.3%
Long-term debt	11,026	11,365	10,398	10,398	10,398	Sales/Assets (x)	0.6	0.6	0.6	0.6	0.7
Other long term liabilities	3,876	4,391	4,190	4,190	4,190	Interest cover (x)	10.7	12.5	12.0	12.9	14.4
Total liabilities	23,008	23,062	24,798	24,612	24,729	Operating leverage	(7322.4%)	219.1%	90.2%	242.0%	188.3%
Shareholders' equity	14,081	13,804	12,800	13,084	13,763	Revenue y/y Growth	(0.5%)	(3.3%)	6.9%	5.4%	6.0%
Minority interests	314	324	270	145	20	EBITDA y/y Growth	49.6%	(4.5%)	4.9%	9.8%	9.5%
Total liabilities & equity	37,403	37,190	37,868	37,841	38,512	Tax rate	21.0%	20.3%	19.0%	20.0%	21.0%
BVPS	15.45	16.01	15.38	16.10	17.22	Adj. Net Income y/y Growth	32.0%	(4.8%)	7.2%	13.5%	12.1%
y/y Growth	51.8%	3.6%	(3.9%)	4.7%	6.9%	EPS y/y Growth	23.5%	0.6%	11.1%	16.3%	13.9%
Net debt/(cash)	7,756	10,278	10,494	9,930	9,013	DPS y/y Growth	35.5%	27.1%	23.2%	6.7%	1.6%
Cash flow from operating activities	1,571	2,089	2,747	3,179	3,466						
o/w Depreciation & amortization	1,232	1,274	1,293	1,311	1,364						
o/w Changes in working capital	339	(398)	(63)	(197)	(257)						
Cash flow from investing activities	(11,025)	(343)	(624)	(632)	(631)						
o/w Capital expenditure	(519)	(392)	(600)	(632)	(631)						
as % of sales	2.3%	1.8%	2.6%	2.6%	2.4%						
Cash flow from financing activities	(4,551)	(4,672)	(2,107)	(1,983)	(1,916)						
o/w Dividends paid	(84)	(101)	(120)	(125)	(125)						
o/w Net debt issued/(repaid)	(1,883)	(889)	343	0	0						
Net change in cash	(14,108)	(2,850)	6	564	919						
Adj. Free cash flow to firm	968	1,596	2,027	2,422	2,710						
y/y Growth	(53.5%)	64.9%	27.0%	19.5%	11.9%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

DuPont De Nemours, Inc: Summary of Financials

Income Statement - Annual					Income Statement - Quarterly				
	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E
Revenue	6,850	7,166	7,378	7,596	Revenue	1,681A	1,819A	1,841	1,825
COGS	(4,486)	(4,658)	(4,759)	(4,862)	COGS	(1,079)A	(1,180)A	(1,197)	(1,202)
Gross profit	-	-	-	-	Gross profit	-	-	-	-
SG&A	(1,019)	(1,066)	(1,098)	(1,130)	SG&A	(255)A	(269)A	(274)	(268)
Adj. EBITDA	1,628	1,757	1,861	1,949	Adj. EBITDA	414A	448A	449	446
D&A	(647)	(625)	(625)	(625)	D&A	(155)A	(154)A	(158)	(158)
Adj. EBIT	981	1,132	1,236	1,324	Adj. EBIT	259A	294A	291	288
Net Interest	(239)	(75)	(80)	(80)	Net Interest	(30)A	(17)A	(14)	(14)
Adj. PBT	999	1,322	1,421	1,509	Adj. PBT	307A	349A	335	332
Tax	(254)	(324)	(362)	(385)	Tax	(78)A	(88)A	(79)	(79)
Minority Interest	(41)	(7)	(7)	(7)	Minority Interest	(3)A	(4)A	0	0
Adj. Net Income	704	991	1,052	1,117	Adj. Net Income	226A	257A	256	252
Reported EPS	5.05	7.28	7.94	8.64	Reported EPS	1.64A	1.88A	1.90	1.87
Adj. EPS	5.05	7.28	7.94	8.64	Adj. EPS	1.64A	1.88A	1.90	1.87
DPS	1.65	1.65	1.65	1.65	DPS	0.38A	0.38A	0.38	0.51
Payout ratio	32.7%	22.6%	20.8%	19.1%	Payout ratio	23.1%A	20.2%A	20.0%	27.2%
Shares outstanding	139	136	132	129	Shares outstanding	138A	137A	135	135
Balance Sheet & Cash Flow Statement					Ratio Analysis				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	757	1,934	2,066	1,952	Gross margin	-	-	-	-
Accounts receivable	1,669	1,963	2,254	2,581	EBITDA margin	23.8%	24.5%	25.2%	25.7%
Inventories	1,172	1,251	1,434	1,998	EBIT margin	14.3%	15.8%	16.8%	17.4%
Other current assets	2,962	3,335	3,809	4,700	Net profit margin	10.3%	13.8%	14.3%	14.7%
Current assets	3,719	5,269	5,875	6,651	ROE	3.8%	7.2%	7.7%	8.0%
PP&E	3,464	3,054	2,650	2,253	ROA	2.4%	4.7%	5.0%	5.3%
LT investments	-	-	-	-	ROCE	3.1%	5.0%	5.4%	5.8%
Other non current assets	3,541	1,685	1,685	1,685	SG&A/Sales	14.9%	14.9%	14.9%	14.9%
Total assets	21,575	20,859	21,062	21,441	Net debt/equity	0.2	0.1	0.1	0.1
Short term borrowings	60	60	60	60	P/E (x)	26.2	18.2	16.7	15.3
Payables	995	893	913	1,066	P/BV (x)	-	-	-	-
Other short term liabilities	936	936	936	936	EV/EBITDA (x)	11.3	10.8	10.3	9.7
Current liabilities	1,991	1,889	1,909	2,062	Dividend Yield	1.2%	1.2%	1.2%	1.2%
Long-term debt	3,134	3,134	3,134	3,134	Sales/Assets (x)	0.2	0.3	0.4	0.4
Other long term liabilities	5,049	4,735	4,735	4,735	Interest cover (x)	6.8	23.4	23.3	24.4
Total liabilities	7,472	7,056	7,076	7,229	Operating leverage	111.2%	334.2%	310.9%	238.6%
Shareholders' equity	13,919	13,625	13,816	14,049	Revenue y/y Growth	(44.7%)	4.6%	3.0%	3.0%
Minority interests	184	177	170	163	EBITDA y/y Growth	(48.2%)	7.9%	5.9%	4.7%
Total liabilities & equity	21,575	20,859	21,062	21,441	Tax rate	25.4%	24.5%	25.5%	25.5%
BVPS	-	-	-	-	Adj. Net Income y/y Growth	(58.9%)	40.8%	6.1%	6.2%
y/y Growth	-	-	-	-	EPS y/y Growth	253.2%	44.2%	9.0%	8.8%
Net debt/(cash)	2,437	1,260	1,128	1,242	DPS y/y Growth	0.0%	0.0%	0.0%	0.0%
Cash flow from operating activities	560	1,149	1,229	1,011					
o/w Depreciation & amortization	647	625	625	625					
o/w Changes in working capital	0	0	0	0					
Cash flow from investing activities	(374)	885	(221)	(228)					
o/w Capital expenditure	(333)	(215)	(221)	(228)					
as % of sales	4.9%	3.0%	3.0%	3.0%					
Cash flow from financing activities	(1,750)	(857)	(875)	(898)					
o/w Dividends paid	(597)	(325)	(368)	(391)					
o/w Net debt issued/(repaid)	(4,134)	0	0	0					
Net change in cash	(1,553)	1,177	133	(115)					
Adj. Free cash flow to firm	227	934	1,008	783					
y/y Growth	(87.0%)	311.3%	7.9%	(22.3%)					

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Emerson Electric Co.: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26A	4Q26E	
Revenue	17,492	18,015	18,927	19,982	21,010	Revenue	4,346A	4,562A	4,873A	5,146	
COGS	(8,607)	(8,496)	(8,896)	(9,491)	(11,555)	COGS	(2,035)A	(2,140)A	(2,218)A	(2,342)	
Gross profit	8,885	9,519	10,031	10,491	9,454	Gross profit	2,311A	2,422A	2,655A	2,805	
SG&A	(4,887)	(5,103)	(5,300)	(4,296)	(4,517)	SG&A	(1,242)A	(1,316)A	(1,343)A	(1,400)	
Adj. EBITDA	4,610	5,126	4,989	5,458	5,547	Adj. EBITDA	1,203A	1,258A	1,387A	1,452	
D&A	(1,689)	(1,490)	(1,483)	(1,503)	(1,591)	D&A	(359)A	(369)A	(377)A	(378)	
Adj. EBIT	4,326	4,693	5,029	5,462	5,806	Adj. EBIT	865A	877A	1,001A	1,392	
Net Interest	(89)	(236)	(330)	(260)	(172)	Net Interest	(90)A	(84)A	(85)A	(72)	
Adj. PBT	4,237	4,457	4,699	5,202	5,634	Adj. PBT	1,051A	1,110A	1,218A	1,320	
Tax	(933)	(979)	(1,010)	(1,118)	(1,211)	Tax	(228)A	(241)A	(258)A	(284)	
Minority Interest	(152)	(74)	0	0	0	Minority Interest	(1)A	0A	0A	1	
Adj. Net Income	3,152	3,404	3,689	4,084	4,423	Adj. Net Income	822A	869A	960A	1,037	
Reported EPS	2.86	2.89	3.43	5.59	6.17	Reported EPS	0.25A	0.89A	0.89A	1.41	
Adj. EPS	5.49	6.01	6.56	7.35	8.06	Adj. EPS	1.46A	1.54A	1.71A	1.86	
DPS	2.09	2.10	2.13	2.24	2.35	DPS	-	-	-	-	
Payout ratio	73.0%	72.7%	62.2%	40.1%	38.1%	Payout ratio	-	-	-	-	
Shares outstanding	574	567	562	555	549	Shares outstanding	564A	563A	561A	559	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,588	1,544	2,872	4,637	6,753	Gross margin	50.8%	52.8%	53.0%	52.5%	45.0%
Accounts receivable	2,927	3,101	2,944	3,286	3,502	EBITDA margin	26.4%	28.5%	26.4%	27.3%	26.4%
Inventories	2,180	2,213	2,100	2,214	2,504	EBIT margin	24.7%	26.0%	26.6%	27.3%	27.6%
Other current assets	6,604	7,039	6,770	7,224	7,730	Net profit margin	18.0%	18.9%	19.5%	20.4%	21.1%
Current assets	10,192	8,583	9,642	11,861	14,483	ROE	14.9%	16.2%	18.3%	20.0%	20.7%
PP&E	2,807	2,871	2,883	1,780	1,710	ROA	7.2%	7.9%	8.8%	9.7%	10.2%
LT investments	-	-	-	-	-	ROCE	11.6%	11.7%	11.9%	12.8%	13.2%
Other non current assets	13,180	12,317	12,079	11,901	11,723	SG&A/Sales	27.9%	28.3%	28.0%	21.5%	21.5%
Total assets	44,246	41,964	41,778	42,716	43,990	Net debt/equity	0.1	0.6	0.5	0.4	0.3
Short term borrowings	532	4,797	5,432	5,432	5,432	P/E (x)	29.0	26.5	24.2	21.6	19.7
Payables	1,335	1,384	1,483	1,561	1,740	P/BV (x)	4.2	4.4	4.5	4.2	4.0
Other short term liabilities	3,875	3,616	3,616	3,616	3,616	EV/EBITDA (x)	21.5	19.7	20.0	17.9	17.3
Current liabilities	5,742	9,797	10,531	10,609	10,788	Dividend Yield	1.3%	1.3%	1.3%	1.4%	1.5%
Long-term debt	7,155	8,319	7,731	7,731	7,731	Sales/Assets (x)	0.4	0.4	0.5	0.5	0.5
Other long term liabilities	3,840	3,550	3,526	3,526	3,526	Interest cover (x)	51.8	21.7	15.1	21.0	32.2
Total liabilities	16,737	21,666	21,788	21,866	22,045	Operating leverage	141.1%	283.4%	141.5%	154.6%	122.6%
Shareholders' equity	21,636	20,282	19,975	20,835	21,929	Revenue y/y Growth	15.3%	3.0%	5.1%	5.6%	5.1%
Minority interests	5,873	16	16	16	16	EBITDA y/y Growth	20.3%	11.2%	(2.7%)	9.4%	1.6%
Total liabilities & equity	44,246	41,964	41,778	42,716	43,990	Tax rate	22.0%	22.0%	21.5%	21.5%	21.5%
BVPS	37.70	35.79	35.53	37.52	39.97	Adj. Net Income y/y Growth	23.2%	8.0%	8.4%	10.7%	8.3%
y/y Growth	5.0%	(5.1%)	(0.7%)	5.6%	6.5%	EPS y/y Growth	23.7%	9.4%	9.2%	12.1%	9.6%
Net debt/(cash)	4,099	11,572	10,291	8,526	6,410	DPS y/y Growth	0.6%	0.5%	1.5%	5.0%	5.0%
Cash flow from operating activities	3,317	3,676	3,922	4,409	4,827						
o/w Depreciation & amortization	1,689	1,518	1,448	1,503	1,591						
o/w Changes in working capital	(151)	(9)	368	(377)	(327)						
Cash flow from investing activities	(8,796)	(593)	(417)	(400)	(420)						
o/w Capital expenditure	(419)	(431)	(379)	(400)	(420)						
as % of sales	2.4%	2.4%	2.0%	2.0%	2.0%						
Cash flow from financing activities	(2,455)	(4,510)	(2,153)	(2,245)	(2,291)						
o/w Dividends paid	(1,201)	(1,192)	(1,200)	(1,245)	(1,291)						
o/w Net debt issued/(repaid)	(567)	5,241	47	0	0						
Net change in cash	(7,914)	(1,466)	1,328	1,765	2,116						
Adj. Free cash flow to firm	2,898	3,245	3,543	4,009	4,407						
y/y Growth	22.6%	12.0%	9.2%	13.2%	9.9%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Sep. o/w - out of which

Forgent Power Solutions Inc: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY25A	FY26A	FY27E	FY28E	FY29E		1Q27E	2Q27E	3Q27E	4Q27E	
Revenue	753	1,420	2,609	3,622	4,619	Revenue	469	569	719	851	
COGS	(475)	(922)	(1,663)	(2,329)	(2,890)	COGS	(312)	(374)	(439)	(537)	
Gross profit	278	498	946	1,293	1,729	Gross profit	156	195	280	314	
SG&A	(146)	(263)	(363)	(449)	(508)	SG&A	(68)	(78)	(99)	(117)	
Adj. EBITDA	169	323	629	918	1,287	Adj. EBITDA	101	134	177	218	
D&A	(65)	(67)	(65)	(65)	(65)	D&A	(16)	(16)	(16)	(16)	
Adj. EBIT	104	256	564	853	1,222	Adj. EBIT	84	118	160	202	
Net Interest	(49)	(54)	(37)	(26)	(15)	Net Interest	(9)	(10)	(9)	(9)	
Adj. PBT	14	100	353	582	877	Adj. PBT	44	65	106	139	
Tax	(28)	(55)	(123)	(197)	(284)	Tax	(19)	(30)	(33)	(41)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	88	208	433	658	950	Adj. Net Income	63	85	126	159	
Reported EPS	0.29	0.68	1.42	2.17	3.20	Reported EPS	0.21	0.28	0.41	0.52	
Adj. EPS	0.29	0.68	1.42	2.17	3.20	Adj. EPS	0.21	0.28	0.41	0.52	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	305	305	305	303	297	Shares outstanding	305	305	305	305	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY25A	FY26A	FY27E	FY28E	FY29E		FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	111	97	391	639	995	Gross margin	36.9%	35.0%	36.3%	35.7%	37.4%
Accounts receivable	160	330	547	772	949	EBITDA margin	22.4%	22.7%	24.1%	25.3%	27.9%
Inventories	118	250	398	544	675	EBIT margin	13.8%	18.0%	21.6%	23.6%	26.5%
Other current assets	334	721	1,068	1,479	1,832	Net profit margin	11.8%	14.6%	16.6%	18.2%	20.6%
Current assets	445	818	1,460	2,118	2,827	ROE	19.8%	44.3%	60.1%	65.1%	73.6%
PP&E	108	205	254	323	413	ROA	6.1%	11.0%	16.9%	20.4%	24.0%
LT investments	-	-	-	-	-	ROCE	(29.2%)	3.0%	26.9%	35.0%	43.9%
Other non current assets	12	293	293	293	293	SG&A/Sales	19.5%	18.5%	13.9%	12.4%	11.0%
Total assets	1,537	2,231	2,886	3,577	4,341	Net debt/equity	0.7	0.7	0.2	NM	NM
Short term borrowings	5	6	6	6	6	P/E (x)	137.1	58.4	28.0	18.3	12.4
Payables	62	130	239	352	457	P/BV (x)	32.4	21.5	13.8	10.5	8.2
Other short term liabilities	215	395	564	777	984	EV/EBITDA (x)	76.8	40.2	20.3	13.8	9.7
Current liabilities	282	531	809	1,135	1,447	Dividend Yield	-	-	-	-	-
Long-term debt	497	576	572	569	565	Sales/Assets (x)	0.5	0.8	1.0	1.1	1.2
Other long term liabilities	185	452	445	432	416	Interest cover (x)	3.4	5.9	17.0	35.3	85.8
Total liabilities	963	1,559	1,827	2,135	2,428	Operating leverage	540.7%	164.7%	143.8%	132.0%	157.0%
Shareholders' equity	375	564	878	1,143	1,441	Revenue y/y Growth	56.0%	88.6%	83.7%	38.8%	27.5%
Minority interests	199	107	181	299	473	EBITDA y/y Growth	70.1%	91.1%	94.9%	45.9%	40.2%
Total liabilities & equity	1,537	2,231	2,886	3,577	4,341	Tax rate	366.4%	88.2%	38.0%	34.9%	33.1%
BVPS	1.23	1.85	2.88	3.78	4.85	Adj. Net Income y/y Growth	162.8%	134.7%	108.5%	51.9%	44.4%
y/y Growth	(27.7%)	50.7%	55.5%	31.1%	28.4%	EPS y/y Growth	162.8%	134.7%	108.3%	53.0%	47.2%
Net debt/(cash)	391	485	187	(64)	(425)	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	45	109	417	617	950						
o/w Depreciation & amortization	65	67	65	65	65						
o/w Changes in working capital	(460)	(426)	(398)	(460)	(366)						
Cash flow from investing activities	(84)	(116)	(89)	(109)	(129)						
o/w Capital expenditure	(84)	(116)	(89)	(109)	(129)						
as % of sales	11.2%	8.2%	3.4%	3.0%	2.8%						
Cash flow from financing activities	(36)	17	(34)	(261)	(464)						
o/w Dividends paid	0	0	0	0	(75)						
o/w Net debt issued/(repaid)	(5)	68	(6)	(6)	(6)						
Net change in cash	(75)	10	294	247	357						
Adj. Free cash flow to firm	(39)	(7)	328	508	821						
y/y Growth	(135.6%)	(82.5%)/(4911.5%)		54.7%	61.7%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Fortive Corp.: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	4,081	4,160	4,414	4,558	4,721	Revenue	1,069A	1,097A	1,080	1,168	
COGS	(1,567)	(1,517)	(1,623)	(1,659)	(1,602)	COGS	(394)A	(402)A	(397)	(432)	
Gross profit	2,514	2,643	2,790	2,899	3,119	Gross profit	-	-	-	-	
SG&A	(1,668)	(1,662)	(1,655)	(1,698)	(1,841)	SG&A	(417)A	(418)A	(411)	(409)	
Adj. EBITDA	1,159	1,230	1,318	1,382	1,434	Adj. EBITDA	313A	323A	316	367	
D&A	(430)	(438)	(456)	(464)	(454)	D&A	(114)A	(114)A	(110)	(119)	
Adj. EBIT	729	792	862	919	980	Adj. EBIT	199A	209A	206	248	
Net Interest	(153)	(121)	(140)	(146)	(143)	Net Interest	(32)A	(35)A	(37)	(37)	
Adj. PBT	946	1,039	1,096	1,156	1,229	Adj. PBT	261A	265A	260	310	
Tax	(97)	(136)	(159)	(173)	(184)	Tax	(44)A	(37)A	(39)	(38)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	851	904	937	982	1,045	Adj. Net Income	217A	228A	221	271	
Reported EPS	2.41	2.70	3.03	3.27	3.52	Reported EPS	0.69A	0.74A	0.72	0.88	
Adj. EPS	2.41	2.70	3.03	3.27	3.52	Adj. EPS	0.69A	0.74A	0.72	0.88	
DPS	0.32	0.28	0.26	0.34	0.36	DPS	-	-	-	-	
Payout ratio	13.1%	10.2%	8.7%	10.4%	10.1%	Payout ratio	-	-	-	-	
Shares outstanding	353	335	309	301	296	Shares outstanding	313A	308A	308	308	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	813	376	815	1,402	2,143	Gross margin	61.6%	63.5%	63.2%	63.6%	66.1%
Accounts receivable	945	684	797	848	852	EBITDA margin	28.4%	29.6%	29.9%	30.3%	30.4%
Inventories	545	292	340	380	402	EBIT margin	17.9%	19.0%	19.5%	20.2%	20.8%
Other current assets	1,779	1,230	1,416	1,533	1,584	Net profit margin	20.8%	21.7%	21.2%	21.6%	22.1%
Current assets	2,592	1,606	2,231	2,934	3,727	ROE	8.3%	10.9%	14.7%	15.3%	15.5%
PP&E	433	270	284	290	309	ROA	5.0%	6.3%	7.9%	8.1%	8.4%
LT investments	-	-	-	-	-	ROCE	4.7%	5.8%	7.6%	7.8%	8.1%
Other non current assets	495	376	376	376	376	SG&A/Sales	40.9%	40.0%	37.5%	37.3%	39.0%
Total assets	17,016	11,738	11,970	12,216	12,556	Net debt/equity	0.3	0.4	0.4	0.3	0.2
Short term borrowings	376	900	1,333	1,333	1,333	P/E (x)	23.4	20.9	18.6	17.3	16.0
Payables	677	436	451	438	421	P/BV (x)	2.0	2.9	2.8	2.6	2.4
Other short term liabilities	1,185	911	958	963	914	EV/EBITDA (x)	17.5	16.4	15.3	14.1	13.1
Current liabilities	2,238	2,247	2,742	2,734	2,667	Dividend Yield	0.6%	0.5%	0.5%	0.6%	0.6%
Long-term debt	3,331	2,307	2,202	2,202	2,202	Sales/Assets (x)	0.2	0.3	0.4	0.4	0.4
Other long term liabilities	1,251	724	724	724	724	Interest cover (x)	7.6	10.2	9.4	9.5	10.0
Total liabilities	6,821	5,277	5,668	5,659	5,593	Operating leverage	431.7%	446.4%	143.9%	203.0%	187.2%
Shareholders' equity	10,189	6,453	6,295	6,549	6,955	Revenue y/y Growth	4.3%	1.9%	6.1%	3.3%	3.6%
Minority interests	7	8	8	8	8	EBITDA y/y Growth	11.2%	6.1%	7.2%	4.9%	3.7%
Total liabilities & equity	17,016	11,738	11,970	12,216	12,556	Tax rate	10.3%	13.1%	14.5%	15.0%	15.0%
BVPS	28.88	19.28	20.38	21.79	23.47	Adj. Net Income y/y Growth	14.4%	6.2%	3.7%	4.9%	6.3%
y/y Growth	(0.5%)	(33.3%)	5.7%	6.9%	7.7%	EPS y/y Growth	15.3%	11.9%	12.4%	7.8%	7.8%
Net debt/(cash)	2,894	2,830	2,720	2,134	1,392	DPS y/y Growth	9.9%	(12.6%)	(4.1%)	29.1%	4.2%
Cash flow from operating activities	1,527	1,082	1,029	1,075	1,128						
o/w Depreciation & amortization	544	438	456	464	454						
o/w Changes in working capital	39	(51)	(124)	(126)	(117)						
Cash flow from investing activities	(1,796)	(150)	(143)	(86)	(81)						
o/w Capital expenditure	(120)	(135)	(85)	(86)	(81)						
as % of sales	3.0%	3.3%	1.9%	1.9%	1.7%						
Cash flow from financing activities	(793)	(1,226)	(453)	(402)	(305)						
o/w Dividends paid	(111)	(92)	(82)	(102)	(105)						
o/w Net debt issued/(repaid)	137	(716)	329	0	0						
Net change in cash	(1,076)	(293)	438	586	742						
Adj. Free cash flow to firm	1,406	931	944	989	1,047						
y/y Growth	12.9%	(33.8%)	1.5%	4.7%	5.9%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

GE Vernova: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	34,935	38,069	46,614	55,038	65,487	Revenue	9,339A	11,104A	12,089	14,082	
COGS	(28,850)	(30,533)	(35,863)	(40,347)	(47,362)	COGS	(7,557)A	(8,743)A	(9,339)	(10,224)	
Gross profit	6,085	7,535	10,751	14,691	18,125	Gross profit	1,782A	2,360A	2,751	3,858	
SG&A	(4,632)	(4,950)	0	0	0	SG&A	(1,298)A	(1,372)A	0	0	
Adj. EBITDA	2,035	3,196	6,412	9,852	13,798	Adj. EBITDA	896A	1,250A	1,626	2,640	
D&A	(1,009)	(847)	(1,210)	(1,211)	(1,242)	D&A	(341)A	(418)A	(209)	(242)	
Adj. EBIT	1,026	2,348	5,202	8,641	12,555	Adj. EBIT	555A	832A	1,417	2,398	
Net Interest	120	186	246	437	537	Net Interest	28A	73A	65	81	
Adj. PBT	1,682	2,993	5,950	9,578	13,592	Adj. PBT	717A	1,023A	1,606	2,604	
Tax	(939)	2,051	(1,640)	(2,315)	(3,319)	Tax	(354)A	(276)A	(378)	(633)	
Minority Interest	(7)	4	16	8	8	Minority Interest	(4)A	19A	1	0	
Adj. Net Income	976	2,137	4,558	7,191	10,202	Adj. Net Income	663A	736A	1,206	1,953	
Reported EPS	5.58	17.69	31.25	25.93	37.30	Reported EPS	17.45A	2.47A	4.20	7.06	
Adj. EPS	3.51	7.74	16.87	26.81	38.19	Adj. EPS	2.44A	2.73A	4.47	7.25	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	278	276	270	268	267	Shares outstanding	272A	270A	270	269	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	8,205	8,848	15,294	27,428	40,315	Gross margin	17.4%	19.8%	23.1%	26.7%	27.7%
Accounts receivable	8,174	9,803	12,346	11,070	12,487	EBITDA margin	5.8%	8.4%	13.8%	17.9%	21.1%
Inventories	8,587	10,429	13,117	11,921	9,365	EBIT margin	2.9%	6.2%	11.2%	15.7%	19.2%
Other current assets	25,948	31,368	35,984	33,512	32,373	Net profit margin	2.8%	5.6%	9.8%	13.1%	15.6%
Current assets	34,153	40,216	51,278	60,940	72,688	ROE	11.5%	20.6%	36.6%	44.3%	44.3%
PP&E	5,150	6,006	7,306	6,791	6,258	ROA	2.0%	3.7%	6.2%	8.1%	10.3%
LT investments	-	-	-	-	-	ROCE	5.3%	7.1%	27.2%	34.5%	36.8%
Other non current assets	7,106	11,628	11,818	11,818	11,818	SG&A/Sales	13.3%	13.0%	0.0%	0.0%	0.0%
Total assets	51,485	63,016	84,598	93,745	104,960	Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	-	-	-	-	-	P/E (x)	284.7	129.1	59.2	37.3	26.2
Payables	8,578	8,809	11,429	12,228	14,738	P/BV (x)	29.1	24.7	19.7	14.3	9.8
Other short term liabilities	23,107	32,163	46,776	50,810	51,605	EV/EBITDA (x)	127.7	81.3	40.0	24.8	16.8
Current liabilities	31,685	40,972	58,205	63,038	66,343	Dividend Yield	-	-	-	-	-
Long-term debt	0	0	2,794	2,794	2,794	Sales/Assets (x)	0.7	0.7	0.6	0.6	0.7
Other long term liabilities	9,207	9,748	8,721	8,041	7,361	Interest cover (x)	NM	NM	NM	NM	NM
Total liabilities	40,892	50,720	69,720	73,873	76,498	Operating leverage	(52229.9%)	1436.8%	541.3%	365.8%	238.6%
Shareholders' equity	9,546	11,178	13,720	18,714	27,304	Revenue y/y Growth	5.1%	9.0%	22.4%	18.1%	19.0%
Minority interests	1,047	1,118	1,158	1,158	1,158	EBITDA y/y Growth	151.5%	57.0%	100.7%	53.7%	40.1%
Total liabilities & equity	51,485	63,016	84,598	93,745	104,960	Tax rate	55.8%	68.5%	27.6%	24.2%	24.4%
BVPS	34.34	40.50	50.77	69.77	102.21	Adj. Net Income y/y Growth	253.7%	119.0%	113.3%	57.8%	41.9%
y/y Growth	26.9%	17.9%	25.4%	37.4%	46.5%	EPS y/y Growth	248.6%	120.5%	117.9%	59.0%	42.4%
Net debt/(cash)	(8,205)	(8,848)	(12,500)	(24,634)	(37,521)	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	2,583	4,987	14,527	14,782	14,964						
o/w Depreciation & amortization	1,009	847	1,210	1,211	1,242						
o/w Changes in working capital	1,349	2,909	11,100	7,305	4,444						
Cash flow from investing activities	(37)	(755)	(4,465)	(696)	(710)						
o/w Capital expenditure	(883)	(1,277)	(1,216)	(756)	(770)						
as % of sales	2.5%	3.4%	2.6%	1.4%	1.2%						
Cash flow from financing activities	3,652	(3,813)	(3,570)	(1,953)	(1,367)						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	(23)	0	0	0	0						
Net change in cash	6,051	641	6,445	12,134	12,888						
Adj. Free cash flow to firm	1,700	3,710	13,311	14,026	14,194						
y/y Growth	284.6%	118.3%	258.7%	5.4%	1.2%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Honeywell Technologies: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	19,281	19,945	20,162	20,249	21,111	Revenue	4,823A	5,187A	5,001	5,151	
COGS	(11,507)	(12,065)	(12,097)	(11,947)	(12,456)	COGS	(2,918)A	(3,138)A	(3,026)	(3,016)	
Gross profit	7,774	7,880	8,065	8,302	8,656	Gross profit	1,905A	2,049A	1,976	2,136	
SG&A	(4,513)	(4,663)	(4,436)	(3,949)	(4,117)	SG&A	(1,129)A	(1,214)A	(1,170)	(923)	
Adj. EBITDA	0	3,746	4,183	4,679	5,135	Adj. EBITDA	995A	1,000A	1,057	1,131	
D&A	0	0	(907)	(907)	(907)	D&A	(227)A	(227)A	(227)	(227)	
Adj. EBIT	0	3,746	3,276	3,772	4,228	Adj. EBIT	768A	773A	830	904	
Net Interest	(797)	(646)	(465)	(415)	(400)	Net Interest	(174)A	(96)A	(100)	(95)	
Adj. PBT	2,445	2,642	3,326	3,872	4,343	Adj. PBT	723A	806A	859	938	
Tax	(465)	(518)	(632)	(736)	(825)	Tax	(156)A	(165)A	(149)	(162)	
Minority Interest	0	(51)	(40)	(40)	(40)	Minority Interest	5A	(19)A	(15)	(11)	
Adj. Net Income	1,980	2,073	2,654	3,097	3,478	Adj. Net Income	572A	622A	695	765	
Reported EPS	6.05	6.45	8.31	9.76	11.09	Reported EPS	1.79A	1.95A	2.18	2.39	
Adj. EPS	6.05	6.45	8.31	9.76	11.09	Adj. EPS	1.79A	1.95A	2.18	2.39	
DPS	0.00	0.00	2.91	3.41	3.88	DPS	-	-	-	-	
Payout ratio	0.0%	0.0%	35.0%	35.0%	35.0%	Payout ratio	-	-	-	-	
Shares outstanding	327	321	319	317	314	Shares outstanding	319A	319A	319	319	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	0	0	3,076	3,508	4,379	Gross margin	40.3%	39.5%	40.0%	41.0%	41.0%
Accounts receivable	0	0	4,481	4,851	5,571	EBITDA margin	0.0%	18.8%	20.7%	23.1%	24.3%
Inventories	0	0	1,806	2,172	2,491	EBIT margin	0.0%	18.8%	16.2%	18.6%	20.0%
Other current assets	0	0	10,143	10,881	11,919	Net profit margin	10.3%	10.4%	13.2%	15.3%	16.5%
Current assets	0	0	13,219	14,389	16,298	ROE	25.0%	-	29.6%	16.7%	17.6%
PP&E	0	0	2,444	2,417	2,415	ROA	6.4%	-	11.8%	6.8%	7.5%
LT investments	0	0	1,299	1,299	1,299	ROCE	0.0%	-	17.6%	10.0%	10.7%
Other non current assets	0	0	6,016	6,016	6,016	SG&A/Sales	23.4%	23.4%	22.0%	19.5%	19.5%
Total assets	0	0	44,828	45,698	47,334	Net debt/equity	-	-	0.5	0.4	0.4
Short term borrowings	0	0	7,727	7,727	7,727	P/E (x)	34.2	32.0	24.8	21.2	18.6
Payables	0	0	3,360	2,920	2,941	P/BV (x)	-	-	3.7	3.4	3.2
Other short term liabilities	0	0	5,251	5,370	5,547	EV/EBITDA (x)	-	18.2	18.7	16.6	15.0
Current liabilities	0	0	16,339	16,017	16,215	Dividend Yield	0.0%	0.0%	1.4%	1.7%	1.9%
Long-term debt	0	0	4,415	4,415	4,415	Sales/Assets (x)	0.6	-	0.9	0.4	0.5
Other long term liabilities	0	0	4,219	4,248	4,275	Interest cover (x)	0.0	5.8	9.0	11.3	12.8
Total liabilities	0	0	25,923	25,630	25,855	Operating leverage	210.9%	-(1151.9%)	3523.7%	283.9%	
Shareholders' equity	0	0	17,932	19,094	20,505	Revenue y/y Growth	(47.4%)	3.4%	1.1%	0.4%	4.3%
Minority interests	0	0	974	974	974	EBITDA y/y Growth	(100.0%)	-	11.7%	11.9%	9.7%
Total liabilities & equity	0	0	44,828	45,698	47,334	Tax rate	19.0%	19.6%	19.0%	19.0%	19.0%
BVPS	0.00	0.00	56.19	60.16	65.40	Adj. Net Income y/y Growth	(59.6%)	4.7%	28.0%	16.7%	12.3%
y/y Growth	(100.0%)	-	-	7.1%	8.7%	EPS y/y Growth	(17.6%)	6.7%	28.8%	17.3%	13.7%
Net debt/(cash)	0	0	9,066	8,634	7,763	DPS y/y Growth	(100.0%)	-	-	17.3%	13.7%
Cash flow from operating activities	0	0	2,637	3,123	3,721						
o/w Depreciation & amortization	0	0	907	907	907						
o/w Changes in working capital	0	0	(1,101)	(1,059)	(841)						
Cash flow from investing activities	0	0	(1,035)	(607)	(633)						
o/w Capital expenditure	0	0	(605)	(607)	(633)						
as % of sales	0.0%	0.0%	3.0%	3.0%	3.0%						
Cash flow from financing activities	0	0	(9,214)	(2,084)	(2,217)						
o/w Dividends paid	0	0	(464)	(1,084)	(1,217)						
o/w Net debt issued/(repaid)	0	0	(8,750)	0	0						
Net change in cash	0	0	(7,612)	432	870						
Adj. Free cash flow to firm	0	0	2,032	2,516	3,088						
y/y Growth	(100.0%)	-	-	23.8%	22.7%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Illinois Tool Works: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	15,898	16,044	16,835	17,307	17,758	Revenue	4,016A	4,301A	4,267	4,251	
COGS	(8,858)	(8,969)	(9,357)	(9,531)	(9,683)	COGS	(2,256)A	(2,403)A	(2,349)	(2,349)	
Gross profit	7,040	7,075	7,478	7,776	8,075	Gross profit	1,760A	1,898A	1,918	1,902	
SG&A	(2,675)	(2,779)	(2,920)	(2,977)	(3,054)	SG&A	(722)A	(735)A	(727)	(736)	
Adj. EBITDA	4,666	4,613	4,895	5,152	5,382	Adj. EBITDA	1,119A	1,245A	1,278	1,253	
D&A	(402)	(397)	(403)	(418)	(428)	D&A	(99)A	(98)A	(103)	(103)	
Adj. EBIT	4,264	4,216	4,493	4,735	4,954	Adj. EBIT	1,020A	1,147A	1,176	1,150	
Net Interest	(283)	(292)	(309)	(314)	(310)	Net Interest	(73)A	(79)A	(79)	(78)	
Adj. PBT	4,422	3,966	4,276	4,516	4,703	Adj. PBT	967A	1,080A	1,127	1,102	
Tax	(934)	(900)	(1,011)	(1,061)	(1,098)	Tax	(199)A	(265)A	(276)	(270)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	3,027	3,114	3,299	3,455	3,605	Adj. Net Income	802A	815A	850	832	
Reported EPS	11.70	10.51	11.44	12.34	13.15	Reported EPS	2.66A	2.84A	2.99	2.93	
Adj. EPS	10.15	10.67	11.56	12.34	13.15	Adj. EPS	2.77A	2.84A	2.99	2.93	
DPS	5.80	6.22	6.54	6.73	1.71	DPS	1.61A	1.61A	1.66	1.66	
Payout ratio	49.6%	59.2%	57.1%	54.6%	13.0%	Payout ratio	60.6%A	56.7%A	55.4%	56.5%	
Shares outstanding	298	292	285	280	274	Shares outstanding	289A	287A	284	284	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	948	851	1,622	979	790	Gross margin	44.3%	44.1%	44.4%	44.9%	45.5%
Accounts receivable	2,991	3,227	3,261	3,333	3,474	EBITDA margin	29.3%	28.8%	29.1%	29.8%	30.3%
Inventories	1,605	1,659	1,699	1,719	1,754	EBIT margin	26.8%	26.3%	26.7%	27.4%	27.9%
Other current assets	4,908	5,349	5,451	5,558	5,778	Net profit margin	19.0%	19.4%	19.6%	20.0%	20.3%
Current assets	5,856	6,200	7,074	6,538	6,568	ROE	95.6%	95.2%	102.7%	118.0%	148.9%
PP&E	2,036	2,230	2,302	2,379	2,460	ROA	19.8%	20.0%	19.8%	20.4%	21.6%
LT investments	-	-	-	-	-	ROCE	30.1%	27.9%	27.3%	28.7%	30.7%
Other non current assets	1,744	2,029	2,151	2,220	2,278	SG&A/Sales	16.8%	17.3%	17.3%	17.2%	17.2%
Total assets	15,067	16,148	17,126	16,672	16,774	Net debt/equity	2.1	2.5	2.5	3.3	4.3
Short term borrowings	1,555	2,286	3,145	3,145	3,145	P/E (x)	26.1	24.8	22.9	21.5	20.1
Payables	519	522	644	651	666	P/BV (x)	23.7	23.9	23.6	27.9	33.0
Other short term liabilities	2,234	2,318	2,493	2,574	2,630	EV/EBITDA (x)	17.7	18.2	17.1	16.4	15.8
Current liabilities	4,308	5,126	6,282	6,370	6,441	Dividend Yield	2.2%	2.3%	2.5%	2.5%	0.6%
Long-term debt	6,308	6,683	6,549	6,549	7,049	Sales/Assets (x)	1.0	1.0	1.0	1.0	1.1
Other long term liabilities	1,134	1,113	1,097	1,097	1,097	Interest cover (x)	16.5	15.8	15.8	16.4	17.3
Total liabilities	11,750	12,922	13,928	14,016	14,587	Operating leverage	(4.27)	(1.23)	1.33	1.92	1.78
Shareholders' equity	3,317	3,226	3,199	2,656	2,187	Revenue y/y Growth	(1.3%)	0.9%	4.9%	2.8%	2.6%
Minority interests	-	-	-	-	-	EBITDA y/y Growth	5.2%	(1.1%)	6.1%	5.3%	4.5%
Total liabilities & equity	15,067	16,148	17,126	16,672	16,774	Tax rate	21.1%	22.7%	23.6%	23.5%	23.4%
BVPS	11.18	11.06	11.20	9.50	8.01	Adj. Net Income y/y Growth	2.7%	2.9%	5.9%	4.7%	4.4%
y/y Growth	12.3%	(1.1%)	1.2%	(15.1%)	(15.7%)	EPS y/y Growth	4.6%	5.1%	8.3%	6.7%	6.6%
Net debt/(cash)	6,915	8,118	8,072	8,715	9,404	DPS y/y Growth	7.0%	7.2%	5.1%	3.0%	(74.6%)
Cash flow from operating activities	3,281	3,126	3,717	3,761	3,820						
o/w Depreciation & amortization	402	397	403	418	428						
o/w Changes in working capital	(18)	(406)	113	(42)	(275)						
Cash flow from investing activities	(144)	(521)	(425)	(430)	(442)						
o/w Capital expenditure	(425)	(408)	(424)	(430)	(442)						
as % of sales	2.7%	2.5%	2.5%	2.5%	2.5%						
Cash flow from financing activities	(3,189)	(2,744)	(2,526)	(3,974)	(3,568)						
o/w Dividends paid	(1,695)	(1,785)	(1,875)	(1,974)	(2,068)						
o/w Net debt issued/(repaid)	-	-	-	-	-						
Net change in cash	(117)	(97)	771	(643)	(189)						
Adj. Free cash flow to firm	3,079	2,944	3,529	3,571	3,616						
y/y Growth	(7.0%)	(4.4%)	19.9%	1.2%	1.3%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Parker Hannifin: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY25A	FY26A	FY27E	FY28E	FY29E		1Q27E	2Q27E	3Q27E	4Q27E	
Revenue	19,850	21,499	25,000	27,193	29,016	Revenue	5,797	6,137	6,417	6,649	
COGS	(12,416)	(13,369)	(15,500)	(16,860)	(17,990)	COGS	(3,628)	(3,842)	(4,017)	(4,161)	
Gross profit	7,434	8,130	9,500	10,333	11,026	Gross profit	2,169	2,295	2,400	2,488	
SG&A	(2,532)	(2,843)	(3,150)	(3,399)	(3,627)	SG&A	(796)	(841)	(879)	(913)	
Adj. EBITDA	5,232	5,955	7,013	7,793	8,489	Adj. EBITDA	1,584	1,713	1,786	1,930	
D&A	(907)	(937)	(931)	(923)	(902)	D&A	(233)	(233)	(233)	(233)	
Adj. EBIT	4,561	5,273	6,246	7,058	7,775	Adj. EBIT	1,427	1,509	1,582	1,727	
Net Interest	(409)	(401)	(756)	(680)	(550)	Net Interest	(143)	(220)	(215)	(179)	
Adj. PBT	4,470	5,201	5,903	6,760	7,586	Adj. PBT	1,352	1,404	1,482	1,665	
Tax	(911)	(1,061)	(1,328)	(1,521)	(1,707)	Tax	(311)	(313)	(330)	(374)	
Minority Interest	(1)	(2)	0	0	0	Minority Interest	0	0	0	0	
Adj. Net Income	3,558	4,138	4,575	5,239	5,879	Adj. Net Income	1,041	1,091	1,152	1,292	
Reported EPS	27.12	28.48	31.23	36.59	41.68	Reported EPS	7.01	7.39	7.86	8.95	
Adj. EPS	27.33	32.31	35.81	40.97	45.93	Adj. EPS	8.15	8.54	9.01	10.10	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	130	128	128	128	128	Shares outstanding	128	128	128	128	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY25A	FY26A	FY27E	FY28E	FY29E		FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	467	501	549	1,030	2,415	Gross margin	37.5%	37.8%	38.0%	38.0%	38.0%
Accounts receivable	3,228	3,170	3,403	3,701	3,949	EBITDA margin	26.4%	27.7%	28.0%	28.7%	29.3%
Inventories	2,839	3,166	3,444	3,876	4,136	EBIT margin	23.0%	24.5%	25.0%	26.0%	26.8%
Other current assets	6,483	7,194	7,705	8,435	8,943	Net profit margin	17.9%	19.2%	18.3%	19.3%	20.3%
Current assets	6,950	7,695	8,254	9,466	11,358	ROE	27.6%	28.5%	27.4%	26.7%	25.5%
PP&E	2,937	3,020	3,292	3,510	3,766	ROA	12.1%	13.7%	12.8%	12.8%	13.9%
LT investments	0	0	0	0	0	ROCE	15.9%	17.9%	16.9%	16.2%	17.3%
Other non current assets	1,539	1,773	1,823	1,873	1,923	SG&A/Sales	12.8%	13.2%	12.6%	12.5%	12.5%
Total assets	29,494	30,877	40,430	41,340	42,990	Net debt/equity	0.6	0.5	0.8	0.6	0.3
Short term borrowings	1,791	1,754	1,754	1,754	1,754	P/E (x)	34.6	29.3	26.4	23.1	20.6
Payables	2,126	2,439	2,583	2,763	2,948	P/BV (x)	8.9	7.8	6.6	5.6	4.7
Other short term liabilities	1,902	1,903	1,857	1,878	1,978	EV/EBITDA (x)	24.6	21.5	19.2	16.9	15.1
Current liabilities	5,819	6,096	6,194	6,395	6,680	Dividend Yield	-	-	-	-	-
Long-term debt	7,494	6,766	13,616	11,186	8,756	Sales/Assets (x)	0.7	0.7	0.7	0.7	0.7
Other long term liabilities	2,223	2,378	2,378	2,378	2,378	Interest cover (x)	12.8	14.9	9.3	11.5	15.4
Total liabilities	15,803	15,464	22,392	20,143	17,978	Operating leverage	(16.00)	1.88	1.13	1.48	1.52
Shareholders' equity	13,682	15,404	18,029	21,188	25,003	Revenue y/y Growth	(0.4%)	8.3%	16.3%	8.8%	6.7%
Minority interests	9	9	9	9	9	EBITDA y/y Growth	2.7%	13.8%	17.8%	11.1%	8.9%
Total liabilities & equity	29,494	30,877	40,430	41,340	42,990	Tax rate	20.4%	20.4%	22.5%	22.5%	22.5%
BVPS	106.67	121.77	143.11	168.81	199.89	Adj. Net Income y/y Growth	7.4%	16.3%	10.6%	14.5%	12.2%
y/y Growth	13.6%	14.2%	17.5%	18.0%	18.4%	EPS y/y Growth	7.4%	18.2%	10.8%	14.4%	12.1%
Net debt/(cash)	8,818	8,019	14,821	11,910	8,095	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	3,776	4,364	4,617	5,181	6,124						
o/w Depreciation & amortization	907	937	931	923	902						
o/w Changes in working capital	(305)	(364)	(483)	(599)	(292)						
Cash flow from investing activities	224	(1,390)	(9,875)	(571)	(609)						
o/w Capital expenditure	(435)	(459)	(625)	(571)	(609)						
as % of sales	2.2%	2.1%	2.5%	2.1%	2.1%						
Cash flow from financing activities	(3,977)	(2,934)	5,306	(4,128)	(4,130)						
o/w Dividends paid	(861)	(936)	(1,022)	(1,176)	(1,178)						
o/w Net debt issued/(repaid)	(1,354)	(737)	6,850	(2,430)	(2,430)						
Net change in cash	45	34	48	481	1,385						
Adj. Free cash flow to firm	3,341	3,905	3,992	4,610	5,515						
y/y Growth	12.0%	16.9%	2.2%	15.5%	19.6%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Rockwell Automation: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26A	4Q26E	
Revenue	8,264	8,342	9,079	9,567	10,107	Revenue	2,105A	2,239A	2,313A	2,422	
COGS	(4,030)	(3,990)	(4,075)	(4,218)	(4,428)	COGS	(1,012)A	(1,036)A	(1,116)A	(911)	
Gross profit	4,234	4,352	5,004	5,349	5,679	Gross profit	1,093A	1,203A	1,198A	1,511	
SG&A	-	-	-	-	-	SG&A	-	-	-	-	
Adj. EBITDA	1,799	1,903	2,303	2,531	2,732	Adj. EBITDA	483A	584A	595A	641	
D&A	(317)	(325)	(325)	(325)	(325)	D&A	(78)A	(80)A	(79)A	(88)	
Adj. EBIT	1,481	1,578	1,978	2,206	2,407	Adj. EBIT	405A	504A	516A	553	
Net Interest	(139)	(146)	(120)	(124)	(120)	Net Interest	(29)A	(33)A	(30)A	(28)	
Adj. PBT	1,342	1,432	1,858	2,082	2,287	Adj. PBT	376A	471A	486A	525	
Tax	(197)	(241)	(362)	(427)	(469)	Tax	(66)A	(97)A	(95)A	(104)	
Minority Interest	5	13	2	0	0	Minority Interest	3A	(1)A	0A	0	
Adj. Net Income	1,150	1,204	1,498	1,655	1,818	Adj. Net Income	312A	373A	391A	421	
Reported EPS	8.32	7.68	12.46	14.45	16.58	Reported EPS	1.63A	3.12A	3.66A	4.07	
Adj. EPS	10.05	10.64	13.35	14.89	16.58	Adj. EPS	2.76A	3.31A	3.50A	3.77	
DPS	4.41	4.41	4.41	4.41	0.00	DPS	-	-	-	-	
Payout ratio	53.0%	57.4%	35.4%	30.5%	0.0%	Payout ratio	-	-	-	-	
Shares outstanding	114	113	112	111	110	Shares outstanding	113A	113A	112A	112	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	471	468	380	564	905	Gross margin	51.2%	52.2%	55.1%	55.9%	56.2%
Accounts receivable	1,802	1,931	1,967	1,953	2,064	EBITDA margin	21.8%	22.8%	25.4%	26.5%	27.0%
Inventories	1,293	1,247	1,266	1,303	1,357	EBIT margin	17.9%	18.9%	21.8%	23.1%	23.8%
Other current assets	3,362	3,470	3,550	3,598	3,787	Net profit margin	13.9%	14.4%	16.5%	17.3%	18.0%
Current assets	3,833	3,938	3,930	4,161	4,692	ROE	32.6%	33.7%	41.2%	43.9%	43.6%
PP&E	777	797	866	947	1,040	ROA	10.2%	10.7%	13.4%	14.7%	15.7%
LT investments	-	-	-	610	610	ROCE	18.5%	18.7%	23.2%	25.1%	25.9%
Other non current assets	1,563	1,781	1,781	1,781	1,781	SG&A/Sales	-	-	-	-	-
Total assets	11,232	11,219	11,158	11,352	11,861	Net debt/equity	0.9	0.7	0.8	0.7	0.5
Short term borrowings	1,078	610	610	610	610	P/E (x)	43.2	40.8	32.5	29.1	26.2
Payables	860	930	933	875	911	P/BV (x)	14.2	13.4	13.4	12.3	10.8
Other short term liabilities	2,112	2,077	2,042	2,007	1,972	EV/EBITDA (x)	28.8	26.9	22.3	20.2	18.6
Current liabilities	4,050	3,617	3,584	3,492	3,493	Dividend Yield	1.0%	1.0%	1.0%	1.0%	0.0%
Long-term debt	2,561	2,614	2,614	2,614	2,614	Sales/Assets (x)	0.7	0.7	0.8	0.9	0.9
Other long term liabilities	442	774	774	774	774	Interest cover (x)	12.9	13.0	19.2	20.4	22.8
Total liabilities	7,557	7,508	7,476	7,383	7,385	Operating leverage	196.6%	692.5%	287.3%	214.1%	160.9%
Shareholders' equity	3,498	3,654	3,626	3,912	4,420	Revenue y/y Growth	(8.8%)	0.9%	8.8%	5.4%	5.6%
Minority interests	177	57	57	57	57	EBITDA y/y Growth	(11.8%)	5.8%	21.0%	9.9%	7.9%
Total liabilities & equity	11,232	11,219	11,159	11,352	11,861	Tax rate	14.7%	16.8%	19.5%	20.5%	20.5%
BVPS	30.56	32.28	32.31	35.20	40.32	Adj. Net Income y/y Growth	(18.2%)	4.7%	24.4%	10.5%	9.8%
y/y Growth	(0.8%)	5.6%	0.1%	8.9%	14.5%	EPS y/y Growth	(17.5%)	5.9%	25.5%	11.6%	11.3%
Net debt/(cash)	3,169	2,756	2,844	2,660	2,319	DPS y/y Growth	0.0%	0.0%	0.0%	0.0%	(100.0%)
Cash flow from operating activities	1,235	900	1,608	1,789	0						
o/w Depreciation & amortization	317	325	325	325	0						
o/w Changes in working capital	(48)	(307)	(127)	(156)	0						
Cash flow from investing activities	(150)	(150)	(150)	(150)	0						
o/w Capital expenditure	(150)	(150)	(150)	(150)	0						
as % of sales	1.8%	1.8%	1.7%	1.6%	0.0%						
Cash flow from financing activities	(331)	(1,414)	(994)	(990)	0						
o/w Dividends paid	(504)	(499)	(494)	(490)	0						
o/w Net debt issued/(repaid)	673	(416)	0	0	0						
Net change in cash	753	(664)	464	650	0						
Adj. Free cash flow to firm	639	1,358	1,381	1,546	1,695						
y/y Growth	(47.4%)	112.5%	1.7%	11.9%	9.6%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Sep. o/w - out of which

Regal Rexnord: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	6,034	5,934	6,157	6,951	7,321	Revenue	1,479A	1,558A	1,555	1,565	
COGS	(3,843)	(3,717)	(3,917)	(4,246)	(4,441)	COGS	(929)A	(947)A	(966)	(972)	
Gross profit	2,191	2,218	2,240	2,705	2,881	Gross profit	550A	612A	589	593	
SG&A	(1,372)	(1,334)	(1,364)	(1,552)	(1,585)	SG&A	(348)A	(345)A	(349)	(353)	
Adj. EBITDA	1,310	1,307	1,358	1,498	1,617	Adj. EBITDA	304A	367A	345	342	
D&A	(510)	(500)	(498)	(519)	(529)	D&A	(124)A	(125)A	(125)	(125)	
Adj. EBIT	630	773	850	979	1,088	Adj. EBIT	173A	239A	220	218	
Net Interest	(381)	349	320	290	273	Net Interest	81A	77A	81	81	
Adj. PBT	249	819	895	1,052	1,178	Adj. PBT	187A	253A	229	226	
Tax	(50)	(175)	(191)	(226)	(253)	Tax	(43)A	(53)A	(48)	(47)	
Minority Interest	(3)	(1)	(1)	(1)	(1)	Minority Interest	0A	(0)A	(0)	(0)	
Adj. Net Income	608	642	704	825	924	Adj. Net Income	145A	200A	181	178	
Reported EPS	2.94	9.65	10.52	12.33	13.82	Reported EPS	2.17A	2.99A	2.71	2.66	
Adj. EPS	9.12	9.65	10.52	12.33	13.82	Adj. EPS	2.17A	2.99A	2.71	2.66	
DPS	1.40	1.40	1.40	1.40	1.40	DPS	0.35A	0.35A	0.35	0.35	
Payout ratio	47.6%	14.5%	13.3%	11.4%	10.1%	Payout ratio	16.2%A	11.7%A	12.9%	13.1%	
Shares outstanding	67	67	67	67	67	Shares outstanding	67A	67A	67	67	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	394	522	871	979	1,123	Gross margin	36.3%	37.4%	36.4%	38.9%	39.3%
Accounts receivable	843	524	737	952	1,003	EBITDA margin	21.7%	22.0%	22.1%	21.6%	22.1%
Inventories	1,228	1,322	1,369	1,846	2,337	EBIT margin	10.4%	13.0%	13.8%	14.1%	14.9%
Other current assets	2,358	2,191	2,529	4,206	3,763	Net profit margin	10.1%	10.8%	11.4%	11.9%	12.6%
Current assets	2,751	2,712	3,400	5,185	4,885	ROE	9.6%	9.8%	10.0%	10.6%	10.8%
PP&E	1,062	1,057	984	908	827	ROA	4.1%	4.6%	5.0%	5.6%	6.1%
LT investments	-	-	-	-	-	ROCE	4.1%	5.2%	5.7%	6.3%	6.9%
Other non current assets	97	122	109	120	109	SG&A/Sales	22.7%	22.5%	22.1%	22.3%	21.6%
Total assets	14,034	13,921	14,127	15,501	14,765	Net debt/equity	0.8	0.6	0.5	0.4	0.3
Short term borrowings	41	63	65	65	65	P/E (x)	17.6	16.6	15.2	13.0	11.6
Payables	1,157	1,202	1,257	1,450	1,425	P/BV (x)	1.7	1.6	1.5	1.3	1.2
Other short term liabilities	18	0	0	0	(0)	EV/EBITDA (x)	11.8	11.2	10.4	9.0	-
Current liabilities	1,216	1,264	1,322	1,515	1,490	Dividend Yield	0.9%	0.9%	0.9%	0.9%	0.9%
Long-term debt	5,567	4,765	4,588	4,088	3,588	Sales/Assets (x)	0.4	0.4	0.4	0.5	0.5
Other long term liabilities	984	1,039	1,001	1,501	1,001	Interest cover (x)	3.4	NM	NM	NM	NM
Total liabilities	7,767	7,068	6,911	7,103	6,079	Operating leverage	(1932.7%)(1376.8%)	265.6%	117.5%	209.8%	
Shareholders' equity	6,260	6,844	7,208	8,389	8,676	Revenue y/y Growth	(3.5%)	(1.6%)	3.8%	12.9%	5.3%
Minority interests	7	9	9	10	11	EBITDA y/y Growth	0.2%	(0.2%)	3.9%	10.3%	8.0%
Total liabilities & equity	14,034	13,921	14,127	15,501	14,765	Tax rate	19.9%	21.4%	21.3%	21.5%	21.5%
BVPS	93.85	102.84	107.79	125.44	129.73	Adj. Net Income y/y Growth	(0.3%)	5.7%	9.6%	17.2%	12.0%
y/y Growth	(1.4%)	9.6%	4.8%	16.4%	3.4%	EPS y/y Growth	(0.4%)	5.9%	9.0%	17.2%	12.0%
Net debt/(cash)	5,214	4,306	3,782	3,174	2,530	DPS y/y Growth	0.0%	0.0%	0.0%	0.0%	0.0%
Cash flow from operating activities	609	991	714	799	840						
o/w Depreciation & amortization	510	500	498	519	529						
o/w Changes in working capital	47	249	(315)	(499)	(566)						
Cash flow from investing activities	275	(71)	(84)	(97)	(102)						
o/w Capital expenditure	(110)	(98)	(87)	(97)	(102)						
as % of sales	1.8%	1.6%	1.4%	1.4%	1.4%						
Cash flow from financing activities	(1,096)	(814)	(282)	(594)	(594)						
o/w Dividends paid	(93)	(93)	(93)	(94)	(94)						
o/w Net debt issued/(repaid)	(938)	(709)	(180)	(500)	(500)						
Net change in cash	(242)	128	349	108	144						
Adj. Free cash flow to firm	1,417	1,674	1,758	1,918	2,041						
y/y Growth	38.9%	18.1%	5.0%	9.1%	6.4%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

SPX Technologies: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	1,984	2,265	2,785	3,241	3,552	Revenue	567A	679A	714	825	
COGS	(1,185)	(1,347)	(1,657)	(1,928)	(2,113)	COGS	(336)A	(406)A	(426)	(489)	
Gross profit	799	918	1,128	1,313	1,439	Gross profit	231A	273A	289	335	
SG&A	(415)	(478)	(587)	(677)	(742)	SG&A	(119)A	(130)A	(137)	(201)	
Adj. EBITDA	421	507	652	772	870	Adj. EBITDA	126A	152A	169	205	
D&A	(92)	(123)	(147)	(147)	(147)	D&A	(32)A	(36)A	(36)	(44)	
Adj. EBIT	395	480	620	733	828	Adj. EBIT	120A	147A	160	193	
Net Interest	(44)	(43)	(45)	(51)	(50)	Net Interest	(7)A	(8)A	(11)	(19)	
Adj. PBT	350	433	571	677	773	Adj. PBT	111A	136A	149	175	
Tax	(88)	(105)	(143)	(169)	(193)	Tax	(26)A	(33)A	(38)	(46)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	263	328	428	508	579	Adj. Net Income	85A	103A	111	129	
Reported EPS	5.57	6.76	8.42	9.88	11.16	Reported EPS	1.69A	2.02A	2.18	2.53	
Adj. EPS	5.57	6.76	8.42	9.88	11.16	Adj. EPS	1.69A	2.02A	2.18	2.53	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	47	49	51	51	52	Shares outstanding	51A	51A	51	51	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	157	364	285	542	809	Gross margin	40.3%	40.5%	40.5%	40.5%	40.5%
Accounts receivable	314	357	509	540	612	EBITDA margin	21.2%	22.4%	23.4%	23.8%	24.5%
Inventories	271	302	434	459	604	EBIT margin	19.9%	21.2%	22.3%	22.6%	23.3%
Other current assets	627	780	1,063	1,119	1,335	Net profit margin	13.2%	14.5%	15.4%	15.7%	16.3%
Current assets	784	1,144	1,348	1,660	2,144	ROE	20.4%	18.1%	17.9%	18.3%	17.8%
PP&E	218	291	499	521	527	ROA	10.2%	10.4%	9.9%	9.8%	10.6%
LT investments	-	-	-	-	-	ROCE	15.8%	15.3%	14.0%	13.6%	14.3%
Other non current assets	175	258	262	262	263	SG&A/Sales	20.9%	21.1%	21.1%	20.9%	20.9%
Total assets	2,715	3,605	5,056	5,270	5,640	Net debt/equity	0.3	0.1	0.4	0.2	0.0
Short term borrowings	38	5	84	84	84	P/E (x)	30.2	24.9	20.0	17.1	15.1
Payables	128	145	277	214	235	P/BV (x)	5.7	3.7	3.4	2.9	2.5
Other short term liabilities	253	311	406	434	462	EV/EBITDA (x)	21.6	17.3	14.9	12.0	10.1
Current liabilities	418	461	767	732	781	Dividend Yield	-	-	-	-	-
Long-term debt	577	497	1,281	1,081	881	Sales/Assets (x)	0.8	0.7	0.6	0.6	0.7
Other long term liabilities	912	906	1,737	1,537	1,337	Interest cover (x)	9.7	11.7	14.7	15.1	17.4
Total liabilities	1,330	1,367	2,504	2,269	2,117	Operating leverage	263.4%	151.9%	127.4%	111.8%	133.6%
Shareholders' equity	1,384	2,238	2,552	3,001	3,522	Revenue y/y Growth	13.9%	14.2%	23.0%	16.4%	9.6%
Minority interests	0	0	0	0	0	EBITDA y/y Growth	35.7%	20.5%	28.5%	18.3%	12.7%
Total liabilities & equity	2,715	3,605	5,056	5,270	5,640	Tax rate	25.0%	24.2%	25.0%	25.0%	25.0%
BVPS	29.38	46.12	50.22	58.37	67.82	Adj. Net Income y/y Growth	30.8%	24.9%	30.5%	18.7%	14.0%
y/y Growth	14.8%	57.0%	8.9%	16.2%	16.2%	EPS y/y Growth	29.6%	21.3%	24.6%	17.3%	12.9%
Net debt/(cash)	458	138	1,080	623	156	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	313	336	439	522	520						
o/w Depreciation & amortization	92	123	147	147	147						
o/w Changes in working capital	5	(103)	(81)	(91)	(168)						
Cash flow from investing activities	(285)	(561)	(1,426)	(65)	(53)						
o/w Capital expenditure	(38)	(92)	(150)	(65)	(53)						
as % of sales	1.9%	4.1%	5.4%	2.0%	1.5%						
Cash flow from financing activities	53	426	848	(200)	(200)						
o/w Dividends paid	0	(5)	0	0	0						
o/w Net debt issued/(repaid)	55	(114)	863	(200)	(200)						
Net change in cash	84	207	(139)	257	267						
Adj. Free cash flow to firm	275	243	289	457	467						
y/y Growth	25.1%	(11.5%)	18.7%	58.1%	2.2%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Trane Technologies: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	19,838	21,322	23,746	26,149	28,423	Revenue	4,969A	6,354A	6,455	5,969	
COGS	(12,757)	(13,612)	(15,105)	(16,355)	(17,578)	COGS	(3,241)A	(4,094)A	(4,025)	(3,788)	
Gross profit	7,069	7,687	8,641	9,794	10,846	Gross profit	-	-	-	-	
SG&A	(3,581)	(3,743)	(4,156)	(4,576)	(4,974)	SG&A	(952)A	(1,035)A	(1,065)	(1,103)	
Adj. EBITDA	3,848	4,277	4,860	5,593	6,192	Adj. EBITDA	889A	1,355A	1,458	1,159	
D&A	(379)	(376)	(400)	(400)	(350)	D&A	(101)A	(110)A	(100)	(89)	
Adj. EBIT	3,469	3,900	4,460	5,193	5,842	Adj. EBIT	787A	1,245A	1,358	1,070	
Net Interest	(239)	(227)	(220)	(223)	(221)	Net Interest	(56)A	(53)A	(53)	(58)	
Adj. PBT	3,230	3,674	4,240	4,970	5,621	Adj. PBT	732A	1,192A	1,305	1,012	
Tax	(644)	(720)	(806)	(994)	(1,124)	Tax	(139)A	(224)A	(248)	(195)	
Minority Interest	(22)	(17)	(27)	(32)	(36)	Minority Interest	(5)A	(10)A	(5)	(7)	
Adj. Net Income	2,564	2,937	3,408	3,944	4,461	Adj. Net Income	587A	958A	1,052	810	
Reported EPS	11.17	13.21	15.32	17.80	20.28	Reported EPS	2.65A	4.31A	4.73	3.63	
Adj. EPS	11.23	13.06	15.35	17.95	20.45	Adj. EPS	2.63A	4.31A	4.75	3.67	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	228	225	222	220	218	Shares outstanding	223A	222A	221	221	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,590	1,763	1,768	2,998	4,926	Gross margin	35.6%	36.1%	36.4%	37.5%	38.2%
Accounts receivable	3,090	3,235	3,628	3,995	4,421	EBITDA margin	19.4%	20.1%	20.5%	21.4%	21.8%
Inventories	1,972	2,104	2,324	2,497	2,585	EBIT margin	17.5%	18.3%	18.8%	19.9%	20.6%
Other current assets	5,748	6,100	6,789	7,329	7,843	Net profit margin	12.9%	13.8%	14.3%	15.1%	15.7%
Current assets	7,338	7,863	8,557	10,327	12,769	ROE	35.4%	36.5%	38.0%	39.2%	37.6%
PP&E	2,025	2,251	2,714	3,128	3,486	ROA	13.0%	14.1%	15.1%	15.9%	16.5%
LT investments	-	-	-	-	-	ROCE	23.1%	24.6%	26.6%	28.3%	28.4%
Other non current assets	4,657	4,849	5,494	5,494	5,494	SG&A/Sales	18.0%	17.6%	17.5%	17.5%	17.5%
Total assets	20,147	21,421	23,722	25,761	28,437	Net debt/equity	0.4	0.3	0.3	0.1	NM
Short term borrowings	452	693	693	693	693	P/E (x)	41.9	36.0	30.6	26.2	23.0
Payables	2,148	2,154	2,434	2,612	2,793	P/BV (x)	14.3	12.3	11.2	9.6	7.9
Other short term liabilities	3,469	3,440	4,383	4,756	5,125	EV/EBITDA (x)	27.8	24.9	21.9	18.9	16.7
Current liabilities	6,069	6,287	7,510	8,061	8,611	Dividend Yield	-	-	-	-	-
Long-term debt	4,318	3,922	3,924	3,924	3,924	Sales/Assets (x)	1.0	1.0	1.1	1.1	1.0
Other long term liabilities	2,273	2,611	2,966	2,966	2,984	Interest cover (x)	16.1	18.9	22.1	25.0	28.0
Total liabilities	12,660	12,820	14,400	14,951	15,519	Operating leverage	178.2%	166.3%	126.3%	162.4%	143.6%
Shareholders' equity	7,487	8,601	9,322	10,810	12,918	Revenue y/y Growth	12.2%	7.5%	11.4%	10.1%	8.7%
Minority interests	-	-	-	-	-	EBITDA y/y Growth	20.4%	11.1%	13.6%	15.1%	10.7%
Total liabilities & equity	20,147	21,421	23,722	25,761	28,437	Tax rate	19.9%	19.6%	19.0%	20.0%	20.0%
BVPS	32.78	38.25	42.00	49.19	59.21	Adj. Net Income y/y Growth	23.0%	14.5%	16.0%	15.7%	13.1%
y/y Growth	7.6%	16.7%	9.8%	17.1%	20.4%	EPS y/y Growth	24.1%	16.3%	17.6%	16.9%	13.9%
Net debt/(cash)	3,180	2,852	2,849	1,619	(309)	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	3,178	3,220	3,827	4,394	4,882						
o/w Depreciation & amortization	379	376	400	400	350						
o/w Changes in working capital	239	(282)	(44)	11	36						
Cash flow from investing activities	(563)	(640)	(1,337)	(654)	(568)						
o/w Capital expenditure	(371)	(383)	(591)	(654)	(568)						
as % of sales	1.9%	1.8%	2.5%	2.5%	2.0%						
Cash flow from financing activities	(2,021)	(2,496)	(2,451)	(2,510)	(2,386)						
o/w Dividends paid	(758)	(837)	(928)	(1,010)	(1,104)						
o/w Net debt issued/(repaid)	(9)	(159)	(2)	0	0						
Net change in cash	527	199	25	1,230	1,928						
Adj. Free cash flow to firm	2,807	2,837	3,236	3,741	4,313						
y/y Growth	32.0%	1.1%	14.1%	15.6%	15.3%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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